

SPHS 104

**POSTGRADUATE COURSE
M.A - HISTORICAL STUDIES**

FIRST YEAR

FIRST SEMESTER

PAPER - IV

**ECONOMIC HISTORY OF INDIA
(A.D 1858-1947)**



**INSTITUTE OF DISTANCE EDUCATION
UNIVERSITY OF MADRAS**

**MA - HISTORICAL STUDIES
FIRST YEAR
FIRST SEMESTER**

**ECONOMIC HISTORY OF INDIA
(A.D 1858 – 1947)**

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**MA - HISTORICAL STUDIES
FIRST YEAR
FIRST SEMESTER**

**ECONOMIC HISTORY OF INDIA
(A.D 1858 – 1947)**

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M.A - DEGREE COURSE
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Paper - IV
ECONOMIC HISTORY OF INDIA
(A.D 1858 – 1947)
SYLLABUS

UNIT I

Indian Economy on the eve of the British Rule- Trade under the East India company and the Economic Drain from India- Land Tenure and Revenue settlements under British Rule.

UNIT II

Agriculture - Policy and Development – Commercialisation of Agriculture- Irrigation- Famine and Famine Administration - Peasants conditions.

UNIT III

Industries - Policy and Development- Indigenous and Major industries- Cotton, Textile, Jute, Iron and Steel, Sugar and Chemical- Labour Problems and Labour Legislation.

UNIT IV

Transport and Communication- Policy and Development –Roadways- Railways- Waterways- Communications- Modernisation and Development of Post and Telegraph – Telephones and Radio.

UNIT V

Trade and Commerce- Internal Trade - External Trade - Principal trade centres in India- Trade Organisations.

Books for Reference:

1. S.S.M. Desai – Economic History of India
2. S.P. Nanda- Economic and Social History of Modern India
3. Rothermund – Economic History of India
4. Tirthankar Roy – Economic History of India – 1857- 1947
5. G.Kaushal- Economic History of India.
6. G.B. Jathar & S.G.Beri- Indian Economics- Vol. II
7. B.L. Grover & S.Grover- A New Look at Modern Indian History
8. Cambridge Economic History of India.

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LESSON - I

INDIAN ECONOMY ON THE EVE OF THE BRITISH RULE

The most outstanding feature of the Indian economy was the existence of self-sufficient and self-governing village communities. The disintegration of the Mughal empire in the 18th century inevitably brought about economic disruption. The East India Company rule in India opened a new chapter in the economic history of India. Colonial interests of the East India Company regained supremacy over the economic needs of the Indian masses. The reader will no doubt read the condition of Indian economy before the coming of British.

Plan of Study

1.1 Learning Objectives

1.2 Introduction

1.3 Pre-British Economic Structure

1.3.1 Self Sufficient Village Communities

1.3.2 Condition of Agriculture during Pre-British Period

1.3.3 Prices and wages during the Pre- British Period

1.3.4 Structure & conditions of Towns during Pre- British Period

1.3.5 Indian Industries during Pre- British Period

1.3.6 Foreign Trade during Pre- British Period

1.3.7 Features of the Pre- British Economic Life in India

1.4 Let us sum up

1.5 Answers to check your progress

1.6 References

1.1 Learning Objectives

- You will learn the economic activities of rural & urban India
- To understand the condition of Indian Villages and Village Communities during Pre-British Period.
- You will be able to discuss the Pre-British economic life of India

1.2 Introduction

The British rule in India unleashed far-reaching changes in Indian economic structure. New demand of land revenue made changes in rural economy and social relationships. The British policies developed a new era of distorted modernization, and ruined the traditional agriculture and industry and resulted in the growing poverty of the masses. Here we are analyse the Indian economy on the eve of the British rule.

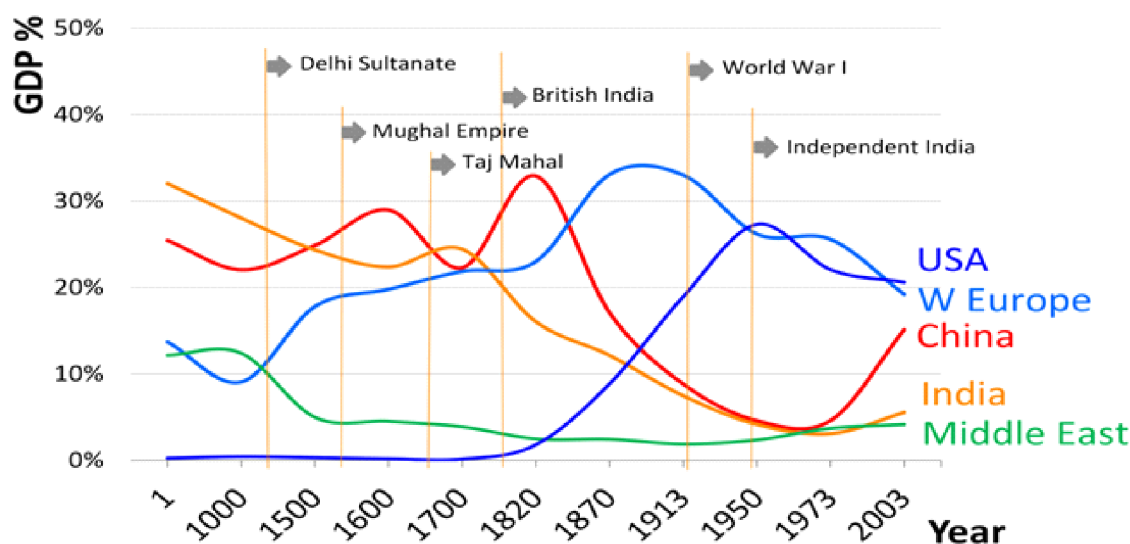
1.3 Pre-British Economic Structure

During the pre-British period, i.e. during the mid-eighteenth century, the condition of Indian economy was not at all satisfactory. Just after the death of Aurangzeb in 1707, the central power at Delhi was so weak that the situation had led to disintegration and gradual downfall of deep rooted Mughal Empire. During 1750, the Indian economy was passing through recurrence of crisis and disorders because by this time the central power at Delhi was either weakened or disappeared.

Indian economy, consisted of backward, isolated and self sustaining villages on the one hand and on the other hand, a number of towns which were the seats of administration, pilgrimage, commerce and handicrafts. During this period, the mode of transport and communication of India were totally backward, underdeveloped and insufficient. Under such a situation, the size of market was also very small.

Indian Economy mainly consisted of two parts – rural and urban. The economic organization in the rural areas was rather simple. The basis of this economy was the isolated and self- sufficient villages, where life was regulated according to well established customs and traditions. The village population consisted of three categories of people – the agriculturists, village officers and village artisans and menials. Almost 70 per cent of the adult population of the village was engaged in agriculture and depended on its land for livelihood. These people produced what was immediately needed by them and paid no attention to scientific agriculture or increase in production. Despite this state of affairs the people were said to be contented. It was the wealth of India which attracted a large number of invaders and foreign powers. Even the British came to India with a view to make profits by carrying on trade with India.

The chief village officers were headmen or Patel, responsible for the maintenance of law and order in the village as well as collection of revenue. The third section of the village community consisted of hereditary artisans like carpenters, blacksmith, potter, barber, cobbler, washermen, goldsmith, oilman, shop-keeper etc. These artisans rendered service in the various fields to the inhabitants of the village. They were given all the necessities of life by the village. Generally each house-holder of the village gave a share of his produce to these persons for the services rendered by them. The number of towns was very small and the inhabitants of the towns depended for their good supplies on the neighboring villages. They possessed an efficient system of credit. The most common methods used for credit were **hundies** or bills of exchange.



1.3.1 Self-Sufficient Village Communities

The most outstanding feature of the Indian village economy was the existence of self-sufficient and self-governing village communities. Indian villages functioned as little worlds of their own, having very little to do with the outside world. Village economy was self-subsisting, providing the foodstuffs it needed except perhaps a few necessities like salt and iron. Another marked feature was the union of agriculture and handicraft industry. The family of the peasant undertook spinning and weaving as a secondary activity and produced the cloth needed for the family. The other economic needs were also provided by village craftsmen like the carpenter, the goldsmith, the potter, the black-smith, the oil-presser, etc., who in effect were servants of the village and received a customary share in the village crops for their services. The basic land relationships in the village were governed by custom and usage. The concept of private property in land, as understood in the modern sense, did not develop. The land in the village belonged to the cultivating community, each family having its share of arable land.

The village communities were self-governing. The village panchayat administered the village affair, settled disputes and administered justice. The village Headman was its leader in dealing with the government. The local chief or the distant subahdar did not interfere in village affairs except claiming a share in the village crops varying from one-sixth to one-half. Political convulsions did not disturb the placid life of village communities. But there was a dark side to the stability and isolation of the village communities. The ideal of self-sufficiency acted as a barrier to the creation of a wider market for Indian handicrafts. The closed and caste-bound socio-economic structure permitted little horizontal, vertical or spatial mobility of labour. It cramped human mind, stifled spirit of enterprise and became an instrument of socio-economic stagnation. Further, the indifference to political affairs outside the village militated against the emergence of national consciousness.

All the above mentioned occupations were hereditary. These various groups of people were getting their remuneration in terms of crops during the harvesting period against the services rendered by them. These Indian villages were functioning independently as most of food articles and raw materials produced within the villages were either consumed or purchased by the village communities itself. Agricultural and handicraft industry were interdependent and thus the village republics were able to function independently. Indian villages were almost self-sufficient in respect of daily necessities excepting commodities like salt, spices, finecloth, luxury and semi-luxury goods.

LOW LEVEL OF ECONOMIC DEVELOPMENT

BEFORE BRITISH RULE

India was well known for its handicrafts industries in the fields of cotton and silk textile, metal and precious stone works etc. These products enjoyed a world wide market based on the reputation of fine quality of material used and the high standards of craftsmanship seen in all imports from India.



In this connection, Sir Charles Metcalfe wrote, “The village communities are little republics having nearly everything they want within themselves, and almost independent of foreign relations. They seem to last where nothing lasts. This union of the village communities each one forming a separate little state by itself.....is in a high degree conducive to their happiness, and to the enjoyment of a great portion of freedom and independence”. Thus during the pre-British period, Indian villages were mostly consisting of three distinct classes: (a) the agriculturists, (b) the village artisans and menials and (c) the village officials. There were again two types of agriculturists— (a) the land owning and (b) the tenants.

1.3.2 Condition of Agriculture during the Pre- British Period

During the mid-eighteenth century, the condition of Indian agriculture was not at all satisfactory. During those days, agriculture was the main source of livelihood in India. The economic condition of Indian agriculturists was really very much painful. Poor farmers had to pay a high rate of taxes as imposed by the then administrators of the country which led to high degree of exploitation on these farmers. During those days Indian rulers had constructed and maintained some irrigation projects but these works were very much insufficient as compared to its requirement. Moreover, farmers were following traditional methods in their agricultural operations. Important crops which were grown by Indian farmers included mainly rice, wheat, bajra, jowar and minor cereals along with the commercial crops like jute, raw cotton, groundnut, tobacco etc. Again, the crop rotation practices of standard pattern were followed without any variation. Some strips of land were left fallow every year just for the interest of regaining fertility. In those days, the agricultural implements were mostly primitive and simple which included wooden plough, iron sickle, leather bag for drawing water etc. During those days, agriculturists were applying only natural organic manures.

Thus it is better to conclude with Dr. Buchanan and Prof. Gadgil that the conditions of Indian agriculturists in total were very much depressed. Moreover, the land policy followed by the rulers of those days was mostly going against the farmers and these policies were specially framed to serve the interests of rulers and zamindars of India.

1.3.3 Prices and Wages during the Pre- British period

During the pre-British period, the prices of foodgrains used to fluctuate widely between different places. Markets for most of the commodities were very much restricted to local areas in the absence of adequate means of transport and communications. Under such a situation,

agricultural produces and the other commodities produced by artisans in the cottage industries were not getting remunerative prices. During those days, the prevailing wage rates were very low. Wages of village artisans were paid not in terms of cash but in kind. The wages were paid mostly once in a year and that is just after the harvesting season. The rates of wages were mostly determined by customs and conventions.

1.3.4 Structure and conditions of Towns during Pre- British period

During the pre-British period, the major portion of the total population of India was living in the rural areas. Nearly 10 per cent of the total population was living in the urban areas and those towns were merely out grown villages. According to Prof. D.R. Gadgil, towns of those days owed their existence principally due to the following three reasons: (a) A good number of towns of India were places of pilgrimage or sacred religious centres (for example, Gaya, Benaras, Allahabad, Puri, Nasik etc.); (b) A good number of towns were the seats of courts of Nawabs or kings or the capital of a province (for example, Bijapur, Golconda, Delhi, Lahore, Lucknow, Poona etc.); and (c) A good number of towns were trading or commercial centres due to its trade importance (for example, Surat, Mirzapur, Hubli, Bangalore etc.). These towns were existing on different trade routes. Those towns which were actually the trade centres proved more stable.

Lifestyle in the towns was completely different from that of the villages. In these towns, a large category of occupations and different varieties of trades were existing. Thus the sizes of population of these towns were gradually increasing. Moreover, the size of market of these towns was also wide.

1.3.5 Indian Industries during Pre- British Period

Although agriculture had dominated the Indian economy during the pre-British period yet some Indian industries, producing certain special products, enjoyed worldwide reputation. During those days, many of the handicrafts produced in the urban areas of India were quite famous. Among all those various famous urban handicrafts, textile handicrafts earned a special status and were also spread over the whole country. During those days, the muslin of Dacca, silk sarees of Benaras, shawls and carpets of Kashmir and Amritsar, the calicos of Bengal, dhoti and dopattas of Ahmedabad, silk and bordered cloth of Nagpur and Murshidabad etc. were very famous and received much recognition in international markets.

While recognizing the skill of Indian artisans, T.N. Mukherjee wrote, **“A piece of the muslin 20 yards long and one yard wide could be to pass through a finger ring and required six months to manufacture.”** Moreover, India was well known for her other artistic handicraft industries which include jewellery made of gold and silver, brass, copper and bell metal wares, marble work, carving works in ivory, wood, stone etc. Artistic glassware were also produced in India during those days and had earned international reputation. India had also developed high level of metallurgy and the cast-iron pillar standing near Delhi is a real testament of that.

All these industries and handicrafts had its patronage of local administrators for their development. In the urban area each handicraft was properly organised into a guild so as to safeguard their common interest. These guilds were enacting their own laws which were again respected by the then rulers of the country. According to M.G. Ranade, the Indian industries “not only supplied all local wants but also enabled India to export its finished products to foreign countries.” During those days, Indian export items were consisting mostly of manufactured items like cotton and silk fabrics, calicos, silk and woollen cloth and artistic wares made of glass and metal. Besides, the other export items were included, pepper, opium, indigo etc. Throughout the 17th and 18th century, European countries were purchasing the above mentioned manufactures of India.

1.3.6 Foreign Trade during Pre- British Period

India had a very favourable balance of trade and attracted traders from various countries of Asia and Europe. The trade was carried on both through the land routes as well as sea. The most popular land routes for carrying on trade with the foreign countries were the route running through North-West through Lahore and Kabul to Central Asia and the route running from Multan and Kandahar to Persia. The sea routes which were most popular were those through Persian Gulf and Red Sea ports in West Asia, and the Indian Archipelago and Spice Islands in the east. The chief items exported by India included the calicoes, muslins, silks, fancy goods, indigo, salt-petre, spices and pepper. The Indian textiles also were in great demand, especially in countries of Asia and Europe. The chief Indian imports were gold, silver, precious stones, horse, metals, tobacco etc.

1.3.7 Features of the Pre- British Economic Life in India

When we analyse the various features of the economic life in India on the eve of the British rule, we note the following characteristics:

- ✓ **Firstly**, the villages which were the primary units of rural economy were self-sufficient. This self-sufficiency was to a large extent due to the primitive and defective means of communication.
- ✓ **Secondly**, agriculture enjoyed preponderance over other occupations, which inevitably resulted in the domination of the rural over the urban population.
- ✓ **Thirdly**, prevalence of cottage and handicraft industries which were under the control of independent artisans and a comparative absence of large-scale industries.
- ✓ **Fourthly**, in most of the areas of the country (with the exception of towns) the system of barter prevailed. However, in the towns the money economy had made its appearance.
- ✓ **Fifthly**, lack of proper credit system and narrowness of the market.
- ✓ **Sixthly**, virtual non-interference by the state in the economic life of the community.
- ✓ **Seventhly**, regulation of the economy according to well established customs and statutes.

Check your progress -1

1. Describe the Pre- British economic structure of India.
2. Explain the condition of Agriculture during Pre- British period.
3. Discuss the Indian Industries during Pre- British Period.
4. Give an account of the Features of the Pre- British Economic Life in India

1.4 Let us sum up

The above mentioned lesson provides an overview on the Indian Economy during the Pre-British Period. The Indian economy was passing through recurrence of crisis and disorders because by this time the central power at Delhi was either weakened or disappeared. The economic organization in the rural areas was rather simple. The basis of this economy was the isolated and self- sufficient villages, where life was regulated according to well-established customs and traditions. During those days, agriculture was the main source of livelihood in India. The economic condition of Indian agriculturists was really very painful. Markets for most of the commodities were very much restricted to local areas in the absence of adequate means

of transport and communications. Under such a situation, agricultural produces and the other commodities produced by artisans in the cottage industries were not getting remunerative prices. India had a very favourable balance of trade and attracted traders from various countries of Asia and Europe. The trade was carried on both through the land routes as well as sea.

1.5 Answers to check your progress

Check your progress -1

1. See the sub-section 1.3
2. See the sub-section 1.3.2
3. See the sub-section 1.3.5
4. See the sub-section 1.3.7

1.6 References

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LESSON - 2

TRADE & COMMERCE UNDER EAST INDIA COMPANY AND THE ECONOMIC DRAIN OF INDIA

Economic exploitation of India began started initially in the form of trade, was intensified were made through investment income in the form of dividends and profits and through payment of costs of British administration in the form of home charges. These included salaries of British army and civil officers, payment of pensions, furloughs and other benefits and also payment of interest on Sterling debt.

Plan of Study

2.1 Learning Objectives

2.2 Introduction

2.3 The British Rule and Indian Economy.

2.3.1 Free Trade Capital

2.3.2 The Mercantilist Phase

2.3.3 The Period of Colonial Plunder, 1757-72

2.3.4 Deindustrialization

2.3.5 Decline of Indian Handicrafts

2.4 The Drain of Wealth from India

2.4.1 Concept of Economic Drain

2.4.2 Economic consequences of the Drain

2.5 The main forms of colonial exploitation

2.5.1 Consequences of colonial exploitation on Indian Economy

2.6 Let us sum up

2.7 Answers to check your progress

2.8 References

2. 1 Learning Objectives

- You will learn about Forms of Colonial Exploitation
- To understand the Consequences of Colonial Exploitation.
- Periods of British Colonialism and the Exploitation in India

2.2 Introduction

The English East India Company had very humble beginnings in India. The Charter of 1600 granted the East India Company the exclusive privilege of trading east of the Cape of Good Hope for a period of 15 years. The Company was a strictly closed corporation or a monopoly. By 1623 it had established factories (trading posts) at Surat, Broach, Ahmedabad, Agra, and Masulipatam. From the very beginning, it tried to combine trade and diplomacy with war and control of the territory where their factories were situated. The constant flow of wealth from India to England for which India did not get an adequate economic, commercial or material return has been described by Indian national leaders and economists as 'drain' of wealth from India. The drain of wealth was interpreted as an indirect tribute extracted by imperial Britain from India year after year.

2.3 The British Rule and Indian Economy

The East India Company was set up under the Charter of the Queen with the sole object of "carrying on trade in goods and products of an overseas country". According to Rajni Palme Dutt, it was not done with a view to find a market for the British manufactures but "to endure to secure a supply of the products of India and the East Indies (especially spices, cotton goods and silk goods), which found ready market in England and Europe, and could thus yield a rich profit. As the company did not have anything to offer in exchange to India for these goods, this resulted in the flow of the precious metals to India. As the government of Britain was not willing to part with silver, gold and other precious metals, it impressed on the Company to devise ways to secure the Indian goods with little or no payment. This resulted in the Company employing pressure methods to secure the Indian goods. It resorted to the policy of territorial annexations with a view to acquire monopoly of trade. A number of trading depots were set up in the coastal areas, which were subsequently extended to other parts of the country as well. As a result by the close of the seventeenth century the East India Company established its authority in almost all the leading coastal trading centres.

On the assumption of administration of Bengal by the Company the field of limitless direct plunder was opened. This excess of revenue was described as 'investment of the Company' and was utilized for the purchase of Indian goods meant for export to England. With this the long cherished dream of the Company to draw the wealth out of India without having to give wealth in return was realised. The other features of the British policy towards India during this period was complete neglect of irrigation and public works and destruction of Indian manufactures coupled with policy of reckless increase in land revenue. The enormous amount of money sent by Company to England paved the way for Industrial revolution in that country. This gave rise to new problems of finding suitable outlets and markets for the newly manufactured goods. Accordingly it was emphasized that the policy of mercantile capitalism should be replaced by the policy of free trade capitalism. It was felt necessary to transform India from an exporter of manufactured goods to an importer of manufactured goods. This was presented by the Company, which was making huge profits due to its monopoly of trade in goods and products of India.

In view of the ever-increasing criticism of Company's administration the British Parliament enacted a number of acts like the Regulating Act of 1773, the Pitt's India Act of 1784, the Charter Act of 1793 and the Charter Act of 1813 to establish greater control over the affairs of the country. The Company was also forced to give up its open policy of plunder and exploitation pursued so far and to follow a policy of reproduction of colonial economy.

DISRUPTION OF ECONOMY

- INDIA PROVIDED RAW MATERIALS TO FEED THE INDUSTRIES OF BRITAIN AND BECAME A DUMPING GROUND OF BRITISH MANUFACTURES.
- PROVIDED FIELD FOR INVESTMENT OF BRITISH CAPITAL.
- INDUSTRIAL IMPERIALISM.



It is evident from the above discussion that during the first phase of British rule in India, the Company resorted to economic plunder and territorial annexations with a view to establish monopoly of trade. It hardly paid any attention to effect improvements in administration, judicial machinery, education system, means of communication, agriculture, industry etc. The Company was primarily concerned with the collection of land revenue and did introduce some changes in this field. It certainly paid no attention to the welfare of the people nor did it undertake any projects of public welfare.

2.3.1 Free Trade Capital

A new phase in British policy towards India set in 1813 which is popularly known as the phase of Free Trade-Capital. This phase lasted till 1857. During this phase the British not only tried to provide an efficient system of administration but also tried to win the consent of the governed. A number of reforms were introduced which provided for free entry to the merchandisers, missionaries and traders of Britain in India and also introduced important Zamindari and Ryotwari reforms. As a result of these reforms not only India's supply of raw materials to Britain increased but even the Indian markets for the British goods also considerably expanded. For a fuller exploitation of the raw material resources of India, the British introduced better means of transport and communication. English language was introduced to recruit sufficient number of civil servants from India. Important judicial and legal reforms were also introduced.

After the abolition of East India Company's monopoly of trade with India in 1813, the Indian cotton and silk goods could be sold in British markets at almost fifty per cent of the price of the English manufactured goods. Therefore the English protagonists of free-trade resorted to discriminatory taxation against Indian textile goods. Thereafter the Indian goods imported to Britain were liable to 10 per cent duty against 3.5 per cent duty imposed on the import of British cotton and silk goods imported into India. Thus it was a one-way free trade, *viz.* the Indian goods were subjects to tariffs at the time of their entry into Britain, while the British goods were permitted free entry. Through the introduction of navigation laws restrictions were imposed on direct trade between India and foreign countries. As a result of all these measures the Indian manufacturing Industries were destroyed. In 1850 India which had been exporting cotton goods to various countries of the world was importing almost one-fourth of the British cotton exports.

The policy of wholesale destruction of Indian industries left a deep impact on the economy of the country. Millions of artisans and craftsmen were rendered workless and populous manufacturing towns like Dacca, Murshidabad, Surat etc. were rendered dissolute. The families

which had been formerly in state of affluence were driven to villages to find out a living. In the villages they took to agriculture. Thus India was forcibly transformed from being a country of combined agriculture and manufactures, into an agricultural colony of British manufacturing capitalism. It is from this period of British rule, and from the direct effects of British rule, that originates the deadly over-pressure on agriculture in India.

2.3.2 The Mercantilist Phase

Mercantilist ideas which were very popular during 16th-18th centuries were an integrated part of the old colonial system. Mercantilism was the economic counterpart of the spirit of aggressive nationalism. The basic idea was that of regulation of all economic activity in the interest of strengthening the nation. As far as overseas trade was concerned, it was sought to be regulated through chartered trading companies and the twin aim was (a) to have a favourable balance of trade (exports should be more than imports) (b) to promote flow of bullion into the home country.

The Merchant companies aimed at a large profit-margin. This could be possible through three methods:- (a) Monopoly control over trade and elimination of all possible rivals; (b) Purchase of goods at cheap rates and sale of commodities at very high rates; and (c) The above objectives could be achieved if they could establish political control over the countries they traded with.

The English East India Company's struggle with other Merchant companies in India, *viz.* the Dutch Company and the French Company, was aimed at elimination of all European rivals from the Indian Trade. The various wars that the East India Company fought against Indian princes – the conquest of Bengal, Anglo-Mysore wars, Anglo-Maratha wars and wars against other Indian powers were all directed towards control of political power over various parts of India. The political power that the Company acquired was used to control the economy of India – to control the very sources of Indian wealth and the internal and external trade of India. Indian merchants were prohibited not only from buying commodities directly from the producers (which were monopolized by the English) but the agents of the Company forced their goods on the Indian merchants at a price higher than the prevailing market price.

2.3.3 The Period of Colonial Plunder, 1757-72

The character of the East India Company underwent a change after 1757. It was no longer merely a trading company. Henceforth, it played the role of a commercial-cum-military-

cum-political body in Bengal. It assumed the role of king-maker, changing Nawabs of Bengal at will. No wonder, the Governor and members of his council engineered three quick revolutions in Bengal (revolutions of 1757, 1760 and 1764) because each new Nawab offered fabulous presents to the Company's civil and military officers.

The Directors and shareholders of the Company wanted higher dividends. Even the British government wanted a share in the new mine of gold (*i.e.*, India) which the company had found. Besides, while 'farming out' the revenue of Bengal to zamindars, the Company's officials received presents from the zamindars. By the sale of unauthorized **dastaks** (pass-chits) the Company's agents received bribes. The oppression of the artisans was another form of plunder; the Company's agents compelled the weavers to sell cloth to them at low and dictated prices. The Company's servants even monopolised the raw material needed by artisans and charged a high price for them.

2.3.4 Deindustrialization

During the first half of the 19th century or even upto 1880 India's economy witnessed a strange phenomenon. While Western countries were experiencing industrialization, India suffered a period of industrial decline. This process has been described as 'de-industrialization'. The rise of capitalism and machine-made industries which heralded the Industrial Revolution in England and European countries gave a big jolt to handicraft industry – the price for industrialization – in all parts of the world but the unfortunate situation in India was that unlike the European development the decline of indigenous handicrafts in India was without the compensating development of modern machine industry.

2.3.5 Decline of Indian Handicrafts

India's traditional handicraft industry decayed beyond recovery. The period of decline of Indian handicrafts was contemporaneous with the firm foundation of the Industrial Revolution in England and England's tight control over the strings of Indian economy.

The peculiar situation in India – very different from the developments in European countries and North America – may be summarized thus: (a) Nineteenth century India witnessed a steep decline of handicrafts, a process which continued well into the 20th century, and (b) Unlike European countries India was not compensated by a sufficient rise of modern Industry. As a result there was a net decline in the number and proportion of the Indian population engaged in industry.

Check your progress -1

1. Discuss the impact of British rule on Indian Economy
2. Note the Free Trade Capital policy of British towards India
3. Explain the basic idea of Mercantilism
4. Write about the decline of Indian Handicrafts

2.4 The Drain of Wealth from India

The constant flow of wealth from India to England for which India did not get an adequate economic, commercial or material return has been described by Indian national leaders and economists as 'drain' of wealth from India. The drain of wealth was interpreted as an indirect tribute extracted by imperial Britain from India year after year

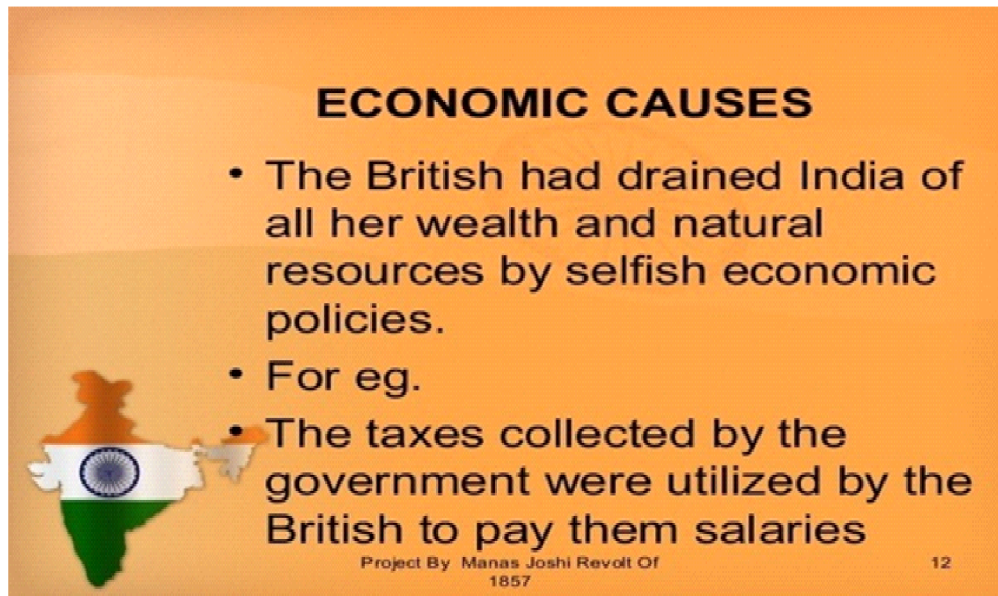
2.4.1 Concept of Economic Drain

In the mercantilist concept of trade an economic drain takes place if gold and silver flow out of the country as a consequence of an adverse balance of trade. In the 50 years before the battle of Plassey (1757), the East India Company had imported bullion worth £ 20 million into India to balance the exports over imports from India. British mercantilists were highly critical of the trade policies of the Company. Even the British government adopted a series of measures to restrict or prohibit the imports of Indian textiles into England. Apart from other measures, in 1720 the British government forbade the wear or use of Indian silks and calicoes in England on pain of a penalty of £ 5 for each offence on the weaver and of £ 20 on the seller.

After Plassey the East India Company extended its territorial aggression in India and began to administer territories and acquired control over the surplus revenues of India, the shape of drain underwent a change. Henceforth the Company had a recurring surplus which accrued from **(a)** profits from oppressive land revenue policy, **(b)** profits from its trade resulting from monopolistic control over Indian markets, and **(c)** exactions made by the Company's officials. All this 'surplus' was used by Company as an "investment", India did not get anything in return. This system was brought to an end by the Charter Act of 1813 when the territorial and commercial revenues of the Company were separated.

From 1813 onwards economic drain took the form of 'unrequited exports. Barring a few exceptional years, favourable balance of trade had been the normal feature of our foreign

trade till the outbreak of World War II. The focal point of the Drain Theory was that a portion of the national product of India was not available for consumption for her people or for capital formation, but was being drained away to England for political reasons- and India did not get an adequate economic return for it.



2.4.2 Economic consequences of the Drain

Dadabhai Naoroji described the drain of wealth as the “evil of all evils” and the main cause of Indian poverty. He maintained that Britain was “bleeding India white”. In a letter to Sunderland in 1905, Naoroji wrote, “The lot of India is a very sad one. Her condition is that of master and a slave; but it is worse; it is that of a plundered nation in the hands of constant plunderers with the plunder carried away clean out of the land. In the case of plundering raids occasionally made on India before the English came the invaders went away...The British invasion is continuous and the plunder goes right on”. Comparing the plundering raids of medieval rulers with the British methods of colonial plunder, another critic has pointed out that the old time plunder had to restrict himself to rich men’s houses and godowns where the wealth was accumulated; it was not worthwhile ransacking very little hut and little village. In contrast, the colonial plunder could reach the most lowly, the most humble and the most remote. Thus, British methods of exploitation though less painful were more thorough and resembled the blood-sucking leeches.

The drain of wealth checked and retarded capital accumulation in India, thereby retarding the industrialization of India. Indian products and treasure drained to England without adequate

return was of great help in creating conditions in that country conducive for the growth of British factory industry in the early stages of the industrial revolution. What is worse is that the part of the British capital entered India as Finance Capital and further drained India of her wealth. Naoroji complained, “British India’s own wealth is carried out of it and then that wealth is brought back to it in the shape of loans, and for these loans she must find so much for interest, the whole thing moving in a most vicious and provoking circle”. The drain had an immense effect on income and employment potential within India.

Naoroji also referred to the ‘moral drain’ which, according to him, consisted in the exclusion of Indians, from positions of trust and responsibility of their own land. He wrote, “All the talent and nobility of the intellect and soul, which nature gives to every country is to India a lost treasure. There is, thus a triple dwarfing or stunting of the Indian race is going on under the present system of administration”.

In the historical perspective, the Drain of wealth theory high-lighted the foreign and exploitative characters of British rule in a language within the comprehension of the average Indian. During our Freedom Struggle the Drain theory became a convenient slogan for any damnation of British colonial rule in India.

Check your progress -2

1. Discuss the concept of economic drain
2. Explain the economic impact of British rule

2.5 The main forms of colonial exploitation

(i) Trade policies with the objective of developing a colonial pattern of trade in which India became an exporter of primary products like raw materials and food stuffs and an importer of manufactures; (ii) Encouragement of British Capital to participate in direct investment in Indian consumer goods industries; (iii) Encouragement of finance capital in the country through Managing Agency System for appropriating a major portion of the profits through various malpractices; and (iv) Forcing India for paying the costs of British administration and also to finance the wars and expeditions conducted by the British Government.

2.5.1 Consequences of colonial exploitation on Indian Economy

1. The first important consequence of colonial exploitation was that India remained primarily an agricultural country with a scope for commercialisation of agriculture so as to serve the interests of Great Britain.

2. Although India was an industrially advanced country during the 16th and 17th century but the British policy never permitted those industries to modernise its structure during the 18th and 19th century. This led to destruction of Indian handicrafts and transformed the country into an importer of manufactured goods from Britain.
3. The British developed some forms of economic infrastructure such as electricity work, railways and irrigation with the objective of promoting foreign trade and also for exploiting natural resources of India to their own advantage. No direct British investment was made for the development of heavy and basic industries. Rather all investments were made in plantation and consumer goods industries.
4. The British followed the policy of discriminating protection and imperial preference so as to maintain complete control over the Indian market and also to provide secure avenues for British investors in India.
5. The British developed Managing Agency System for promoting consumer goods industries which had its exploitative nature in appropriating 50 per cent of the gross profits as managerial remuneration.
6. The industrial Revolution in England created a serious impact on Indian economy as it reversed the character and composition of India's foreign trade. This led to destruction of Indian handicrafts, increasing competition of British machine made goods and increasing demand for Western commodities as a result of foreign influence.
7. The new land system in the form of Zamindari and Ryotwari system introduced by the British created a class of absentee landlords making way for exploitation of the peasants and concentration of economic power in the hands of the few. This had resulted in total depression in agriculture and industry.
8. The colonial exploitation through the entry of British capital and finance capital and through the payment for the costs of administration via Home charges and for meeting the costs of War led to a huge economic drain of India weakening the base of Indian economy.

Thus the British rule in India was a long history of systematic exploitation of Indian people by the imperialistic Government which led to stagnation and poverty of Indian economy.

Check your progress -3

1. Discuss the main forms of colonial exploitation and its consequences on Indian Economy

2.6 Let us sum up

The English East India Company had very humble beginnings in India. A number of trading depots were set up in the coastal areas, which were subsequently extended to other parts of the country as well. As a result by the close of the seventeenth century the East India Company established its authority in almost all the leading coastal trading centres. The East India Company enforced various trade policies in India and which resulted in huge drain of wealth from India with the supply of raw materials from India. The entry of British capital and finance capital and through the payment for the costs of administration via Home charges and for meeting the costs of War led to a huge economic drain of India weakening the base of Indian economy.

2.7 Answers to check your progress

Check your progress -1

1. See the sub section 2.3
2. See the sub section 2.3.1
3. See the sub section 2.3.2
4. See the sub section 2.3.4 & 2.3.5

Check your progress -2

1. See the sub section 2.4.1
2. See the sub section 2.4.2

Check your progress -3

1. See the sub section 2.5 & 2.5.1

2.8 References

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LESSON - 3

LAND TENURE AND REVENUE SETTLEMENTS UNDER THE BRITISH

The British imperial rulers of India unleashed far-reaching changes in Indian agrarian structure. New land tenures, new land ownership concepts, tenancy changes and heavier state demand for land revenue introduced far-reaching changes in rural economy and social relationships. The Government policies ushered in a new era of distorted modernisation. After learning this lesson you will be able to discuss the Land tenure and revenue settlements under the British in India.

Plan of Study

3.1 Learning Objectives

3.2 Introduction

3.3 Pre-British Agrarian Structure

3.4 British Land Revenue System and Administration

3.4.1 New Land Tenures

3.4.2 Zamindari System

3.4.3 Permanent Settlement of Lord Cornwallis

3.4.4 Assessment of the Zamindari System

3.4.5 The demerits of the Zamindari system

3.4.6 Ryotwari System

3.4.7 Mahalwari System

3.4.8 Disintegration of Village Economy

3.5 Let us sum up

3.6 Answers to check your progress

3.7 References

3.1 Learning Objectives

- You will learn about Pre-British Agrarian Structure
- To understand the British Land Revenue System and Administration.
- You will be able to discuss the land revenue systems like Zamindari, Rywotari, and Mahalwari Systems

3.2 Introduction

The British domination over Indian land started in the 18th century and the British rule extended over large areas with the fall of Mughal empire, defeat of the Marathas and subjugation of local powers. The British inherited the institutional form of agrarian system from the Mughals. The British superimposed a system over the existing pattern in tune with British customs and laws relating to land. Different land revenue systems were introduced in various part of British India, as the British annexed different parts of India in various periods. Let us have introspection into three broad land revenue systems introduced by the British. These land revenue systems are Zamindari system, Rywotari System and Mahalwari System.

3.3 Pre-British Agrarian Structure

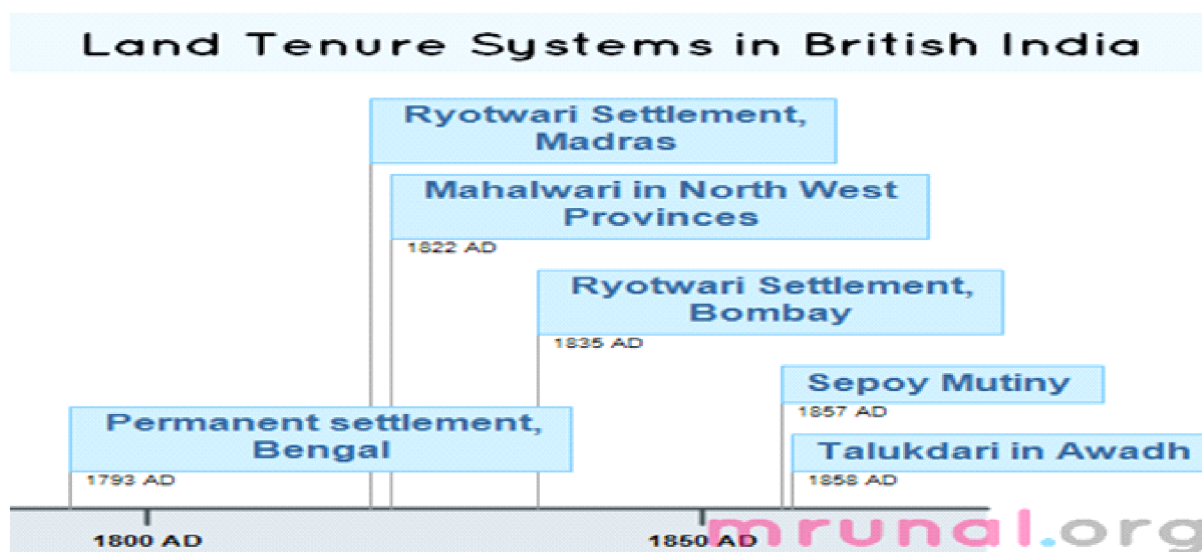
In the pre-capitalist stage of Indian economy, the idea of absolute ownership of land did not exist. All classes connected with land possessed certain rights. The cultivator possessed the right to cultivate and enjoyed security of tenure on the condition of payment of more or less fixed share of produce of the year to the overlord. The Patil or the village head-man acted as the **mamlatdar** or the collector (and magistrate and head farmer also) and passed on the state demand of land revenue (which varied from 1/6th to 1/3rd of the rental value) to the ruler or the Nawab. The internal village arrangement connected with cultivation, allotment of the same categories of land to certain categories of cultivators, provision of irrigation facilities, allocation and collection of land revenue from individual cultivators, etc., were settled by the Patil in consultation with the village Panchayats according to local customs and practices.

3.4 British Land Revenue System and Administration

The British conquerors of India sought to derive the maximum economic advantage from their rule in India. British Industrial and mercantile interests (by advocating Free Trade principles) prevented the East India Company from raising any substantial revenue from high custom

tariffs. The Company's government in India had, therefore, to rely on land revenue as the principal source of income for the State. As such land revenue matters received the maximum care of the new colonial rulers.

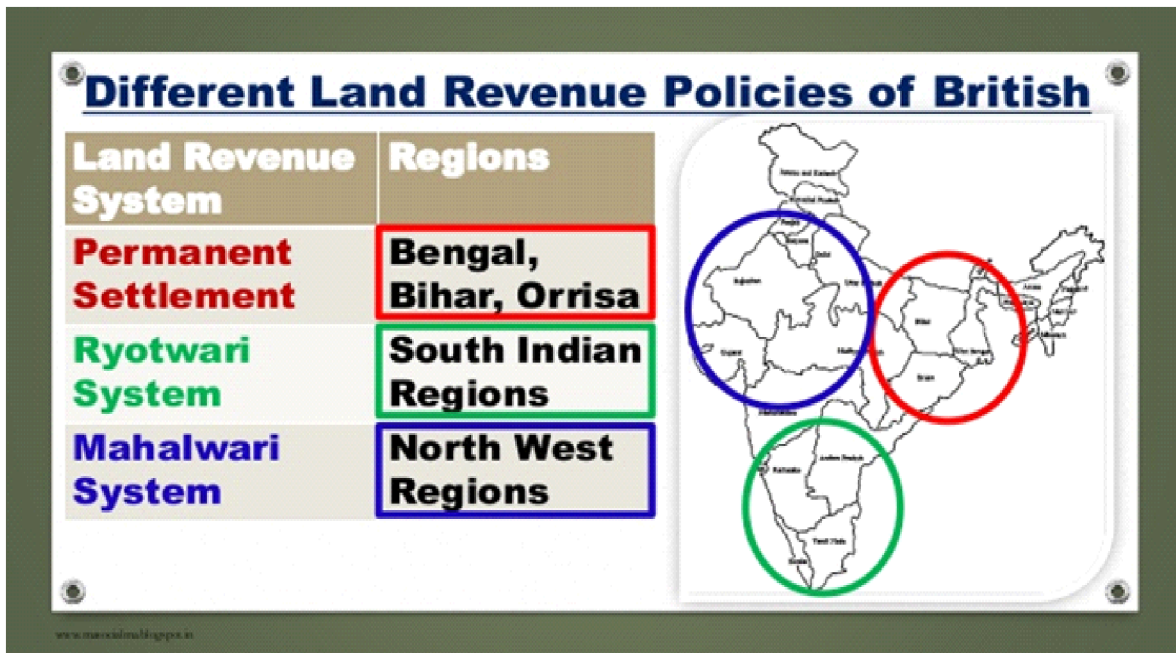
Early British administrators of the East India Company considered India as a vast estate and acted on the principle that the Company was entitled to the entire economic rent, leaving to the cultivators merely the expenses of cultivation and wages of their labour. Village communities were disregarded. In almost all parts of the Company's territories the early administrators resorted to the 'farming' of land revenues. Excessive land revenue demands proved counter-productive. Agriculture began to languish, large areas went out of cultivation and famines stared the people in the face. This necessitated some serious thinking, both in India and England, about land revenue matters. Some policy decisions emerged from serious deliberations.



3.4.1 New Land Tenures

The words land tenure (tenure is derived from the Latin word **teneo i.e.**, to hold) are used to refer to the conditions on which land is held by the zamindar/cultivator from the state or the cultivator from the landlord. The English adopted three types of land tenures in India viz., the Zamindari tenure, the Mahalwari tenure, and the Ryotwari tenure. Permanent zamindari settlements were made in Bengal, Bihar, Orissa, Benares Division of the U.P., Northern Carnatic and roughly covered 19% of the total area of British India. The Mahalwari tenure was introduced in major portions of the U.P., the Central Provinces, the Panjab (with variations) and covered

nearly 30% of the area. The Ryotwari settlements were made in major portions of Bombay and Madras Presidencies, in Assam and some other parts of British India covering roughly 51% of the area. The British rulers adopted various forms of land tenure in India.



3.4.2 Zamindari System

This system had been in existence in India since the times of the Mughals. Under this system the feudal lord known as Zamindar, obtained the land from the emperor on the promise to pay a stipulated sum of revenue. The Zamindars acquired the right to rule over the people residing within their jurisdiction. When the Mughal Empire declined, and the authority of the Mughal Emperor ceased to be effective, these Zamindars became dependent on the Provincial Governors or Subahdar for their rights. Under this system the land was held by the Zamindars who were responsible for payment of land revenue to the state. The actual cultivation was however done by the tenants.

The English acquired the first Zamindari from Nawab Azimush Sham in 1697 over the estates of Calcutta, Gobindapur and Satanati. The Company appointed Ralph Sheldon as the first Zamindar for these estates. This change was significant in so far as for the first time a foreign Zamindar was appointed who was chiefly concerned with the making of money. This marked the beginning of a new phase in the land relations in India viz. the overlordship of land shifted from the aristocratic class to the moneyed class.

A further change in the Zamindari system was introduced in 1759 when the East India Company threw open the Zamindaries to public auction and estates were given to the highest bidder. In this auction most of the Banyas favourably competed for the Zamindaries, and made huge profits. They literally robbed the farmers and often forced them to abscond to escape exorbitant revenue claims. Most of the new zamindars came from the urban rich classes and were not interested in agriculture. They began to treat land as a commodity.

After the acquisition of Dewani of Bengal in 1765, the Company tried to make quick gains and started charging exorbitant revenues. They gave out the zamindaries to the highest bidders in public auction. They also started the practice of collecting the revenue directly from the farmers in violation of the well established customs under which this was considered to be the prerogative of the zamindars. In short, the British collected revenue from the farmers when they were able to pay and from the zamindars when the farmers could not pay. As a result of this policy most of the old benevolent Zamindars were deprived of their estates and the same passed into the hands of the new class of zamindars. These new Zamindars were neither interested in agriculture nor industry and their chief motive was to make as much money as possible. They fully co-operated with the East India Company in the plunder. According to Romesh Dutt as a consequence of this policy “the country grounds were put under economic tyranny; the revenue failed once more; the system was introduced not to ameliorate the economic condition of the rural people rather to squeeze out the last drop which left the trail of misery, insurrections and famines in Bengal, Benaras and Oudh.”

This policy of tyranny and plunder resulted in an acute famine in Bengal in 1770 which took a heavy toll of human life. It is estimated that roughly 35 per cent of the population died, and almost one third of the cultivable land lay waste. The waste area increased to almost 50 per cent in 1776. This marked the beginning of long-drawn process of suffering for the people of Bengal. There was strong resentment among the people against the foreign oppression. They even rose against the Indian collaborators with the foreign rulers. This resulted in rebellion of the Sanyasis in the latter half of the eighteenth century. This revolt by the innocent peasants marked the beginning of a new awakening or consciousness and was an attempt to free the country from alien subjugation.

3.4.3 Permanent Settlement of Lord Cornwallis

It was in this atmosphere that Lord Cornwallis introduced the system of Permanent Settlement in 1793. By a proclamation issued on 22 March 1793 he declared the decennial

Settlement of Bengal and Bihar as permanent. The Zamindars were given proprietary rights in the soil subject to the condition that they regularly paid the revenue to the Government. As a result the owners were dispossessed of their hereditary lands and the ownership of the soil passed into the hands of the Zamindars who had so far been merely agents of the Government for the collection of revenues. In other words they became the owners of big estates which never belonged to them.

The permanent settlement was introduced with three objectives in mind. First of all, Cornwallis wanted to stabilize the hitherto uncertain and fluctuating income. The permanent settlement could ensure to the Company a certain minimum of revenue, irrespective of the conditions prevailing in the country. It could also save the Company expenses involved in periodic revision of the revenue.

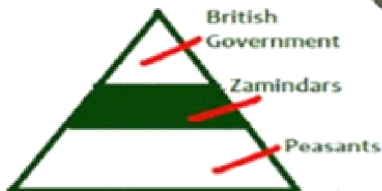
Secondly, they wanted to create a loyal class of proprietors who would be interested in the continuance of the British dominion and support it at the time of trial. The Preamble to the Regulation clearly stated that the landlord who was secure “in the quiet enjoyment of profitable estate could have no motive for wishing for a change. On the contrary, if the rent of his lands were raised – he will readily listen to any offers which are likely to bring about a change.” In simple language this landed aristocracy which had withstood against the surging revolutionary thought in Europe was expected to be the bulwark against the nationalist thought in India.

Features of Permanent Settlement (Zamindari System)

- ☐ **Tax was Collected by Zamindars**
- ☐ **Zamindar was the Owner of the Land**
- ☐ **He had the Power to Collect Tax**
- ☐ **Farmers Became the Tenants**
- ☐ **To Pay up to 60% of the Yield as Tax**
- ☐ **Even at the Time of Poor Yield, Tax was to be Paid**
- ☐ **Tax to be Paid in Cash**



Lord Cornwallis



Zamindari System (Permanent Settlement)

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The third and the most important objective of introducing the permanent settlement was that the Company wanted to divert the money capital accumulated in the hands of the new class of urban rich into agricultural channels. Motivated by selfish considerations the British wanted to make India an agricultural appendage of England and a market for her manufactures. Therefore they were keen to destroy the existing manufactures in India and to block the possible development of modern industry in India. If the money capital accumulated in the hands of the new class of urban rich was not transferred to agricultural channels, the industrial revolution in India could not be held in check for long.

3.4.4 Assessment of the Zamindari System

There is no unanimity among scholars and experts regarding the Permanent Settlement. Marshman hailed the permanent settlement as a “bold, brave and wise measure.” Romesh Dutt was also all praise for the settlement. He observed that “if the prosperity and happiness of a nation be the criterion of wisdom and success; Lord Cornwallis’ permanent settlement of 1793 is the wisest and most successful measure which the British nation has ever adopted in India”. On the other hand Beveridge condemned the settlement as a great ‘blunder’ and a gross ‘injustice’. “Though the ‘permanent settlement’ helped to make the province wealthier and most flourishing in India, it was a temporary phase and was accomplished at the cost of millions of peasants and Indian economy. No measure can be considered good if it does not hold good for general people. Rather it was the perpetuation of exacting spirit of the Company Government. The land revenue collection had become the severest and exceeded in volume from all times of the past. It had increased from 14,245,461 in 1728 to 26,800,989 in 1790-91. The British administrators with an eye over their investment, oblivious of the interests of ryots, preferred this peak collection and make it final and permanent.”

3.4.5 The demerits of the Zamindari system

Firstly, it placed the ryot completely at the mercy of the Zamindars who did not hesitate to extort the last ounce of blood. So far the cultivators had enjoyed definite rights in the soil as well as certain communal privileges with regard to homestead plots, to the pasture and forest lands, tanks, etc. They were deprived of all these rights. Further the Zamindars got the right to arbitrarily increase the rents, which had so far been restricted by customary rates known as Pargana Rates.

Secondly, the pressure created on the agricultural land in the wake of declining cottage industries, provided fresh opportunities of exploitation to the Zamindars. The landlords were assured of their revenue even if the crop failed. As a result the landlords continued to grow while the tenants were obliged to pay both the rent and the tax. This indeed made their lot miserable.

Thirdly, the system failed to protect the rights and privileges of the tenants and they were completely left at the mercy of heartless landlords. The landlords, unmindful of the customary rights of the tenants, evicted them at the slightest pretext. No steps were taken till 1859 to protect the tenants against the whims of the landlords. Even thereafter, this protection proved a farce as the tenants because of their poverty could not take recourse to legal course. Further, it was not always possible to prove before the courts that the landlord had acted in a highhanded manner. Thus the rights of the ryots virtually disappeared and they were rendered helpless. As a result of this oppression some of them left the lands and became dacoits.

Fourthly, the Zamindari system led to the subdivision of rights in land. The Zamindars did not deal with the tenants directly and leased out their interests to middle-men, who also did likewise and thus created a long chain of intermediaries – the Talukdar, the Patindar, the Parpatindar etc., between the State and the tiller of the soil. Simon Commission noted the existence of about 50 intermediaries between the State and the actual tiller.

Fifthly, as a result of the permanent settlement the income of the state was permanently fixed and it was not promised any share in the ever expanding income of the Zamindar. This operated in favour of the Zamindars. They revised their rents several times and thus made huge fortunes. According to S.M. Hussain a member of the Flood Commission, the net income of the Zamindars increased from Rs.20 lakhs in 1793 to 832 lakhs in 1940.

Sixthly, the system was defective in another way too. It deprived the government of the opportunity of knowing the rural conditions intimately. The Government lost all contact with the ryot and hardly possessed any knowledge of the local conditions and customs. Handicapped by these factors the government could not adopt any measures for the improvement of agriculture or the agriculturists.

Seventhly, the Zamindari system failed to meet the growing needs of food and raw materials of a developing economy. By keeping the ryots below the subsistence level, it greatly restricted the internal market. It also dried up the fountain which could have been a source of economic surplus, so vital for investment and development.

Eighthly, the system was to a large extent responsible for the famines which visited the country during the closing year of the eighteenth century and the first half of the nineteenth century. While the tiller of the land did not have any resources to invest in the improvement of the soil, the Zamindars were not interested in investing the necessary funds for the purpose, because they were hardly interested in the improvement of the land.

Ninthly, the system produced far reaching social consequences. The ever rising debts of tenants and their frequent evictions created tensions in the social relations. The village community was divided into two sections – the rich and powerful landlords and the poor and starving peasants. The relations between these two sections were far from cordial. The ryots had nothing but a feeling of hatred and revenge against the landlords who had dispossessed them of their land. On the other hand the landlords also feared the ryots, whose property had been bestowed on them. This mutual distrust gave rise to tension and upset the peace and stability of the village life.

According to Ram Gopal the Zamindari system was “one of the great wrongs – one of the most enormous blunders – by which 20 million small holders were dispossessed of their rights and handed over, bound hand and foot, to the tender mercies of a set of exacting rack-renters.”



(a) Various systems of land settlements : The British introduced Zamindari system, under which the profit from agricultural sector gone to the hands of the Zamindars instead of cultivators. They did nothing to improve the conditions of agricultural sector. This lead misery and tension among the cultivators.

3.4.6 Ryotwari System

The second type of land settlement effected by the English was Ryotawari system. While the Permanent (Zamindari System) was adopted in Bengal, Bihar, Orissa, Bengal and North

Madras, the Ryotwari system was introduced in Southern Madras, Bombay, Behar, East Punjab and parts of Assam and Coorg. Under this system the ryot was directly under the state and the land revenue was assessed on each separate holding and the land revenue assessed thereon. The ryot was recognized as the proprietor and his right to sublet, mortgage or transfer by gift or sale was also accepted. He could not be ejected from his land so long he paid the stipulated assessment. It may be noted that the Ryotwari settlement was of a temporary nature and its duration varied from 20 to 40 years in different parts. The credit for introducing this system is given to Captain Read and Thomas Munro, who for the first time introduced in the districts of Bara Mahal in 1792. Gradually the system was extended to other parts of the country. However, certain scholars contend that the Ryotwari village was the original type of India.

A number of merits were claimed for the Ryotwari system by its authors. Firstly, it was said that it would establish a direct contact between the cultivator and the state. Secondly, by conceding proprietary rights in the ryot it provided an incentive to them to make an investment in land and its improvement. Thirdly, the system would establish self-confidence and self-reliance among the peasantry and greatly contributed to the development of cordial relations among the various sections of the village community. Finally, under the system it would be possible for the government to help the ryots during difficult times by reducing its land revenue demand.

However, these merits claimed for the system proved a farce in actual practice. The state proved no better than the Zamindars and tried to extract maximum out of the peasants by constantly increasing the assessment. Further, the rents in the Ryotwari areas were already high. The insatiable greed of the British ruler to extract maximum revenue from the ryot physically and economically ruined them. As R.C. Dutt has observed, "Nature set a limit which the cultivators had not obtained from the moderation of their rulers. Population decreased in Bombay and still more in Central Provinces. Miles of cultivated land became waste. Jungle grew on homesteads, wheat land and rice lands." The law did not accord any protection to the ryot against the arbitrary powers of the settlement officers.

The frequent upward revision of revenue by the state officials left very little scope for improvement of lands by private owners. They did not pay attention to improvement due to the fear that this would automatically lead to upward revision of revenue. This naturally adversely effected the agricultural development. Highlighting this point R.C. Dutt says: "A system of periodical settlement, which enables the state to derive profits from improvements made by private owners, is the surest bar to all improvements."

The high revenue demands also forced the ryots to borrow money from the money-lenders to discharge their liabilities. This indebtedness ultimately forced the ryots to sell their lands. This explains the large scale transfer of land from the agriculturists to the non-agriculturists. This in turn led to the conversion of peasants to the position of labourers or share-croppers. They worked for the money-lenders and paid the major portion of their produce to the money-lender either in the shape of rent, interest on debt, etc. In short the system instead of producing a class of self-reliant peasant proprietors rendered them helpless victims of the money-lenders.

The Ryotwari system by making the settlement with the individual cultivators greatly undermined the importance of the village community as an economic unit and destroyed the collective basis of its life. However, it cannot be denied that the Ryotwari system was different from the Zamindari system in two different respects. First, under the Zamindari system, the ryot did not enjoy the right to sell or transfer the land. On the other hand under Ryotwari system the bigger peasant proprietors were free from these limitations. In this sense they possessed an advantage over the occupancy ryots under the Zamindari system. Secondly, the occupancy rights in the Zamindari areas were favourably placed than the Ryotwari peasants because better irrigation facilities existed in the Ryotwari areas than Zamindari area. As a result the Ryotwari peasants were able to retain some surplus after discharging their liabilities.

Ryotwari System

Under this system company collected revenue directly from farmers

3.4.7 Mahalwari System

The Mahalwari System was introduced in 1833 by Lord William Bentinck. The genesis of this system has best been explained by John Stuart Mill. He says that under the Mahalwari System “the peasants-proprietors compound with the state for a fixed period. The proprietors do not engage individually with the government but by villages. The village, through the headman, undertakes to pay so much for so many years, they assigning to each man his quota. Primarily

each man cultivates and pays for himself but ultimately, he is responsible for his co-villagers and them for him; they are ultimately bound together by joint responsibility. If one of them is compelled to sell his rights to meet demands upon him, others have the right for pre-emption.” In other words under this system the ownership of the entire village area was claimed by the body of co-sharers. The village was the smallest unit and there was communal ownership of village property. This system was first adopted in Agra and Oudh and was later on extended to the Punjab. The procedure, period of settlement and assessment of land revenue differed from place to place for example in Agra the settlement was made collectively with the village bodies while in Oudh it was made with the individual Taluqdars', in Punjab the revenue was collected from the joint-holders of the village estates. In Madhya Pradesh the Malguzars were virtually considered the proprietary land-lords of the villages. In a way this system very much resembled the Ryotwari. Thus the Mahalwari system resembled the Zamindari system in Oudh and C.P., while in Punjab it resembled the Ryotwari system.

However, the Mahalwari System also suffered from defects like the other two systems. The position of the cultivators under this system was identical to the position of peasant-proprietors, whether the Ryotwari system or tenants under the Zamindari system. It may be observed that one of the outstanding features of all the three types of land tenure system was that none of them arose out of the historical development of the Indian society. They were all in the economic experiments by British rulers and completely wiped off all the remnants of the old village communities. Summing up the position of the land tenures introduced by the English, Marx observed: “In Bengal they (the British rulers in India) created a caricature of a large scale English land estates: in South-eastern India a caricature of small allotment of property, in the North-west they transformed the Indian communes, with common ownership of the soil into a caricature of itself”.

3.4.8 Disintegration of Village Economy

The overall impact of the East India Company's revenue systems and excessive state demand coupled with the new judicial and administrative set-up turned Indian rural economy upside down with the village Panchayats deprived of their two main functions – land settlements, judicial and executive functions – and the Patel merely acting as a Government official charged with the duty of revenue collection, the old politico-economic-social framework of village communities broke down. The introduction of the concept of private property in land turned land into a market commodity. Changes came in social relationships. New social classes like

the landlord, the trader, the moneylender, and the landed gentry shot into importance. The class of rural proletariat, the poor peasant proprietor, the sub-tenant, and the agricultural labour multiplied in number. The climate of cooperation gradually gave place to the system of competition and individualism. The prerequisites of the capitalist development of agriculture were created. Further, new modes of production, introduction of money economy, commercialization of agriculture, better means of transport and linkage with the world market added a new dimension to Indian agriculture and rural economy.

These experiments in land settlements created a chaos in land relations and made the peasants paupers. They also created social tension in the countryside and ruined the Indian agriculture.

Check your progress -1

1. Write a short note on Pre-British Agrarian Structure
2. Examine the British Land Revenue System
3. Give an account of the Permanent Settlement
4. Discuss about the assessment of Zamindari System
5. Explain the demerits of the Zamindari system
6. Write a note on Ryotwari System
7. Discuss the Mahalwari System

3.5 Let us sum up

On the eve of the British conquest of India, first, the land belonged to the peasant who enjoyed hereditary occupancy rights. The rent of the land could not be increased by the Zamindar beyond the customary level (nirikh). Secondly, no peasant could be evicted from his land unless he failed to cultivate the same. In such cases also the released land was handed over to another cultivator enjoying occupancy rights. In other words the land always remained in the hands of the peasantry. Thirdly, the Zamindars who looked after these lands and paid a fixed tribute to the ruler, were like petty rulers of the areas. They were expected to perform all the traditional duties of a ruler in relation to development of agriculture.

3.6 Answers to check your progress

1. See the sub-section 3.3
2. See the sub-section 3.4
3. See the sub-section 3.4.3
4. See the sub-section 3.4.4
5. See the sub-section 3.4.5
6. See the sub-section 3.4.6
7. See the sub-section 3.4.7

3.7 References

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LESSON - 4

COMMERCIALISATION OF AGRICULTURE AND DEVELOPMENT OF IRRIGATION

When the British came, India was predominantly an agricultural country and the majority of the people depended on land for their livelihood. The people depended on agriculture as well as cottage industries. However, the British discouraged the Indian manufactures with a view to promote their own commercial interests. As a result the manufacturing industries greatly declined and more and more people took to agriculture. In course of time the handicrafts and other traditional goods ceased to be the chief export items and India started exporting raw materials to foreign countries. In fact she became an agricultural appendage of Great Britain.

Plan of Study

4.1 Learning Objectives

4.2 Introduction

4.3 Commercialisation of Agriculture

4.3.1 Impact of the Commercialisation of Agriculture

4.4 Development of Irrigation under the British

4.4.1 Irrigation System and Cultivation

4.5 Let us sum up

4.6 Answers to check your progress

4.7 References

4.1 Learning Objectives

- You will familiarize with the commercialization of Indian Agriculture
- You will be able to discuss the Impact of the Commercialisation of Agriculture.
- We can understand the development of Irrigation under the British

4.2 Introduction

One important aspect of British economic policy was commercialization of agriculture. The commercialization of agriculture means that the agricultural crops and goods are produced by the peasants for sale in the market and not for their own consumption. Commercialization of agriculture in India began during the British rule. The commercialization of Indian Agriculture took place not to feed the industries of India but to feed the British industries that it was taken up and achieved only in cases-of those agricultural products which were either needed by the British industries or could fetch cash commercial gain to the British in the European market. Close to nineteenth century according to sources of irrigation; canals irrigated 45 %, wells 35 %, tanks 15 % and other sources 5 %. Famines of 1897-98 and 1899-1900 necessitated British to appoint first irrigation commission in 1901, especially to report on irrigation as a means of protection against famine in India. As a result of recommendations of first irrigation commission total irrigated area by public and private works increased.

4.3 Commercialisation of Agriculture

COMMERCIALISATION OF AGRICULTURE

- The British industrialists were always in the need of raw materials like cotton, indigo, jute, groundnut, sugarcane, etc. to keep their factories running;
- By offering higher prices, the Indian peasants were attracted to production of commercial crops instead of food crops;
- The extent of commercial agriculture went so far as to make many peasants purchase their food requirements from shops in towns;
- This fall in production of food crops was responsible for frequent famines in India during the British days.
- Growing of cash crops instead of food crops is called Commercialisation of Agriculture.

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A notable development during the British rule in India was the growth of commercial agriculture. One of the consequences of the new land revenue systems and the demand of land revenue in cash was that the old objective of village agriculture namely the production for village use, was replaced by that of market. Also, there was a great demand for export crops. Therefore the peasants tended to change over from the traditional subsistence crops to cash crops such as opium, indigo, silk and sugar. The peasants began to produce for the requirements

of market. They did it with a view to realizing maximum cash which was needed to pay the land revenue and to meet the claim of the money lender. This inevitably led to the emergence of the phenomenon called commercialization of agriculture. Certain areas were solely used for the cultivation of a single agricultural crop such as cotton, jute, wheat, sugarcane and oil seeds.

There had been a substantial increase in the acreage of indigo, mulberry, poppy and sugarcane in course of seventeenth and early eighteenth centuries. New crops like tobacco and maize and a variety of edible fruits brought in by the Mughals and the Portuguese were by now widely grown. Agriculture and horticulture in India were thus receptive to new items and responsive to market demand. By the mid 18th century, development of market forces had made deep inroads into the subsistence character of Indian agriculture. There was a substantial growth of non-food crop production. Yet, farming technology was backward and stagnant which was often the result of the poverty of the agricultural masses. But there was a very high yield per acre in pre-colonial and early colonial days which cannot be simply explained.

With the rise of modern industries in England and growing demand for raw materials the British government pursued economic policies which expanded the area of growth of such raw materials as needed by the British industries. It was around 1833 that jute cultivation was introduced in Bengal with a view to export it to foreign markets. A little later the export of cotton was also started. Shifts in agriculture were most pronounced in river adjoining. The demand for agricultural product, especially indigo, cotton, sugar and opium, caused shifts in cropping patterns and expanded commercialisation.

The English East India Company and European enterprises played an important role in the production of export commodities. They actually controlled the cultivation of cash crops like indigo and opium. Sometimes they indulged in coercion. The exploitation of the indigo cultivators by the European planters was a typical example for coercion. By the close of eighteenth century when the export of indigo was steadily increasing, Europeans came to India and settled down as indigo planters mostly in Bengal. They forced the ryots to cultivate indigo in certain portion of their land and deliver plants to them at a fixed low price for processing. By receiving advance from the indigo planters the cultivators became bonded. In the first half of the nineteenth century indigo became a major Indian export and indigo planters flourished by exploiting the ryots.

Besides indulging in coercion, the company also took steps to encourage the farmers to shift to cash crops. The Company showed particular interest in the cultivation of cotton. Previously

cotton was cultivated mainly to meet the needs of the indigenous textiles industry. From the last quarter of the eighteenth century, India came to be looked upon as a great potential exporter of raw cotton to England. Therefore, the company took considerable interest to improve the cultivation of cotton. Seeds of superior quality was imported and distributed to the farmers. In the Madras presidency, Bourbon cotton was naturalized in the districts of Tirunelveli, Salam and Coimbatore. Experimental cotton farms were set up to demonstrate better techniques of cultivation. As a result of these efforts by 1857-58, Madras exported around 55 million pounds of raw cotton. It should be noted that the increase in cotton cultivation often displaced the food crops.

Normally, the growth of commercial agriculture would stimulate the peasant economy because it provides the peasants with cash resources. But on the contrary the commercialization of agriculture had adverse effects on the old peasant economy. This was due to the monopoly of the Company and other European enterprises in the production and distribution of cash crops. Sometimes the cultivation of cash crops had no connection with the traditional agriculture. For example, the tea cultivation was largely isolated from normal agriculture. It was controlled by the Europeans.

Further, the Company as well as merchants gave advances to cultivators to stimulate production and control marketing of cash crops. These methods of advances and debt bondage had taken away most of the profits leaving little to the cultivators. As a result, the Indian Agriculture started suffering from stagnation and increasing rural indebtedness which had been more explicit in the first half of the twentieth century.

agriculture commercialized by the British in India

- 1. Production of Cash Crops like tea, coffee, indigo, opium, cotton, jute, sugarcane and oilseeds.
- Opium was introduced to exchange with China for the Chinese tea. The market for opium
- was controlled by the British, the India farmers did not get any profits.
- The Indian farmers were forced to produce indigo, it was used as a dyeing agent by the
- textile industry in Britain. The cultivation of Indigo left the lands unfertile, so the farmers
- were not ready to grow indigo but were forced to grow them.

4.3.1 Impact of the Commercialisation of Agriculture

Rural Indebtedness and Growth of Poverty – one of the most serious economic problems in British India was the heavy rural indebtedness. The land revenue policies of the British and the disastrous natural calamities like famines and epidemics brought economic miseries to the agriculturists. A large proportion of Indian peasants got into debt due to their inability to pay land revenue as a result of bad monsoons. In this situation the peasants depended on the local money-lender. The village money-lender provided credit to the peasants. As he happened to be the only supplier of capital to the peasants he pushed up the rate of interest to fantastic levels. It was very unfortunate that there was no adequate substitute for the village money-lender.

During the time of colonial rule cultivation extended rapidly increased in India Why?

In 1880 to 1920, cultivated area in India increased in to 6.7 million hect- Why

During the time of colonial rule cultivation extended rapidly based on two reason.

1. British encouraged the production of commercial crop like jute, sugar, wheat and cotton. In 19th century the demand of food crops and food grains increased in Europe as a result of the increased population.
2. In 19th century, the colonial rule considered forest were unproductive. So they cleared the land for cultivation and they thought that agriculture product and revenue increase the income of the state. So between 1880 and 1920, cultivated area rose by 6.7 million hectares

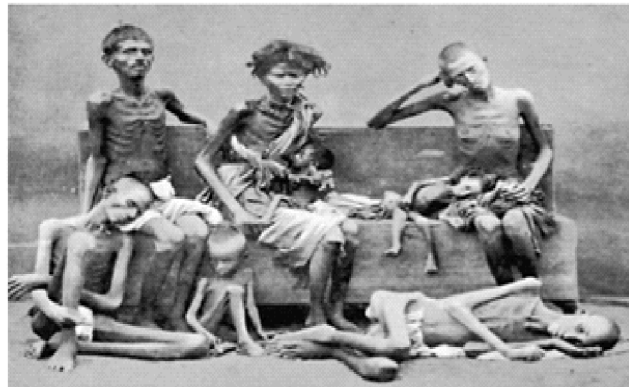
The increasing burden of debt led to the growth of phenomenal poverty of the agricultural population. The exorbitant rates of interest were not only unproductive but also a heavy burden on the farmers. Unable to pay his debt and even interest on it, the agriculturist not only lost his crops but also his land to the money-lender. The agrarian indebtedness had reached a high level even in 1880 and went on increasing in the following decades. According to the Central Banking Enquiry Committee report of 1931 the total agricultural indebtedness of the provinces in British India was about 900 crores of rupees. The distribution of takkavi loans by the government was too limited to deal with this vast and complex problem. The steady increase of rural debt in India from Rs.3000 million in 1911 to 18000 million in 1938 was the clear evidence of the worsening situation of the Indian villages. The consequent indebtedness ultimately resulted in the transfer of land from agricultural class to the non-agricultural money-lender.

The increasing indebtedness of the agriculturists consequently led to alienation of their lands. Under the pressure of debt they were obliged to mortgage and eventually to transfer a portion of their land. It is to be noted that sale and purchase of land was rare in pre-British times while it became common under the British rule. The Indigo disturbances in Bengal in 1860 and the “Neel Darpan” case had served to open the eyes of the educated Indians to the degradation, oppression and poverty of the tiller of the soil. The Deccan riots in 1873 revealed that the peasantry was living under a crushing burden of debt and required timely relief to avoid an open revolt not only against the money lender but also against the government. The Deccan Agriculturist Relief Act and the Punjab Land Alienation Act were passed not because of government sympathy for the oppressed peasantry but due to political considerations.

British rule hurt the native Indian economy, further divided social classes, increased hostility between Muslims & Hindus



The British emphasis on cash-crop plantations led to food shortages & famine in India (7 million Indians died due to starvation in 1876)



Check your progress -1

1. Narrate the Commercialisation of Agriculture under British rule
2. Explain the Impact of the Commercialisation of Agriculture

4.4 Development of Irrigation under the British

The first half of the 19th century during the British rule, the canals of Ancient India were subsequently remodeled, renovated and converted into perennial canals. This was followed by

a large number of diversion works with extensive canal systems. Important among them are the Upper Ganga Canal, the Upper Bari-Doab Canal, the Godavari delta system, the Krishna delta system, the Sirhind canal on the Sutlej River which were constructed towards the middle of the nineteenth century. Then started an era of storage dams like the Khadakwasala near Pune with the Mutha canal system and the Periyar dam in the erstwhile Travancore State to divert the west flowing Periyar waters towards the east were constructed in the later half of the nineteenth century.

During the closing decades of the nineteenth century the country was stalked by successive famines. It led to setting up of a series of Famine Commissions. As a follow up, schemes like the Betwa canal in Uttar Pradesh, the Nira left bank canal in Maharashtra and the Rushikulya system in Orissa were executed.

At the turn of the twentieth century First Irrigation Commission was set up to take stock of the existing irrigation facility and to make recommendations for its furtherance. As a result of the findings of the Irrigation Commission special attention was given to the development of irrigation in the country. The Godavari canal, the Pravara canal and the Nira right bank canal in Maharashtra, the Sarda canal in Uttar Pradesh and the Gang canal in Rajasthan were some of the important works constructed in the pre-independence period of the twentieth century.

Table 6.1. Irrigation Works Completed before Independence

<i>Important Irrigation works</i>	<i>Year of completion</i>	<i>Irrigation benefits (lakh ha)</i>
Andhra Pradesh		
(i) Godavari delta system	1890	5.58
(ii) Krishna delta system	1898	4.42
Bihar		
(iii) Sone canal system	1874	3.47
Haryana		
(iv) Western Yamuna canal system	1820	4.31
Punjab		
(v) Upper Bari Doab canal	1859	3.35
(vi) Sirhind canal	1873	6.00
Rajasthan		
(vii) Gang canal	1927	3.04
Tamil Nadu		
(viii) Cauvery delta system	1889	5.05
Uttar Pradesh		
(ix) Upper Gang canal system	1856	6.99
(x) Lower Gang canal system	1880	5.28
(xi) Eastern Yamuna canal system	1830	1.91
(xii) Sarda canal system	1926	6.12

Three important reservoir projects namely, the Mettur reservoir in Tamil Nadu, the Krishnaraj Sagar in Karnataka and Nizam Sagar in Andhra Pradesh were also completed during this period. In addition, many other big and small irrigation works like those mentioned above and also tanks and wells were constructed. The above table gives the statewise list of some important irrigation works, benefitting about 2 lakh hectares and above, completed before independence

If one looks at the irrigation works completed during British rule it will appear that mostly diversion works were constructed on the main rivers. These works were constructed in short period at low cost and gave immediate relief. The copious river flows were directly diverted on to the fields by constructing canal network and vast fertile areas were brought under irrigation. Obviously extent of irrigation depended on the adequacy of river flows. In good rainfall years extensive irrigation was possible while in bad years irrigation was limited to availability of flows. It, however, provided food security to the population during famines to some extent. Very few storage dams were constructed during this period. Krishna Raj Sagar in Karnataka, Khadakwasala in Maharashtra, Periyar dam in Kerala and Mettur in Tamil Nadu are noteworthy



4.4.1 Irrigation System and Cultivation

In 1800, some 800,000 hectares was irrigated in India. The British Raj by 1940 built significant number of canals and irrigation systems in Uttar Pradesh, Bihar, Punjab, Assam

and Orissa. The Ganges Canal reached 350 miles from Haridwar to Kanpur in Uttar Pradesh. In Assam, a canal started in 1840, had 4,000,000 acres under cultivation, especially in tea plantations by 1900. In all, the amount of irrigated land multiplied by a factor of eight. Historian David Gilmour states British colonial government had built irrigation network with Ganges canal and that, “by the end of the century the new network of canals in the Punjab” were in place.

Much of the increase in irrigation during British colonial era was targeted at dedicated poppy and opium farms in India, for exports to China. Poppy cultivation by the British Raj required reliable, dedicated irrigation system. Large portions of the eastern and northern regions of India, namely United Provinces, Northwestern Provinces, Oudh, Behar, Bengal and Rewa were irrigated to ensure reliable supply of poppy and opium for China. By 1850, Asian opium trade created nearly 1,000 square kilometers of poppy farms in India in its fertile Ganges plains, which increased to over 500,000 acres by 1900. This diversion of food crop land to cash crop use, state scholars, led to massive famines over 1850 to 1905 period.

Major irrigation canals were built after millions of people died each in a series of major famines in the 19th century's British India. In 1900, British India (including Bangladesh and Pakistan) had about 13 million hectares under irrigation. In 1901 the Viceroy, Lord Curzon, appointed a Commission chaired by Sir Colin Scott-Moncrieff to draw up a comprehensive irrigation plan for India. In 1903 the Commission's report recommended irrigation of an additional 2.6 million hectares. By 1947, the irrigated area had increased to about 22 million ha. In Northwestern British India region alone, with the colonial government's effort, 2.2 million hectares of previously barren land was irrigated by 1940s, most of which is now part of Pakistan. Arthur Cotton led some irrigation canal projects in the Deccan peninsula, and landmarks are named after him in Andhra Pradesh and Tamil Nadu. However, much of the added irrigation capacity during the colonial era was provided by groundwater wells and tanks, operated manually

Check your progress -2

1. Examine the development of Irrigation under the British

4.5 Let us sum up

The commercialization of Indian Agriculture took place not to feed the industries of India but to feed the British industries that it was taken up and achieved only in cases where agricultural products were either needed by the British industries or could fetch commercial gain to the

British in the European market. Major irrigation canals were built after millions of people died in a series of major famines in the 19th century British India. The Irrigation Commission had given special attention to the development of irrigation in the country.

4.6 Answers to check your progress

Check your progress -1

1. See the sub-section 4.3
2. See the sub-section 4.3.1

Check your progress -2

1. See the sub-section 4.4 & 4.4.1

4.7 References

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LESSON - 5

CONDITION OF PEASANTS AND PEASANTS MOVEMENTS

The economic policies of British adversely affected the Indian peasants. The British used to protect the landlords and money lenders and exploited the peasants. The peasants rose in revolt against this injustice on many occasions. Anthony Pereira, a political scientist, has defined a peasant movement as a “social movement made up of peasants (small landholders or farm workers on large farms), usually inspired by the goal of improving the situation of peasants in a nation or territory”. This condition of the peasants under the British rule had been a prime cause of sepoy mutiny in India.

Plan of Study

5.1 Learning Objectives

5.2 Introduction

5.3 Peasantry under the British

5.4 Nature of Peasant Movements in India

5.5 Important Peasant Movements in India

5.5.1 Indigo Revolt (1859-60)

5.5.2 Pabna Agrarian unrest (1870-80)

5.5.3 Deccan Riot (1874)

5.5.4 Champaran Satyagraha (1917-1918)

5.5.5 Kheda Peasant Struggle (1919)

5.5.6 Mappila Peasant Movement (1921)

5.5.7 Eka / the Unity Movement (1921-22)

5.5.8 The Bardoli Sathyagraha (1928)

5.5.9 Telangana Peasant Movement (1947-48)

5.5.10 The All India Kisan Sabha (1936)

5.5.11 Tebhaga Movement in Bengal (1946)

5.6 Let us sum up

5.7 Answers to check your progress

5.8 References

5.1 Learning Objectives

- You will understand the condition of the Peasants of India
- You will be able to learn the Peasants revolts during British period
- We can understand that the Peasants movements in various parts of India under the British rules strengthen to the spirit of Nationalism

5.2 Introduction

The land was the major importance to almost all the people of the Indian soil because most of them depended on cultivation for their subsistence. The British had decided that it would extract two-thirds of the economic rental value of the land with the help of settlement officials. As a result, the land proprietors were ready to give land on rent to the non-proprietors at the same rate of the revenue that they paid to the government officials. This led to a deep-rooted dissatisfaction within the farmers. They had to pay a tribute in the form of rent to the British government for the land, which they tilled themselves. When economic policies characterized the ruin of traditional handicrafts, change of ownership and overcrowding of land, and massive debt and impoverishment of peasantry led to peasant uprisings during the colonial period, and development of peasant movements.

5.3 Peasantry under the British

The impoverishment of the Indian peasantry was a direct result of the transformation of the agrarian structure due to (a) Colonial economic policies, (b) Ruin of the handicrafts leading to overcrowding of land, (c) The new land revenue system and (d) Colonial administrative and judicial system. The peasants suffered from high rents, illegal levies, arbitrary evictions and unpaid labour in Zamindari areas. In Ryotwari areas, the Government itself levied heavy land revenue.

The overburdened farmer, fearing loss of his only source of livelihood, often approached the local moneylender who made full use of the former's difficulties by extracting high rates of interests on the money lent. Often, the farmer had to mortgage his hand and cattle. Sometimes, the money-lender seized the mortgaged belongings. Gradually, over large areas, the actual cultivators were reduced to the status of tenants-at-will, share croppers and landless labourers. The peasants often resisted the exploitation, and soon they realised that their real enemy was the colonial state.

During the British reign the conditions of the farmers were such that they experienced an alienation from their land and the source of their alienation was the uprising of a new class known by the name moneylenders. At the same time it can be said that it was during the British rule agriculture started becoming commercialized. Interference of the money lenders made the backward agricultural regions to become commercialized in nature. Discontentment within the peasant class gradually took a huge size and a number of rebellions took place in various regions of the Indian sub-continent. The peasant class had brought about rebellion against the British because they wanted to protest against the alienated conditions to which they were subjected to by the British government. They wanted to maintain the ownership of their land and could not accept the supremacy of the money lender. Besides these factors, uncertain monsoons, poor means of irrigational facilities, and lack of modernization of agriculture also contributed to the impoverishment of the peasantry.

Added to these factors, the most important feature was high demand for revenue and its constant increase year after year throughout the colonial period. The British collected as land revenue from Bengal in 1767 an amount of sixty lakh of rupees. By 1793, the amount rose to Rs 1, 09, 59,130. Besides high tax on the cultivator, many intermediaries exploiting the innocent and uneducated peasant by demanding tax at various levels made the cultivator approach the moneylender to pay the revenue due to the state. Consequently, the peasants became indebted and it led to rural indebtedness as rural industries based on rural handicrafts declined due to rapid industrialization of England and the drain of wealth from India to England.

The early Indian nationalist thinkers Dadabai Naoroji, R.C. Dutt and Govind Mahadeva Ranade and many more made minute studies of the drain of wealth and causes of rural indebtedness and finally came to the conclusion that it was all due to the British colonial interests destroying the Indian agriculture and rural industries. Bishwesvar Prasad aptly remarks that the prosperity of England beckoned poverty of India, for imperialism based on a colonial economy thrives on the exploitation of the dependent subjects. India had become the victim of colonialism and all the evils of imperialism had become evident before the power and position of the East India Company had been extinguished after the revolt of 1857. By 1911, the rural indebtedness was estimated as 300 crore and by 1937 it rose to 1,800 crore.

	OBJECTIVE
	❖ India is majorly an agrarian country. ❖ Its economic progress mainly depends on the progress of the peasants and other informal capitalists. ❖ So here we will basically study about the condition of peasants in India and how Democracy helps in their Economic Development.

Check your progress -1

1. Describe the Peasantry under the British rule

5.4 Nature of Peasant Movements in India

- i. Peasants emerged as the main force in agrarian movements, fighting directly for their own demands.
- ii. The demands were centered almost wholly on economic issues.
- iii. The movements were directed against the immediate enemies of the peasant—foreign planters and indigenous zamindars and moneylenders.
- iv. The struggles were directed towards specific and limited objectives and redresses of particular grievances.
- v. Colonialism was not the target of these movements.
- vi. It was not the objective of these movements to end the system of subordination or exploitation of the peasants.
- vii. Territorial reach was limited.
- viii. There was no continuity of struggle or long-term organisation.

- ix. The peasants developed a strong awareness of their legal rights and asserted them in and outside the courts.

Check your progress -2

1. Explain the nature of Peasant movements in India during colonial period.

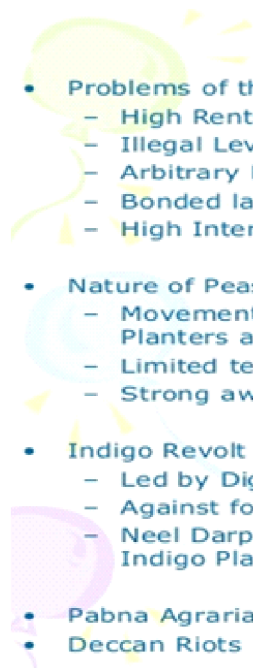
5.5 Important Peasant Movements in India

Some of the most important peasant movements in India were as follows: Indigo Revolt (1859-60), Pabna Agrarian unrest (1870-80), Deccan Riots (1874), Champaran Satyagraha (1917-1918), Kheda Peasant Struggle (1919), Mappila Peasant Movement (1921), Eka / the Unity Movement (1921-22), The Bardoli Satyagraha (1928), Telangana Peasant Movement (1947-48), The All India Kisan Sabha (1936), Tebhaga Movement in Bengal (1946). The history of agrarian unrest can be traced back to the first quarter of 1920s. The historians have used various terms for peasant unrest. For some the unrest is called as a peasant struggle, for some it is called as a peasant uprising and some others call it as a peasant revolution. Few others call it simply a movement.

5.5.1 Indigo Revolt (1859-60)

The indigo planters in Bengal exploited the local peasants by forcing them to grow indigo on their lands instead of food crops like rice. The planters forced the peasants to take advance sums and enter into fraudulent contracts which were then used against the peasants. The anger of the peasants exploded in 1859 when, led by Digambar Biswas and Bishnu Biswas of Nadia district, they decided not to grow indigo under duress and resisted the physical pressure of the planters and their lathies (retainers) backed by police and the courts. The peasants organised a counter force against the planters' attacks. The ryots replied by going on a rent strike by refusing to pay the enhanced rents and by physically resisting the attempts to evict them. The Bengali intelligentsia played a significant role by supporting the peasants' cause through newspaper campaigns, organisation of mass meetings, preparing memoranda on peasants' grievances and supporting them in legal battles.

The Government appointed an indigo commission to inquire into the problem of indigo cultivation. Based on its recommendations, the Government issued a notification in November 1860 that the ryots could not be compelled to grow indigo and that it would ensure that all disputes were settled by legal means. But, the planters were already closing down factories and indigo cultivation was virtually wiped out from Bengal by the end of 1860.



Peasant Movements 1857 - 1947

- **Problems of the Peasants**
 - High Rents
 - Illegal Levies
 - Arbitrary Evictions
 - Bonded labour
 - High Interest rate on the loans taken from Moneylenders
- **Nature of Peasant Movements :**
 - Movements directed against their immediate oppressors- Zamindars, Foreign Planters and Moneylenders
 - Limited territorial reach
 - Strong awareness of their legal rights
- **Indigo Revolt (1859-60)**
 - Led by Digambar Bishwas and Bishnu Bishwas
 - Against forced Cultivation of Indigo on their Farm
 - Neel Darpan – Bengali Play written by Deenbandhu Mitra based on struggle of Indigo Planters
- **Pabna Agrarian League**
- **Deccan Riots**

5.5.2 Pabna Agrarian unrest (1870-80)

During the 1870s and 1880s, large parts of Eastern Bengal witnessed agrarian unrest caused by oppressive practices of the Zamindars. The Zamindars resorted to enhanced rents beyond legal limits and prevented the tenants from acquiring occupancy rights under Act X of 1859. To achieve their ends, the Zamindars resorted to forcible evictions, seizure of cattle and crops and prolonged costly litigation in courts where the poor peasant found himself at a disadvantage.

Having had enough of the oppressive regime, the peasants of Yusufshahi Pargana in Patna district formed an agrarian league or combination to resist the demands of the Zamindars. The league organised a rent strike—the ryots refused to pay the enhanced rents, challenging the Zamindars in the courts. A number of young Indian intellectuals supported the peasants' cause. These included Bankim Chandra Chatterjee, R.C. Dutt and the Indian Association under Surendranath Banerjee.

The struggles spread throughout Patna and to other districts of East Bengal. The main form of struggle was that of legal resistance; there was very little violence. Though the peasant discontent continued to linger on till 1885, most of the cases had been solved, partially through official persuasion and partially because of Zamindars' fears. Many peasants were able to acquire occupancy rights and resist enhanced rents. The Government also promised to

undertake legislation to protect the tenants from the worst aspects of Zamindari oppression. In 1885, the Bengal Tenancy Act was passed.

5.5.3 Deccan Riots (1874)

The ryots of Deccan region of western India suffered heavy taxation under the Ryotwari system. The conditions had worsened due to a crash in cotton prices after the end of the American civil war in 1864, the Government's decision to raise the land revenue by 50% in 1867, and a succession of bad harvests. Here again the peasants found themselves trapped in a vicious network with the moneylender being mostly outsiders— Marwaris or Gujaratis as the exploiters and the main beneficiary. In 1874, the growing tension between the moneylenders and the peasants resulted in a social boycott movement organised by the ryots against the “outsider” moneylenders. The modern nationalist intelligentsia of Maharashtra supported the peasants' cause. The ryots refused to buy from their shops. No peasant would cultivate their fields.

The barbers, washermen, shoemakers would not serve them. This social boycott spread rapidly to the villages of Poona, Ahmednagar, Sholapur and Satara. Soon the social boycott was transformed into agrarian riots with systematic attacks on the moneylenders' houses and shops. The debt bonds and deeds were seized and publicly burnt. The Government succeeded in repressing the movement. As a conciliatory measure, the Deccan Agriculturists Relief Act was passed in 1879.

5.5.4 Champaran Satyagraha (1917-1918)

The Champaran peasant movement was a part of the independence movement. After returning from South Africa, Gandhiji made the experiment of non-cooperation by leading the Champaran (Bihar) and Kheda (Gujarat) peasant struggles. The basic idea was to mobilize the peasants and make them attain their demands.

The peasant movement of Champaran was launched in 1917-1918. The main aim was to create awakening among the peasantry against the European planters. These planters exploited the peasants without providing them adequate remuneration for their labor. The European planters resorted to all sorts of illegal and inhuman methods of indigo cultivation. The peasants were not only exploited by the European planters but also by the local zamindars. It was in such a situation that Gandhiji took up their cause and launched the movement. The people of Champaran also accepted his leadership.

The Champaran Satyagraha took place in April 1917. In order to oppress the peasants of Champaran, the British government adopted very serious methods. The peasants were tortured for not paying the excess rents. The peasants of Champaran had to undergo severe suffering and misery. However, the movement has led to certain important outcomes. The Champaran Agrarian Act was assented by the Governor-General of India on 1 May 1918. The ideology of non-violence had given much strength to the peasants who participated in the movement. The movement also contributed to the growth of nationalism.

5.5.5 Kheda Peasant Struggle (1919)

The peasantry of Kheda consisted mainly of Patidars who were known for their skills in agriculture. Kheda is situated in the central part of Gujarat and was quite fertile for the cultivation of tobacco and cotton crops. The important causes for the Kheda struggle was Reassessment of Kheda land done by the government based on the cultivation of crops. On the basis of such data, the government increased the tax, which was not acceptable to the peasants. There was a severe famine in Kheda, which resulted in the failure of crops. The government did not accept the failure of crops but was insistent on the collection of land tax, not taking the conditions of peasants into consideration. The peasants submitted petitions to the higher authorities of the province requesting the suspension of the revenue assessment for the year 1919. But the officials rejected, the demands of the peasants regarding the non-payment of the taxes.

When the government refused to consider the demands of the peasants, Gandhiji encouraged the peasants to resort to Satyagraha. Thus, the Kheda Satyagraha was started in March 1919 under the leadership of Gandhiji, Sardar Vallabhbhai Patel, N.M. Joshi, and several others. This was a similar kind of experiment to Champaran based on non-violence. The government officials auctioned the peasants' cattle, confiscated their houses and took away their movable property due to the non-payment of land tax. The peasants were issued notices of fines and penalties by the government. The movement was terminated owing to the acceptance of some of the prime demands of the peasantry.

The achievements of the struggle were that the rich Patidar peasants will pay up the land rent and the poor peasants were granted remissions. Due to this decision the small and poor peasants who formed the majority became very satisfied. It also created an awakening among the peasants about their demands. The peasants also indirectly came to be involved in the independence struggle.

5.5.6 Mappila Peasant Movement (1921)

The Moplah Peasant Movement started in August 1921. The Mappilas were the Muslim tenants inhabiting the Malabar region where most of the landlords were high-caste Hindus. Malabar was under the British rule. The government officials in alliance with the Hindu landlords oppressed the Mappila peasants. The Mappila tenants agitated against the Hindu landlords and the British government. Most of their grievances were related to security of tenure, high rents, renewal fees, and other unfair exactions of the landlords.

The Mappila agitation was basically the struggle against the Hindu landlords who were called Jenmis. The relationship between the Mappilas and the Jenmis was quite unfriendly for a long time. The relationship was both economically and religiously antagonistic. There was a lot of insecurity in relation to land tenure. The Mappilas were often expelled from their land without prior notice. The Jenmis fixed the renewal fee at an exorbitant rate, which was the immediate cause for Mappila agitation. The Jenmis collected very high exactions from the Mappila tenants. Moreover, the Mappila tenants were discriminated against the Hindu tenants. Another motivating factor, which caused the Mappila agitation, was the Khilafat movement. This movement took roots in Malabar also. The Mappilas actively took part in the Khilafat movement from which they got support for their peasant agitation. The British government was weakened as a result of First World War and it was not in a position to take military action at this moment. Taking advantage of this situation, the Mappilas increased their raids.

The final break to the Mappila rebellion came when a Khilafat leader and a highly reputed priest Ali Musaliar was arrested. The police opened fire on the unarmed crowd and many were killed. This resulted in a clash in which the government offices were destroyed, records burnt, and the treasury looted. The rebellion soon spread to all the strongholds of the Mappilas. Mostly, the targets of the Mappila attacks were the unpopular Jenmis, police stations, treasuries, offices, and the British planters. They spared those Hindu landlords who maintained lenient relations with them. The Mappila rebels travelled several miles through the territory and attacked only the Hindu landlords. This gave a communal flavor to the peasant movement. The most important aspect of the Mappila peasant struggle was the communalization of peasant agitation. Due to such communalization the Mappilas lost their sympathy among the Malabar people. Soon the rebellion was crushed by the British by December 1921.

5.5.7 Eka / the Unity Movement (1921-22)

Towards the end of 1921, peasant discontent in some northern districts of the United Provinces—Hardoi, Bahraich, Sitapur held a meeting against the issues involved like High rents—50 per cent higher than the recorded rates; Oppression of thikadars in charge of revenue collection; and, practice of share-rents. The grassroot leadership of the Eka Movement came from Madari Pasi and other low-caste leaders, and many small Zamindars.

The meetings of the Eka or the Unity Movement involved a symbolic religious ritual in which the assembled peasants vowed that they would pay only the recorded rent but would pay it on times, Refuse to leave when evicted, Refuse to do forced labour, Give no help to criminals and, Abide by Panchayat decisions. But by March 1922, severe repression by authorities brought the movement to an end.

5.5.8 The Bardoli Satyagraha (1928)

The taluka of Bardoli, in the state of Gujarat suffered from heavy floods and severe famine which affected the crops very badly. This situation led the farmers to face great financial troubles. At the same time, the Government of Bombay Presidency raised the tax rate by 30 per cent. Without taking into consideration the requests and petitions of the civic groups who explained the calamities which occurred in the taluka, the Government refused to reduce the tax rate.

Vallabhai Patel served as the municipal president of Ahmedabad, was called to lead the movement. A Bardoli Inquiry Committee was set up to go into the issue. The women of Bardoli gave him the title of “Sardar”. Under Patel, the Bardoli peasants resolved to refuse payments of the revised assessment until the Government appointed an independent tribunal or accepted the current amount as full payment. To organise the movement, Patel set up 13 chhavanis or workers’ camps in the taluqa. Bardoli Satyagraha Patrika was brought out to mobilise public opinion. An intelligence wing was set up to make sure all the tenants followed the movement’s resolutions. Those who opposed the movement faced a social boycott. Special emphasis was placed on the mobilisation of women. K.M. Munshi and Lalji Naranji resigned from the Bombay Legislative Council in support of the movement.

Vallabhai Patel instructed the farmers to be on non-violent path and not to respond to the aggressive actions of police and officials. He reassured them that the struggle would not come to an end until the cancellation of all the taxes for the whole year and return all the seized

property and lands to their owners. The Government decided to crush the revolt by terrorizing and seizing the property of the villagers. By August 1928, massive tension had built up in the area. There were prospects of a railway strike in Bombay. Gandhi reached Bardoli to stand by in case of any emergency. The Government was looking for a graceful withdrawal now. It set the condition that first the enhanced rent be paid by all the occupants (not actually done). Then, a committee went into the whole affair and found the revenue hike to be unjustified and recommended a rise of 6.03 per cent only. Finally, the government agreed to restore the confiscated property and also cancel the revenue payment for the year. It also cancelled the raise of 30 per cent until next year.

5.5.9 Telangana Peasant Movement (1947-48)

This movement was started against the Nizam of Hyderabad. The agrarian structure followed the feudal system at this time. During this time, two kinds of land tenure systems were prevalent, namely, Ryotwari and Jagirdari. Under the Ryotwari system the peasants owned patta in their name and were the proprietors and registered occupants of the land. The actual cultivators were known as shikmidars. The lands of chieftains were known as Khalsa lands. The Deshmukhs and Deshpandes were the hereditary tax collectors for the Khalsa villages. The jagirdars collected the tax in the jagir villages. The jagirdars and Deshmukhs exercised immense power at the local level.

The main commercial crops of the Telangana region were groundnut, tobacco, and castor seed, which were cultivated by the landowning Brahmins. The rise of Reddis and other peasant proprietors strengthened the higher castes. The urban groups especially the Brahmins, Marwaris, Muslims, and Vaisyas showed interest in gaining and acquiring the lands. This resulted in sliding down of the status of the peasant proprietors to that of tenants-at-will sharecroppers and landless laborers

The Telangana movement did not erupt suddenly. There were many factors, which resulted in such insurrection. The condition of the peasants reached its saturation point by 1930. The Jagirdars and the Deshmukhs were the intermediaries and were responsible for collecting taxes from the cultivators. The cultivators were oppressed and exploited by these intermediaries who were appointed by the Nizam. The Deshmukhs and the Jagirdars were called as “Dora”, which means the master of the village. In course of time, this exploitation was legitimized and was known as vetti system. Under this system, the landlord or a Deshmukh could force a family to cultivate his land, assign domestic or official works which was obligatory on the part of

the peasant's family and was carried on from generation to generation. A system of slavery known as Bhagela was prevalent in the state of Nizams. Under this system, the tenants who had taken the loans from the landlords had to serve the landlord until the debt is repaid. The castes (Reddis and Kammas) who traditionally worked as traders and moneylenders wanted to pull down the domination of the Brahmins as agriculturists in the state. The cultivation of commercial crops largely depended on the irrigation facilities, which were very meager in the Telangana region. Though the Nizam provided the irrigation facilities, most of these facilities were utilized by the big farmers only. The frequency of land alienation increased between 1910 and 1940. The land possession among the non-cultivating urban people such as the Brahmins, Marwaris, and Muslims has increased which resulted in reducing the small and tribal peasants into mere landless laborers. The agricultural economy also underwent many changes; it was transformed more into a market economy than a subsistent one. Such change did not improve the status of the tenants and sharecroppers. Due to the forces of change in the agricultural economy, the number of agricultural laborers also increased. There was lot of discontentment among the peasantry and they were just waiting for a right opportunity to burst out and start a rebellion.

The peasants organised themselves into village sanghams, and attacked using lathis, stone slings and chilli powder. They had to face brutal repression. The movement was at its greatest intensity between August 1947 and September 1948. The major course of events which led to the Telangana Struggle was as follows: The Communist Party started working in the Telangana region from 1936. Professor N.G. Ranga laid the regional level peasant organization that was affiliated to the All India Kisan Sabha, which was an organ of the CPI. The Communist activities increased in the districts of Hyderabad between 1944 and 1946. Therefore, a proper framework was all set to launch the peasant movement in Telangana. Severe famine struck the Telangana region in the year 1946. All the crops failed and there was shortage of the availability of food and fodder. The prices of food and other commodities increased. The main objective of the Communist Party of India was to mobilize the peasantry. In order to achieve this objective, it undertook a campaign to propagate the demands of the poor peasants. The propaganda covered up to 300 to 400 villages. Though the peasants showed resistance to the government orders, the movement was going at a slow pace. After 1948, there was a revolutionary turn to the Telangana peasant struggle, and the peasants turned into an army and on a few occasions also fought guerilla wars. Apart from the peasant agitation, a parallel para-military voluntary force was organized by Kasim Rizvi. The members of this organization were called Razakars. This organization worked against the peasants. The police

action taken by the newly framed Central Government was quick in putting down the peasant movement. The course of all these events resulted in the withdrawal of the peasant movement.

5.5.10 The All India Kisan Sabha (1936)

The All India Kisan Sabha was founded in Lucknow in April 1936 with Swami Sahjanand Saraswati as the president and N.G. Ranga as the general secretary. A kisan manifesto was issued and a periodical under "Indulal Yagnik" started. The AIKS and the Congress held their sessions in Faizpur in 1936. The Congress manifesto (especially the agrarian policy) for the 1937 provincial elections was strongly influenced by the AIKS agenda. The period 1937-39 was the high watermark of the peasant movements and activity under the Congress provincial rule. The chief form of mobilisation was through holding kisan conferences and meetings where demands were aired and resolutions were passed. Mobilisation campaigns were carried out in the villages.



- The peasant movement started against the land lords and Talukdars.
- Baba Ramchandra was the leader of the Peasant movement.
- 1920 June Jawaharlal Nehru visited the village Awadh, for to understand the grievances of the villagers.
- Along with the help of Baba Ramchandra Jawaharlal Nehru formed **Oudh Kisan Sabha in October 1920.**
- It joined along with Congress.
- The peasants attacked the houses of merchants and land lords, bazzars were looted and grain hoards were taken over.
- So that's why the congress leaders were unhappy in the doings of Peasnats

5.5.11 Tebhaga Movement in Bengal (1946)

The word Tebhaga literally means three shares of harvests. It was a sharecropper's movement, which demanded two-thirds for themselves and one-third for the landlord. Earlier, the sharecroppers used to give fifty-fifty share of the produce on their tenancy. The crop sharing system at that time was known as barga, adhi, bhagi, etc., and the sharecroppers were called as bargadars or adhiars. These sharecroppers seriously chal-lenged the custom of sharing crops between the bargadar and the landlord in 1946-1947. During the harvest of 1946, the sharecroppers of a few north and northeastern districts of Bengal went to fields and cut down the crops and thrashed them on their own.

There were two reasons why this action led to the insurrection on the part of the sharecroppers. First, they demanded that the sharing of the produce into half was not justified. As the tenants made most of the labor and other investments and since the land owner's participation was insignificant in the production process the tenants believed that the latter should be getting only one-third of the crop share and not half of it. Secondly, the tenants were required to store their grains at the granary of the landlord and had to share the straw and other by products of the grains on half-sharing basis. The tenants were not prepared to follow this rule. The tenants took the stand that the stock of the harvests would be stored at the tenants' compound and the landlord would not be getting "any" of the shares from the byproducts of the grains.

The Bengal Provincial Krishak Sabha organized the movement of Tebhaga. They started a new slogan to abolish the whole Zamindari system. The peasants declared their zones as Tebhaga areas and many Tebhaga committees were set up in order to govern the area locally. The movement spread across the 19 districts of Bengal, Under the pressure of Tebhaga activists most of the landlords had come to terms with the Tebhaga peasants and withdrew the cases filed against them. Such kinds of Tebhaga areas were established at the districts of Jessore, Dinajpur, and Jalpaiguri. Later on, the Tebhaga areas were established extensively at Midnapur and in other 24 paraganas. The Tebhaga movement, to an extent, was successful, as it has been estimated that about 40 per cent of the sharecropping peasants were granted the Tebhaga right by the landowners themselves. In early 1947, such developments led the government to introduce a bill in the Legislative Assembly. However, the East Bengal State Acquisition and Tenancy Act of 1950 was passed due to the initiation of the movement.

Check your progress -3

1. Write a short note on Indigo Revolt
2. Give an account of Pabna Agrarian unrest
3. Note on Deccan Riot
4. Discuss the significance of Champaran Satyagraha
5. Explain Kheda Peasant Struggle
6. Trace out the Mappila Peasant Movement
7. Note on Eka / the Unity Movement

8. Examine the causes and results of Bardoli Sathyagraha
9. Discuss the Telangana Peasant Movement
10. Give an account of The All India Kisan Sabha
11. Explain the Tebhaga Movement in Bengal
12. Elaborate some of the Important Peasant Movements in India

5.6 Let us sum up

These movements created an atmosphere for post- independence agrarian reforms, for instance, 'abolition of Zamindari. They eroded the power of the landed class, thus adding to the transformation of the agrarian structure. These movements were based on the ideology of nationalism. The nature of these movements was similar in diverse areas

5.7 Answers to check your progress

Check your progress -1

1. See the sub-section 5.3

Check your progress -2

1. See the sub-section 5.4

Check your progress -3

1. See the sub-section 5.5.1
2. See the sub-section 5.5.2
3. See the sub-section 5.5.3
4. See the sub-section 5.5.4
5. See the sub-section 5.5.5
6. See the sub-section 5.5.6
7. See the sub-section 5.5.7
8. See the sub-section 5.5.8

9. See the sub-section 5.5.9
10. See the sub-section 5.5.10
11. See the sub-section 5.5.11
12. See the sub-section 5.5 - 5.5.11

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LESSON - 6

FAMINE POLICY AND ADMINISTRATION UNDER THE BRITISH RULE

Famines have been a regular feature of Indian history since earliest times. Whenever the famines took place the rulers of the country took necessary measures to provide relief to the people to reduce their suffering. British economic exploitation, the decay of indigenous industries, the failure of modern industries, the drain of wealth to Britain and a backward agrarian structure leading to the stagnation of agriculture and the exploitation of the poor peasants by the zamindars, landlords, princes, moneylenders merchants and the state gradually reduced the Indian people to extreme poverty. The poverty of the people found its culmination in a series of famines which ravaged all parts of India in the second half of the nineteenth century.

Major Famines in India (Deaths estimates in millions)					
Before British Rule (1000 - 1745)			British Era (1770-1947)		
Century	Famines		Years	Famines	Deaths
11th	2		1770-1800	4	21
13th	1		1800-1825	5	1
14th	3		1825-1850	2	0.5
15th	2		1850-1875	6	5
16th	3		1875-1900	18	26
17th	3		1900-1925	1	0.23
18th	4		1925-1947	1	5

Plan of Study

6.1 Learning Objectives

6.2 Introduction

6.3 Major famines in India during British rule (1765–1947)

6.4 Development of the Famine Policy

6.4.1 The First Famine Enquiry Commission of 1860**6.4.2 Second Famine Commission, 1866-67****6.4.3 The Famine of 1876-78****6.4.4 Sir Richard Starchy Commission 1880****6.4.5 The Famine of 1896-97****6.4.6 Sir James Lyall Commission****6.4.7 Famine in 1899-1900****6.4.8 Sir Anthony MacDonnell Commission****6.4.9 Bengal Famine of 1942-43****6.4.10 Bengal Famine Enquiry Commission****6.5 Let us sum up****6.6 Answers to check your progress****6.7 References****6.1 Learning Objectives**

- You will familiarize with major famines in India during British rule
- You will be able to discuss various Famine commissions
- We can understand the Famine policies of the British

6.2 Introduction

During the British Raj, India experienced some of the worst famines ever recorded. During the initial years of the Company's rule in India, British failed to provide sufficient relief to the country to meet the horrors of famine and other natural calamities. This was mainly due to the fact that they were still busy with their policy of conquests and annexations and the means of communication were still not adequately developed to enable it to rush necessary assistance to different parts of the empire. According to the Famine Commission of 1880, the English failed to evolve a proper famine policy till the end of the eighteenth century because "the position of the British in India was not such as either to create any sense of general obligation

to give relief or to supply sufficient means of affording it. Most of the relief work was left in the hands of charitable institutions and private individuals, which quite often proved inadequate. This naturally led to lot of hardship to people and large number of people died of starvation.

6.3 Major famines in India during British rule (1765–1947)

S. No.	Years	Name of Famine	Territory	Mortality
1	1860–61	Upper Doab	Upper Doab of Agra; Delhi and Hissar divisions of the Punjab and Eastern Rajputana	2 million.
2	1865–67	Orissa	Orissa, Bihar; Bellary and Ganjam district of Madras	1 million
3	1868–70	Rajputana	Ajmer, Western Agra, Eastern Punjab, Rajputana	1.5 million (mostly in the princely states of Rajputana)
4	1873–74	Bihar	Bihar	There were little mortalities during the famine
5	1876–78	Great Famine/ Southern India	Madras, Bombay, Mysore and Hyderabad	5.5 million in British territory Mortality unknown for princely states. Total famine mortality estimates vary from 6.1 to 10.3 million.
6	1888-89	Odisha, Bihar	Odisha, Bihar	0.15 million
7	1896–97	Indian famine	Madras, Bombay Deccan, Bengal, United Provinces, Central Provinces. Also parts of Punjab specially Bagar tract, Northern and eastern Rajputana, parts of Central India and Hyderabad	5 million in British territory, Mortality unknown for princely states

8	1899-1900	Indian famine	Bombay, Central Provinces, Berar, Ajmer. Also parts of Punjab specially Bagar tract, Hyderabad, Rajputana, Central India, Baroda, Kathiawar, Cutch,	1 million (in British territories). Mortality unknown for princely states
9	1905-06	Bombay	Bombay Presidency	0.23 million
10	1943-44	Bengal	Bengal	1.5 million from starvation; 2.1 million including deaths from epidemics
			Total Mortality	55.48 million

Check your progress -1

1. Bring a timeline of the major famines during the British rule

6.4 Development of the Famine Policy

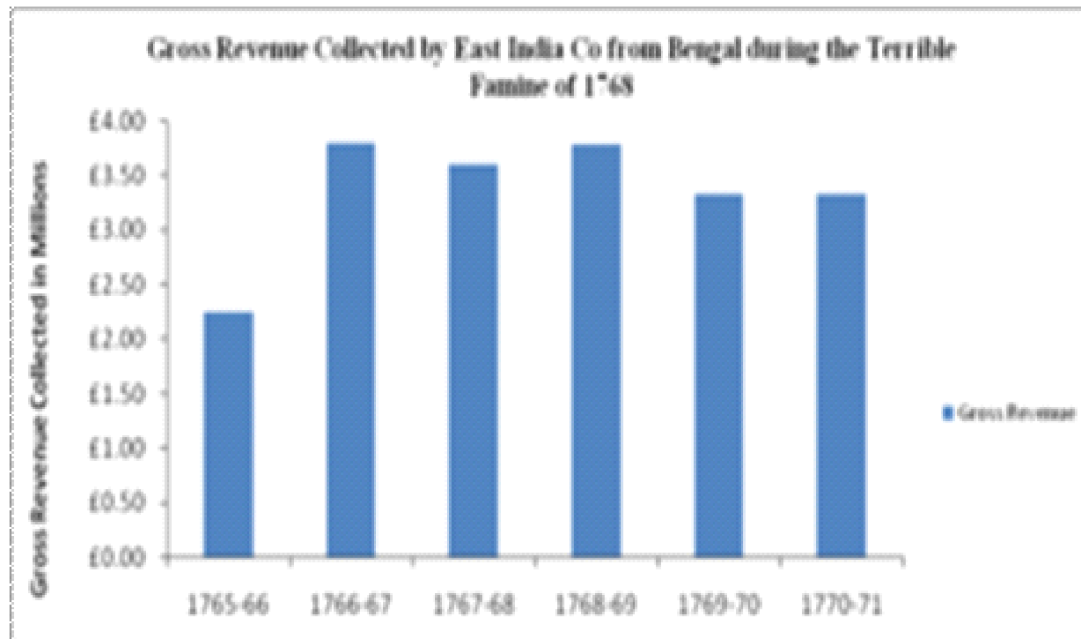
During the initial years of the Company's rule in India, no regular famine policy was evolved. After the assumption of power by Crown in 1858, serious attention was paid to the problem of famine and an effort was made to evolve a systematic policy. A number of Famine Commissions were appointed to examine the problem and to suggest measures for meeting the monster of the famine. In course of time a famine code was evolved which proved quite helpful in saving a large number of lives. It may be noted that a systematic famine policy was made possible by a number of factors such as extension of the means of communications and transport, growth of overseas trade, enactment of agrarian law, etc.

6.4.1 The First Famine Enquiry Commission of 1860

In 1850 a serious famine broke in the areas including Alwar, North West Provinces and other territories due to failure of Monsoons. The Government used the poor-houses to provide relief to the people. It not only took necessary measures to deal with the institution but also set up a Commission under Colonel Baird Smith to enquire into the causes of the famine. Though

the commission submitted an elaborate report, the Government made no effort to formulate any general principles for the future.

The Figure shows the Gross Revenue Collected during the Bengal Famine of 1768



6.4.2 Second Famine Commission, 1866-67

A serious famine affected Orissa, Madras, Northern Bengal and Bihar in 1866-67. It was most severe in Orissa and is popularly known as Orissa and is popularly known as Orissa famine. The government officers failed to rise upto the situation to deal with the serious calamity. No doubt the government provided work to a large number of able-bodied persons, but its measures proved quite inadequate and the famine took a toll of over 13 lakh lives.

In view of this enormous loss of life and suffering of the people the Government decided to appoint a Committee under the Chairmanship of Sir George Campbell to look into the matter, and make necessary recommendations for the future. The Committee held that it was necessary for the officials to be more cautious in the future. It held that the Orissa famine was a personal failure which need not occur again. It recommended that the province should maintain a proper agricultural statistics and land records. It also emphasized the need of effecting improvement in the means of communication and transmission.

The Figure shows the Food Exports during the years 1872-1879



6.4.3 The Famine of 1876-78

The most serious famine of the nineteenth century broke out in 1876-78. This famine affected the areas of Madras, Bombay, Uttar Pradesh and Punjab. Roughly the famine affected 257,000 sq. miles area of a population of over 58 millions. The famine was so severe that large tracts of lands were thrown out of cultivation and over 5 million perished in one year. No doubt, the Government took certain measures to deal with the famine, the government machinery proved quite inadequate to deal with the situation.

6.4.4 Sir Richard Starchy Commission 1880

Lord Lytton set up a commission under General Sir Richard Starchy to make necessary recommendations to avoid similar misery to the people in future. The Commission recommended the adoption of the following measures:

1. State should accept its responsibility to organize relief during times of famine.
2. While organizing the relief the government should do nothing "to check the growth of thrift and self-reliance among the people or to impair the structure of society, which resting as it does in India upon the moral obligation of mutual assistance, is admirably adapted for common effort against a common misfortune."

3. The Commission listed the category of persons who were entitled to receive gratuitous relief from the state. This relief was to be provided in the form of supply of raw material, money or cooked food on the condition that the recipients resided in the poor-house or relief camps. For the purpose of distribution of the gratuitous relief the whole area was to be divided into a number of circles each under a competent officer.
4. The relief to the able-bodied persons should be in the shape of work. This work should be offered to him before the physical efficiency of the applicants was impaired by privation. The wages to be paid should be adjusted from time to time and should be enough to provide sufficient food for the labourer's support. While determining the wages due consideration should be given to sex, age and class. Special allowances should be fixed on children.
5. Supply of food in the distress areas should be carefully watched. Except in exceptional circumstances, the private traders should be given facilities to supply the food requirements of the workmen in the open market. The export of grain should be prohibited only when it becomes reasonably certain that the step was necessary to conserve the resources of the country as a whole.
6. The land revenue in the affected areas should be suspended or remitted according to the circumstances. Loans for the purpose of seed grains and bullocks should be made available.
7. The local landlords should also be encouraged to provide relief work on their own states to the distressed tenants and labourers. Necessary loans may be provided to them for the purpose.
8. The cost of famine relief should be borne by the provincial governments. However, the Central Government should also provide necessary assistance whenever necessary.
9. In case of excessive drought, facilities should be provided for the migration of cattle to grassy forest areas so that they may not starve and get necessary fodder.
10. The representatives of the tax-paying bodies be associated with the administration of relief to make them responsible for the operation of the funds.

11. Relief schemes should be prepared in advance to be used at the time of emergency without any delay.
12. A famine code be prepared which may be adopted by the local governments to fit in their respective requirements subject to the control of the Central Government.

These recommendations of Stratchey Commission were mostly accepted by the Government and constitute a significant development in the history of famine relief measures in India.

‘Famine Relief and Insurance’:- It was decided that an amount of Rs.15 million be provided in the budget every year under the head of Famine Relief and Insurance. A part of this money could be used for the construction of productive works like railways and canals.

Famine Code of 1883:- By the recommendations of the Commission a famine Code was formulated in 1883 which served as a guide for the formulation of similar codes by the provincial governments. The Code of 1883 consisted of a number of parts. **The first part** dealt with the precautions to be taken in the normal times. **The second part** contained measures to be taken in case of an imminent relief campaign. **The third part** contained a list of duties of different persons after the relief work actually started. **The fourth part** dealt with the manner in which the affected areas were to be divided into ‘scarcity’ and ‘famine’ districts as well as their sub-division into circles. In addition, the Code also dealt with other problems connected with famine relief. These recommendations were put to test during the famines of 1880 and 1886.

6.4.5 The Famine of 1896-97

In 1896-97 almost all the parts of the empire were confronted with a serious famine. The famine covered about 225,000 square miles and affected nearly 62 million people. Although the intensity of the famine was not the same all over through the worst affected areas were in the Central Provinces. Though the Government took extensive measures to deal with the situation it took a heavy toll of life in the Central Provinces.

6.4.6 Sir James Lyall Commission

The Government, decided to set up another Commission of Enquiry under Sir James Lyall, the ex-Lieutenant-Governor of Punjab. The Commission mainly based its report on the recommendations of 1880. However, it suggested certain modifications with a view to ensure greater flexibility in relief operations.

The full daily ration prescribed in the districts of the Punjab and Western parts of North Western Provinces as table given below shows the relief measures during the famines of 1884-85:

Items	Ration Amount					
	For a Man		For a Woman		For working children age 7 to 12 years	
	OZ*	CH*	OZ*	CH*	OZ*	CH*
Flour	24	12	20	10	18	09
Pulse	4	2	4	2	3	1 1/2
Salt	1/2	1/4	1/2	1/4	3/8	3/16
Ghi or Oil	1	1/2	1/2	1/4	3/8	1/16
Condiments and Vegetables	1	1/2	1	1/2	3/4	3/8

(*Oz = Ounces, *Ch = Chattakas)

Whereas minimum ration under Punjab Famine Code (1893) to be distributed to the labourers was comparatively very 10% as table given below shows:

Items	Ration Amount					
	For a Man		For a Woman		For working children age 7 to 12 years	
	OZ*	CH*	OZ*	CH*	OZ*	CH*
Flour	16	8	14	7	12	6
Pulse	2	1	2	1	2	1
Salt	1/3	1/6	1/3	1/6	1/3	1/6
Ghi or Oil	1/3	1/6	1/3	1/6	1/3	1/6
Condiments and Vegetables	1/2	1/4	1/2	1/4	1/2	1/4

(*Oz = Ounces, *Ch = Chattakas)

The Figure shows Food exports during the years 1892-1902



6.4.7 Famine in 1899-1900

Before the recommendations of Lyall Commission could be considered, the country was faced with another serious famine in 1899-1900. The famine covered an area of 400,000 square miles and affected roughly 25 per cent of India's population and caused unprecedented destruction and misery. Though the Government spent roughly 10 crores on relief work, the entire thing was mismanaged. The authorities failed to act in time and did not undertake any relief works in the early stages of the famine. Subsequently when it did undertake relief works, the same were not adequate to meet the situation and broke down under the strain of numbers.

6.4.8 Sir Anthony MacDonnell Commission

In 1900 the Government appointed another enquiry commission under Sir Anthony MacDonnell. The Commission submitted its report in 1901.

Moral Strategy:- The Commission laid emphasis on the 'moral strategy' of dealing with the famines. It emphasized the need of early action to deal with the situation and suggested that revenues and rents under the conditions of famine should be remitted at an early date, the distribution of loans and money should be made without any delay, and relief works should be quickly undertaken. The Commission favoured the association of the non-officials with the relief work to cultivate a sense of responsibility among the people. In organising public works

the Commission was in favour of small scale local works in the villages instead of relief work at places located at far off distances from the place of people's residence. It insisted on encouraging irrigation works, water-storage schemes and extension of rail communications for effective relief work. It also suggested the appointment of a Famine Commission in a province where relief operations were expected to be extensive.

Revised Famine Code:- Most of the recommendations of Macdonall Commission were accepted by Lord Curzon. In the light of these recommendations the Famine Code was revised. This revised code continued to be the basis of the relief work during the subsequent years.

In 1907-08 when a fresh famine visited certain districts of United Province, the government intervened with great speed. Acting on the principles of 'moral strategy' it not only remitted and suspended the autumn installments of the land revenue, but also made liberal advances to the people. Through these measures the severity of the famine was greatly reduced and the people were saved from unnecessary suffering. In 1918 a famine broke out in the country due to failure of monsoons. Luckily the Government was able to divert all its resources to deal with the situation.

6.4.9 Bengal Famine of 1942-43

In 1942-43 another serious famine broke out in Bengal, which took a heavy toll of life. This famine was caused by a number of factors. Firstly, there were repeated crop failures from 1938 onwards which led to reduced output. The things were made worst by the stoppage of



GREAT BENGAL FAMINE: 1943

Estimated 1.5 to 4 million people
died of starvation and diseases!
Winston Churchill engineered it!

import of rice from Burma. The policy of controls also dislocated the movement of food grains which caused unnecessary suffering. Therefore, it has been asserted that the Bengal Famine of 1942-43 was more a man-made famine. The unfavourable conditions created by repeated failures of crops and Second World War were fully exploited by man.

6.4.10 Bengal Famine Enquiry Commission

A Famine Commission, popularly known as Bengal Famine Enquiry Commission, was set up. The Commission submitted its report in September 1945. The Commission expressed its shock at the failure of the Government and members of society to save the unfortunate people from the clutches of death. It expressed shock over complete moral and social breakdown. For the future the Commission made certain recommendations. These included

- a) The establishment of an All India food Council to co-ordinate food administration all over the country;
- b) Amalgamation of the Departments of Food and Agriculture;
- c) Increase in the production of productive food to improve the nutrition standard of the people;
- d) State monopoly in procurement and distribution of grains;
- e) Maintenance of agricultural prices at a fair level to serve the interests of the producer as well as the consumer;
- f) Fixation of minimum prices for rice and wheat for the post-war period for a period of at least six years after the war.

Check your progress -2

1. Write a note on the First famine enquiry Commission of 1860
2. Write a note on Second Famine Commission, 1866-67
3. Discuss Sir Richard Starchy Commission 1880 and its recommendations
4. Explain the recommendations of Sir Anthony MacDonnell Commission
5. Examine the famine policy of the British.
6. Elaborate the major famines disaster during British rule

6.5 Let us sum up

It is clear from the above discussion that though the English did not follow any definite famine policy to begin with, in course of time they evolved a famine policy which went a long way in reducing, if not completely eliminating, the sufferings of the people.

The Government showed keen interest in evolving a famine policy after independence. Under the new policy greater emphasis is laid in avoiding the visitation of the famine rather than taking necessary remedial measures only when the famine occurs. Since the attainment of independence the Government has laid great emphasis on the principle of attaining self-sufficiency in food and has largely succeeded in its mission through various five year plans. At present the country is self-sufficient in food and has not to depend on foreign imports.

6.6 Answers to check your progress

Check your progress -1

1. See the sub-section 6.3

Check your progress -2

1. See the sub-section 6.4.1
2. See the sub-section 6.4.2
3. See the sub-section 6.4.4
4. See the sub-section 6.4.8
5. See the sub-section 6.4.1, 2,4,8, & 6.4.10
6. See the sub-section 6.4.3, 5, 7, & 6.4.9

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LESSON - 7

DECLINE OF INDIAN COTTAGE INDUSTRIES UNDER THE BRITISH

The Indian handicrafts that had made the country famous, collapsed under the colonial rule. This was mainly due to the competition posed by the machine made goods that were imported from Britain. The ability of mass production of goods helped Britain to flood the Indian markets with cheap products especially cotton textiles. It completely changed the traditional structure of the economy and made it a colonial economy de-signed to meet the needs of the newly emergent industrialized economy of Britain.

Plan of Study

7.1 Learning Objectives

7.2 Introduction

7.3 The Classification of Indian Cottage Industries

7.4 Policy of the British Government on Indian industries

7.5 Decline of Cottage Industries of India

7.5.1 Causes for the decline of Cottage Industries

7.5.2 Effects of the decline of Cottage Industries

7.6 Let us sum up

7.7 Answers to check your progress

7.8 References

7.1 Learning Objectives

- You can learn about the Cottage Industries of India
- We can understand the policy of the British Government against Indian industries
- You will be able to discuss causes and effects of the decline of Cottage Industries

7.2 Introduction

The policy of free trade followed by the East India Company helped them to dictate terms of trade. They compelled the Indian craftsmen to sell their goods below market price and they hired their services at below the prevailing wages. This forced many a craftsman to abandon their ancestral trade. The British exported raw materials from India like cotton. As a result the Indian weaver had to buy these materials at higher prices. This in turn raised the cost of Indian handicrafts as compared to the machine made goods. Indian goods were also subjected to high tariffs in the English market whereas the British goods gained duty free access into the Indian markets. As a result of these policies Indian handicrafts faced a severe challenge from the foreign goods. India now became the exporter of raw materials to British industries and an importer of ready-made goods from Britain. This phenomenon of the ruination of Indian handicrafts industries is most well known as deindustrialization.

7.3 The Classification of Indian Cottage Industries

Peasant Arts and Crafts:- These were supplementary occupations of the peasants pursued during their spare time or off seasons when there was no work for them either at home or outside and which served as a second earning. These industries included hand spinning and weaving, flour grinding, rice pound-ing, cotton ginning, rope-making, basket making, mat weaving, sericulture and tobacco manufacture. Of these, hand spinning was by far the most important.

Village Subsistence Industries:- These were industries which had little to do with agriculture but whose prosperity still depended on the fortunes of agriculture. These were mostly fol-lowed by the village servant class of artisans such as the black smith, carpenter, weaver, oil-presser and Potter-all those who attended to the simple needs of the villagers and were paid by shares of grain at harvest lime.

Village Art Industries:- These industries enjoyed widespread fame. Examples of this kind were lac and toy manufacture in Meerut and Mirzapur, Carpet weaving in Mirzapur and Benares; Silk weaving in the villages of Murshidabad, Malda and Madura, Metal work in Boidrajpur (Bihar) Santipur, Bishnupur and, Kharagpur the manufacture of conch-shell bangles and mother of pearls buttons in the villages of Dacca, artistic clay modeling in Mirzapur and Nandia; products like Lungis and Sarees of Melapalayam, glass bangles of Fatehpur and Firozabad, Silk Khes made in the village of Shahpur (Punjab) and embroidered cloth of Dacca villages. All these products were exported to foreign countries.

Urban Arts and Crafts:- On account of the easy availability of raw-materials and the force of a long tradition, certain areas became famous for special products. It was in these industries that the Indian industry reached a high standard of excellence. The most important one was the textile handicrafts. The muslins of Dacca, were the finest and the best known. Next in importance were the fine cotton fabrics of all kinds and manufactured practically all over India. Lucknow was famous for its Chintzes; Ahmedabad for its dhoties and Dopattas, Nagpur, Umrer and Paoni for their silk-bordered clothes. Next came the manufacture of silks, the most famous being the Bandanas and corabs of Murshidabad, Malda or other Bengal towns, Benares and Ahmedabad. In woollens, the best known of the artistic products were the shawls, made chiefly in Kashmir, Amritsar, Ludhiana and in several other Punjab towns.

Another famous industry was metal- work. Benares was famous all over India for its brass, copper and bell-metal wares. The town of Rajputana excelled in all kinds of artistic work, specially enameled jewellery and stone-carving. The shawl and paper-Mache work in Kashmir, marble in-laying work at Agra, the Paithani of Yeola, Kincob of Ahmedabad or the Phulkari work of certain north Indian cities. In addition, there were industries like the Iron smelting of Mysore, Chota Nagpur, Central Provinces and other provinces, the salt-petre manufacture, the bangle-making and paper manufacture. These were mostly localised and their methods of production were crude and economical though their products, as in the case of steel were of a very high quality.

Check your progress -1

1. Discuss the Classification of Indian Cottage Industries

7.4 Policy of the British Government on Indian industries

In the beginning, the commercial interests of East India Company led it to encourage Indian industries because its exports from India were largely drawn from them. This policy, however, met with determined opposition from vested interests in England which compelled the company to concentrate only on the export of raw- materials so necessary for the expanding British Industries. This policy of making India subservient to the industries of Great Britain was followed with rare determination and fatal success. Orders were issued to force Indian artisans, especially silk-winders, to work in the company's factories and not in their homes; commercial residents were vested with extensive legal powers over villages and communities of Indian weavers. The use of dyed Indian calicoes was prohibited and excessive custom duties imposed

to crush Indian industries. For instance, in 1813, cotton and silk goods of India could be profitably sold in the British market at a price 50-60% lower than the price of cloth manufactured in England. However, duties ranging from 70-80% on their value were imposed on Indian textiles in order to drive them out of the British market. These prohibitive duties were removed only about the middle of the 19th Century when Indian indigenous industries had already been crippled.

The company being a dealer in the products of cottage industries, made advances in cash and raw-materials to buy the finished products. Having done so once, it held the craftsmen under its iron grip. For example, it provided that a weaver, who had received advances from the company, “shall on no account give to any other person, European or native, either the labour or the produce engaged to the company” that, on his selling the cloth to others, the “weaver shall be liable to be prosecuted in the Diwani Adalat”; that the weaver “shall be subject to a penalty of 35% on the stipulated price of every piece of cloth that he fails to deliver according to the written agreement”. Whenever the artisans were unable to carry out the agreements forced upon them, their goods were forcibly seized and sold on the spot to make good the deficiency. Unable to resist this injustice, many weavers **”cut off their thumbs to prevent their being forced to weave silk.”** If the East India Company was cruel and rapacious, Indian businessmen were no better. Acting as financiers and coordinating agents, they held complete sway over the artisans whom they fully exploited

The primary motive behind this policy of deindustrialization was:

- To reduce India to the status of mere exporter of important raw materials for the upcoming modern industries in Britain.
- To turn India into a market for the finished products manufactured by industries in Britain.
- The rate of growth of the industrial sector was low as no help was being provided to these industries by the colonial government.
- Colonial Government enforced discriminatory tariff policy, which allowed free export of raw materials from India and free import of final goods from British industry to India.
- The decline of the traditional handicraft industries created massive unemployment in India.
- The fall in supply of locally made goods created a demand for the import of British goods much to their advantage.

Check your progress -2

1. Explain the Policy of the British Government on Indian industries

7.5 Decline of Cottage Industries of India

An impression persists that India has “always been an agricultural country and that the people of India are, by nature and tradition deficient in industrial and commercial enterprise....” However, the contention that India never had any industries at all can be easily refuted by reference to her past history. According to Baines, “The birth place of cotton manufacture is India where it probably flourished long before the dawn of authentic history”. Mummies in Egyptian tombs dating from 2000 B.C. were found wrapped in Indian muslins of the finest quality. The Muslin of Decca was known to the ancient Greeks by the name of ‘Gangetika’—a word suggestive of its origin from the banks of the Ganges. Bernier, who visited India in the reign of Shah Jahan, marveled at the incredible quantity of manufactured goods while Tavernier dwelt, with wonder, on the marvelous Peacock throne, (the natural colours of the Peacock’s tail worked out in jewels), of carpets of silk and gold, and satins with streaks of gold and silver, an endless list of exquisite works of mini-carvings and other choice objects of art. The fact is that **“when merchant adventurers from the West made their first appearance in India, the industrial development of this country was, at any rate, not inferior to that of the more advanced European nations.”**

The British economic policies destroyed the handicrafts and cottage industries of India which at one time formed the primary sources of trade and wealth. Cotton weaving and spinning industries, silk and woolen industries, pottery, paper, metal and tanning all were ruined by British. This broke the age-old relation between agriculture and industry in the countryside and led to the destruction of the self-sufficient Indian village economy. This also resulted in widespread unemployment and overcrowding of the agricultural sector.

7.5.1 Causes for the decline of Cottage Industries

Decline of Indian Durbar/ Courts:- The disappearance of Indian courts struck the first blow at Indian handicrafts. As native states passed under British rule, the demand for fine articles, for display in durbars and other ceremonial occasions disappeared. The ordinary demand did continue for sometime longer, but the younger generation lacked the means and inducement to patronise the arts and handicrafts.



Establishment of British Rule:- The establishment of British rule in India affected cottage industries both directly and indirectly.

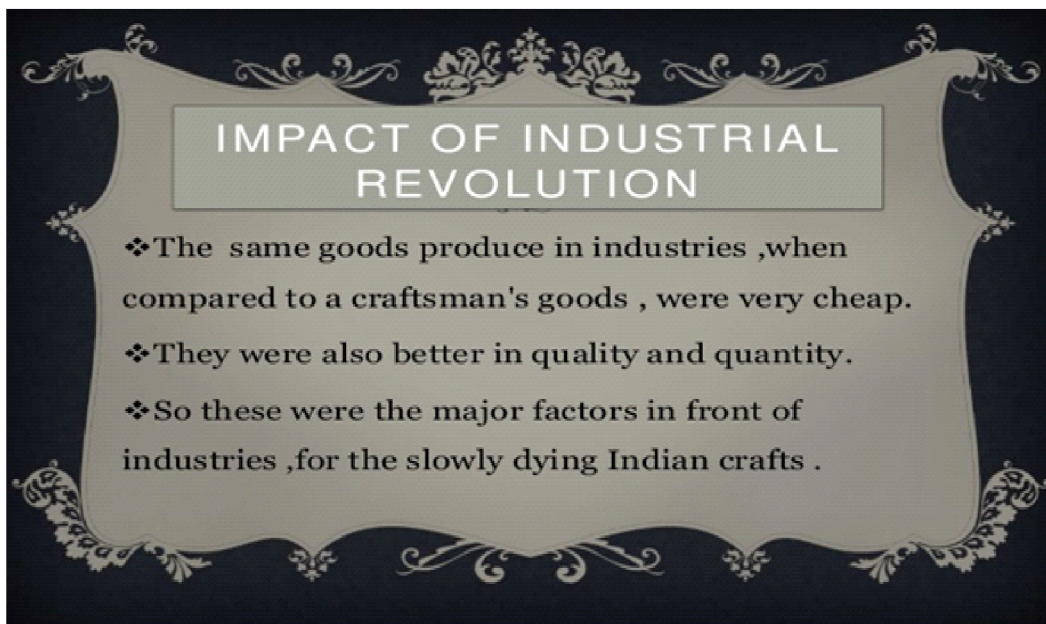
Directly it led to the establishment of peace and order in the country which adversely affected such handicrafts as the inlaying of arms, weapons and shields. This craft was common in the Punjab and Sindh. By eliminating the need for such weapons and by prohibiting their possession and use, the British reduced the industry to producing ornamental items for European tourists. Similarly, the establishment of the British rule made it necessary, through an unwritten order, for Indians to wear patent leather shoes when in the presence of British superiors. This brought about the decay of the embroidered shoe industry.

Indirectly, the British rule weakened the power of the guilds which regulated trade and supervised the quality of work done. As a consequence, evils such as the adulteration of raw materials and poor work-manship crept in and artistic and commercial value of the products deteriorated.

Western Education:- The new system of English education was another contributory factor. In the early stages, the newly educated Indians were imitating westerners and accepted European standards and fashions. As a result, demand for the products of indigenous industries declined while that for Europeans goods increased.

Introduction of New Pattern of products:- With the disappearance of Indian States, old rulers and nobles also disappeared and their place was taken up by the European Officers and tourists. Indian craftsmen, however, did not clearly understand the forms and patterns which suited European tastes. They tried to please their new customers by copying their forms and patterns. Very often, the new products were very poor copies of the original.

Competition of Machine Made Goods:- The superior manufacturing technique based on power and improved machinery which enabled the British manufacturers to drive the Indian artisans from out of their home market. Ranade states that “the competition of Nature’s powers against man’s labour” which completed the ruin of Indian handicrafts. The invention of the power loom in Europe brought about the ruin of the Indian textile industry and the same in the case of other Indian industries such as the ship-building, Iron smelting, glass, dyeing and paper manufacture. The Indian domestic and cottage handicrafts could not possibly have withstood foreign competition which was backed by a powerful industrial organisation, big machinery, large-scale production and complex division of labour. The difficulties of the Indian industries were further aggravated by the construction of the Suez canal, fall in freight rates and the reduction of transport costs which made British goods more cheap in India.



Role of Intermediaries:- Except the village subsistence and rural art industries, the extension of the market led to the emergence of dealers and financiers who reduced the artisans into menials for their masters.

7.5.2 Effects of the decline of Cottage Industries

The decline of India's cottage industries had a disastrous effect on the economy of the country. The Indian village system had been built on the "domestic union of agricultural and manufacturing pursuits". The handloom and the spinning wheel were the pivots of the old Indian society. However, the British broke up the Indian handloom and destroyed the spinning wheel and thus produced **"the greatest social revolution ever heard in Asia"**. This revolution not only destroyed the old manufacturing towns but also destroyed the balance of economic life in the villages. This made over-pressure on agriculture which has continued, on a cumulative scale, right up to the present day.

Till the middle of eighteenth century Indian handicraft products were greatly demanded in the markets all over the world. Specifically European markets needed constant supply of Indian handicraft-products. The European traders and trading organizations made huge profits by selling Indian products. Indian textile products had no equals and those products were the symbol of craftsmanship and artistry. Indian cotton textiles became a house hold name in England.

The Industrial Revolution in England and the economic policy of the East India Company jointly closed the markets for Indian handicrafts. In England machines went for large scale productions and those machine products were cheap and colorful. Not only markets but also the British Government as well as manufacturers encouraged the supply of their machine products to European markets. As a result, the British machine-products entered into unfair competition with Indian products. Handicrafts of India could not sustain the pressure of the competition with cheaper machine goods. Thus, those were driven out of European markets. Further, the British trade policy proved extremely fatal for Indian handicrafts. In 1813, trade monopoly was abolished and one way free trade policy was imposed on India. By this policy the British machine products were imported to India freely and the export of Indian goods to England was discouraged by imposition of heavy duties on those products. The Industrial Revolution closed foreign markets for Indian goods and British trade policy closed domestic market for Indian products. Once the markets were closed demand for Indian products declined suddenly and production stopped. It resulted in making the artisans and craftsman jobless and handicraft industries were closed down.

Introduction of railways opened a new era for the transport system in India. But the railways served the political and economic interest of the British to a larger extent. Through

railways the machine products of Britain found it much easier to enter into the rural India. In other words, the machine products of England replaced the Indian handcrafts in the village market. As a result the artisans and the craftsman who adopted caste-based occupation were compelled to live upon the same. This ruined the rural artisan industries and the artisans lost their occupations.

Added to this, modernization of India increased fascination for the machine-products which were cheaper, colorful and attractive. There developed a craze for the goods, 'Made in England' and use of those goods was considered status symbol and sign of modernity. As the demand for Indian handicraft products declined within India, production failed suddenly leading to forcible closure of the rural artisan industries.

Under the patronage of Indian rulers, handicrafts flourished at different centers. Around those center developed towns and cities; each of them got associated with excellence of craft. Dacca, Murshidabad, Surat, Agra etc. were few among those flourishing craft centers. This towns and cities also gained political importance. Repeated wars of conquest of the British had devastating effects on those towns and cities. The conquerors plundered those centers time and again. The artisans deserted those centers for safety and once flourishing crafts were abandoned.

Added to this, there was no attempt for growth of modern industry to take the place of the cottage Industries. As a result, the handicraftsman and artisans had no scope to find suitable employment according to their skill. Rather, they were compelled to switch over to agriculture for employment. Even the peasants who earlier adopted different crafts as secondary occupation to supplement their income, found it impossible to continue with those crafts. For example, the peasants were part-time weavers earning extra income. As they found the cost of cotton very high, they preferred to be consumers of Lancashire cloth and abandoned weaving cloths for their families. In both the cases over-crowding of agriculture made the peasants and artisans either agricultural laborers or jobless.

Ultimately the people lined left amidst extreme poverty. Major cottage industries like textile, leather, oil, pottery, etc. were ruined and no alternative source of production was setup in India. Thus, India had to depend on the British manufacturers. Exporter India was converted into importer of manufactured goods. Self-sufficient village economy gave way to colonial economy and India was transformed into an agricultural colony to produce and supply raw materials.

IMPACT OF COLONIAL POLICIES

1. DESPITE THE PROGRESS MADE BY THE INDIAN INDUSTRIES, THE PACE AT WHICH THEY GREW TILL INDEPENDENCE WAS EXTREMELY SLOW.
2. THE INDUSTRIES WERE FEW IN NUMBER AND COULD BE FOUND ONLY IN SOME AREAS.
3. THE BRITISH FOLLOWED ECONOMIC POLICIES THAT DID NOT SERVE THE INDIAN INTERESTS AND MADE DELIBERATE ATTEMPTS TO KEEP INDIAN INDUSTRIES IN A SUBORDINATE POSITION.
4. THERE WAS CONTINUOUS OPPOSITION TO INDIA'S DRAIN OF WEALTH AND THE FAILURE OF THE BRITISH GOVT. IN DEVELOPING INDIAN RESOURCES AND PROTECTING ITS INDIGENEOUS INDUSTRIES
5. IT WAS AFTER INDIA'S INDEPENDENCE THAT CONCENTRATED EFFORTS WERE MADE TO PLAN AND DEVELOP HER INDUSTRIES

Check your progress -3

1. Examine causes for the decline of Cottage Industries in India
2. Trace the effects of the decline of Cottage Industries in India

7.6 Let us sum up

The industrial revolution in Britain completely transformed Britain's economy and its economic relations with India. With the establishment of factory system Britain emerged as a major manufacturing country. Manchester and Lancashire emerged as cotton, textile centres. It was now in Britain's interest to capture the world market (including that of India) for manufactured goods and for that it had to compete with the old established Indian handicrafts. The British Indian government followed a policy of free trade or unrestricted entry of British goods. "Indian handicrafts were exposed to the fierce and unequal competition of the machine made products of Britain and faced extinction", saw the decline of the handicraft industries and this was not sufficiently replaced by the modern industry. This development has been termed as "Deindustrialisation", by historians

7.7 Answers to check your progress

Check your progress -1

1. See the sub-section 7.3

Check your progress -2

1. See the sub-section 7.4

Check your progress -3

1. See the sub-section 7.5.1
2. See the sub-section 7.5.2

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LESSON - 8

DEVELOPMENT OF MODERN INDUSTRIES AND BRITISH POLICIES

India was famous for its artisan industries and world's leading textiles producer and exporter before the industrial activity of colonial India. The British policy in India caused a widespread destruction of handicrafts and cottage industries. That India did not experience an industrial revolution, as did England, Germany, the United States of America and Japan but some amount of industrialization occurred in British India

Plan of Study

8.1 Learning Objectives

8.2 Introduction

8.3 Industrialization in the Indian context

8.3.1 Early efforts of Industrialisation, 1850-1914

8.3.2 Industries in the Inter-War Period, 1914-1939

8.3.3 Indian Industries during 1939-1947

8.3.4 Reasons for the low level industrial development in India

8.4 Let us sum up

8.5 Answers to check your progress

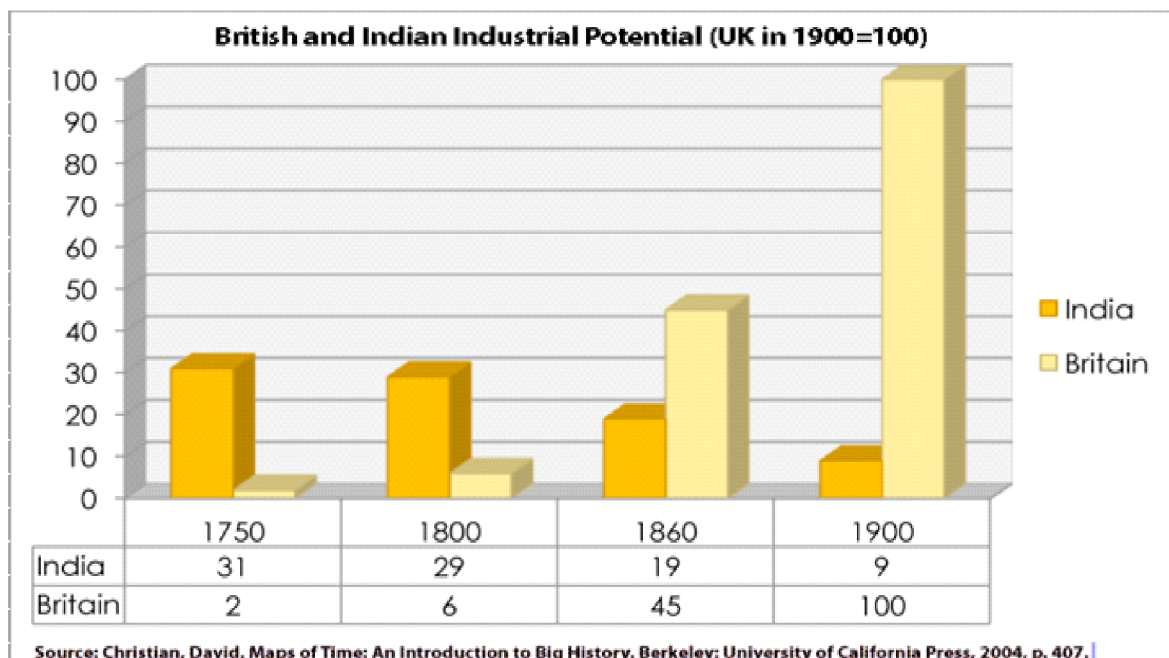
8.6 References

8.1 Learning Objectives

- You will learn about Industrial Development in India during the British Rule
- You will be able to discuss the early efforts of Industrialisation.
- We can understand the reasons for low Industrial development in India

8.2 Introduction

The industrialization meant the growth of large-scale industry. An important development in the second half of the nineteenth century was the establishment of large-scale machine-based industries in India. The machine age in India began when cotton textile, jute and coal-mining industries were started in the 1850s but at that time, they were not of sufficient size to make much difference to the vast Indian population and its occupational structure. In the period between 1900 and 1947, large-scale industry became a more significant part of the Indian economy. Here we are concerned with large-scale industry alone.



8.3 Industrialization in the Indian context

Industrialization might have occurred in India during the period 1900-1947, but it did not happen on any appreciable scale in the nineteenth century. Mills and factories did appear in the late nineteenth century for the first time but their contribution to industrial production was small. Industrialization would be the growth of the output of both large-scale and small-scale industry, so that the share of the secondary sector (i.e. the industrial sector, as opposed to the primary or agricultural sector) in the total production might increase at the expense of agriculture, the share of industry in the total production went down in the nineteenth century. The Industrialization would be increase in employment (as distinct from output) in industry at the expense of employment in other sectors of the economy. But it appears that no clear change

occurred in the relative share of industrial employment (taking factories and artisans together) during the period when census operations were conducted between 1872 and 1951.

It was only in the second half of the nineteenth century that modern machine-based industries started coming up in India. The first cotton textile mill was set up in 1853 in Bombay by Cowasjee Nanabhoy and the first jute mill came up in 1855 in Rishra (Bengal). But most of the modern industries were foreign-owned and controlled by British managing agencies. There was a rush of foreign capital in India at this time due to prospects of high profits, availability of cheap labour, cheap and readily available raw material, ready market in India and the neighbours, diminishing avenues for investments at home, willingness of the administration to provide all help, and ready markets abroad for some Indian exports such as tea, jute and manganese.

Indian-owned industries came up in cotton textiles and jute in the nineteenth century and in sugar, cement, etc in the twentieth century. Indian-owned industries suffered from many handicaps—credit problems, no tariff protection by Government, unequal competition from foreign companies, and stiff opposition from British capitalist interests who were backed by sound financial and technical infrastructure at home.



The colonial factor also caused certain structural and institutional changes. The industrial development was characterised by a lopsided pattern—core and heavy industries and power generation were neglected and some regions were favoured more than the others—causing regional disparities. These regional disparities hampered the process of nation- building. In the

absence of careful nurturing of technical education, the industry lacked sufficient technical manpower. Socially, the rise of an industrial capitalist class and the working class was an important feature of this phase

8.3.1 Early efforts of Industrialisation, 1850-1914

A history of modern Indian large scale private industry between 1850 and 1914 is associated with the developments in mainly plantations like jute, cotton, and steel. Beginning of these modern Indian industries was the 'product of India's economic contact with Britain'. There was also a limited development of mining, especially coal. One thing that is worth noting is that most of these industries, except textile factories, were under European control.

The jute and cotton mills appeared in Bengal and Bombay respectively, in course of the 1850s. A small number of coal mines and tea gardens had appeared in Eastern India even before this, the Ranigunj colliery (financed by Alexander & Co. of Calcutta) in 1820 and the Assam Tea Company (incorporated in London) in 1839. The nineteenth century witnessed the virtual monopolization of India's shipping and foreign trade by British firms. Since the industries that appeared at this time, like tea, coal, jute and cotton catered initially to foreign markets. It is not surprising that British expatriate firms in Calcutta and Bombay and a number of companies in London had a predominant presence in the early industries. The mining and plantation products (coal and tea) and light manufactures (jute and cotton) were typical colonial products; meant mostly for export and not for consumption in the country. In other words, they created no domestic demand for industrial goods. The new industrial products, moreover mostly were (except for coal) consumer products rather than capital goods, so they did not add to the country's productive industrial capacity.

In 1882 there were 20 jute mills, most of them in Bengal, employing nearly 20,000 persons. By 1905, India had 206 cotton mills employing nearly 196,000 persons. In 1901 there were over 36 jute mills employing nearly 115,000 persons. The coal-mining industry employed nearly one lakh of persons in 1906. Other mechanical industries which developed during the second half of the nineteenth and the beginning of the twentieth century's were cotton gins and presses, rice, flour and timber mills, leather tanneries, woolen textiles, sugar mills, iron and steel works, and such mineral industries as salt, mica and saltpeter

The cotton mills in the Bombay Presidency, though at first engaged in exporting cotton threads (yarns) to markets in China, gradually extended their operations from the foreign to the home markets, and from spinning yarns to weaving fabrics. It is in this area that Indian enterprise

first made its mark. Among the Bombay mill owners, European, Jewish, Parsee, Khoja and Bhatia firms figured prominently as managing agents, and the Ahmedabad cotton mills were mostly owned by the local Bania capitalists. In Calcutta on the other hand, an exclusive set of European managing agency houses dominated the complex network of the tea, coal and jute industries that had sprung up in the hinterland of the great colonial port city. Among them again, six big expatriate firms acting as managing agents, namely Andrew Yule & Company, Jardine, Skinner & Company, Bird & Company, Shaw Wallace & Company, Beg. Dunlop & Company, and Heilgers & Co. controlled more than half the rupee capital invested in the three industries in 1914: 51% of tea, 57 % of jute and 52 % of coal. The European managing agents, who enjoyed the patronage of the British authorities, did not encourage Indian entry in this oligopolistic complex of industries.

INDUSTRIAL SECTOR

- India could not develop a sound industrial base under the Colonial Rule.
- Even the country's world famous handicraft industries declined.
- No commercial modern industrial base was allowed to come up.
- This sector needed modernisation, diversification and increased investment.

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It should be noted that the Tatas of Bombay were producing a little steel in this period, but before 1914 this was not of sufficient quantity to make much difference to India's industrial capacity. Production began in a small way at Jamshedpur in 1911. Overall, the big houses in industry at the outbreak of the First World War were expatriate British firms based on the colonial port cities of Calcutta, Bombay and Madras, and as managing agents they controlled mining, planting and light manufacturing companies which catered mostly to foreign markets. During this period, Indian industry received no protection from duties on imported industrial goods. The open Indian economy encouraged imports and exports, and light manufacturers grew under expert oriented European enterprise. There was not much large-scale industrial activity catering to domestic industrial needs.

Between 1880 and 1914 large scale industrial output grew at the rate of 4-5% per annum. —a rate of growth that is comparable to other contemporary countries of the world. But in the light of total economic activity in India, output produced was rather insignificant. This is also true about the employment situation; it came to less than 8-10% of the total labour force in 1913-14.

8.3.2 Industries in the Inter-War Period, 1914-1939

After 1914, however, Indian industrialization began to occur at a faster pace, and it was sustained through the First World War (1914-1918), the Great Depression (1930-1937) and the Second World War (1939-1945). This was in strong contrast with the setbacks that the advanced industrial countries suffered during these events. Several new features distinguished India's industrial performance during the period 1914-1939 compared to the period before 1914. In the **first** place, the new industrial concerns were mostly founded by Indian business communities, **Second**, the new products were still mainly consumer goods rather than capital goods, and the cotton mills considerably expanded their output of piece goods (as against the yarns, which had been the predominant form of their output at the outset). For the first time, too, steel, an important factor in the productive capacity of any industrial economy, began to be produced in significant quantity, especially after the Tata Iron and Steel Company's works at Jamshedpur. It diversified other types of industry, especially sugar mills and paper mills, which proliferated in the 1930s. **Third**, the new industrial products catered to the domestic market, unlike tea and jute, which were sold abroad. **Fourth**, industry began to move inland from the earlier centres in Calcutta and Bombay.

The First World War and Great Depression weakened the British economic grip over India. At the same time, the growing nationalist challenge compelled the colonial government to give heed to the Indian demand for economic development. In consequence, the government, for the first time, granted some measure of protection to industry by imposing a protective tariff over imported industrial goods in the 1920s. Imports of industrial goods had been interrupted even before this by the war. Moreover, wartime speculation and profiteering had led to the accumulation of capital in the hands of Indian business communities, and they were now eager to extend their operations from trade and speculation to industry. In these circumstances, Indian business houses began investing their accumulated assets in new forms, especially cotton mills, jute mills, sugar mills and paper mills. They breached the virtual monopoly, which the British expatriate firms had hitherto enjoyed in business and industry. A process of industrialization

based on import substitution in the domestic market, now protected by tariff, was under way. 'The Economist' observed India's industrialisation effort: **"Although India has begun to modernise her industries, it can hardly be said that she is as yet being industrialised"**. On the whole, during the inter-war period, output of cotton piece goods, steel ingots, paper, etc., increased substantially. Many other industries also progressed even in terms of employment and the number of factories. But as far as diversification was concerned, it was indeed slow and the state of transformation of the economy was only 'marginal'

Foreign capital easily overwhelmed Indian capital in many of the industries. Only in the cotton textile industry did Indians have a large share from the beginning, and in the 1930s, the sugar industry was developed by Indians. Indian capitalist also had to struggle from the beginning against the power of British managing agencies and British banks. Indians also found it difficult to get credit from banks most of which were dominated by British financiers. Even when they could get loans they had to pay high interest rates while foreigners could borrow on much easier terms. Gradually Indians began to develop their own banks and insurance companies. In 1914, foreign banks held over 70 % of all bank deposits in India; by 1937, their share had decreased to 57%.

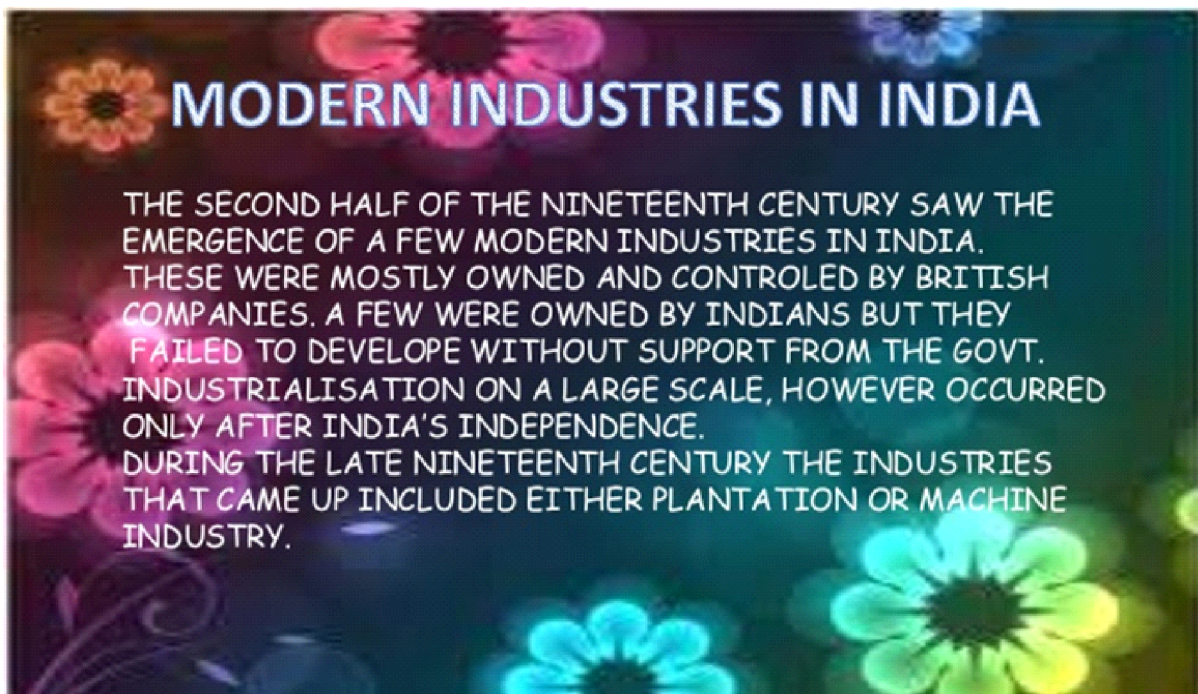
8.3.3 Indian Industries during 1939-1947

The Second World War broke out, and a new chapter in Indian industry began. This time again, Indian business houses, such as Tata, Birla, Walchand, JK and Shriram, took the lead. The effects of the war seriously weakened the European managing agencies, which still depended on exports. By this time a new type of foreign firm, the multi-national 'India Limiteds', had appeared on the scene, and they sought to capture the potential domestic market for technology intensive goods. However, Indian business houses, now much stronger than earlier, began to compete in this field too.

In these circumstances, the scope of industrial investment in India widened from the production of consumer goods to the pioneering of capital goods. The extraordinary requirements that arose out of the Second World War, together with the machinery requirement of the newly established consumer goods industries of the inter war period, generated a profitable market for capital goods industries for the first time. At the same time, the big Indian business houses began seeking an outlet for their accumulated profits from the steel, cotton textiles, sugar, paper and construction industries, and were attracted towards the new, technology-intensive metallurgical, chemical and engineering industries.

The technological problems in setting up the basic and heavy industries were extremely complex. Moreover, there were wartime constraints upon imports of essential plant and machinery for setting up the new industries. The plans of the Indian industrial houses and the new multinational groups were therefore impeded by many difficulties. Even so workshops multiplied. At the beginning of the war there were no more than 600 workshops capable of producing engineering components. Before the war was over, 15,000 engineering workshops were supplying the Government of India's urgent war requirements. Again, the war needs of the Government speeded up the production of aluminium: the Indian Aluminium Company (1938), set up by a joint British-Canadian multinational group, and the Aluminium Corporation of India (1937), managed by the J K Group [Juggilal Kamlapat], commenced production in 1943 and 1944 respectively;

When independence arrived, the two groups together were producing more than the total pre-war demand for aluminium in India, but demand had increased so much in the meanwhile that they could meet only 22.5% of the total demand, the rest being imported from abroad. The house of Tata set up Tata Chemicals in 1940 and the Tata Locomotive and Engineering Company (TELCO) in 1945. The Walchand Group set out to build ships, aeroplanes and motor cars during the war, but like the Birla Group which was also interested in producing



motor cars, was obstructed by the Government of India which wanted Indian industry to concentrate on producing munitions of war. Still, the slow structural shift of industry towards the production of heavy chemicals, machine tools, aircraft, automobiles, locomotives, ships and other basic and heavy industries began during the Second World War.

As a result, not only industrial output of large scale industries expanded significantly, but also a more widening of the industrial diversification became possible during the war-time years. During 1938-39 and 1945-46, the general index of output of all large scale manufacturing activity (at 1938-39 prices) rose from 100 to 161.6 and that of factory employment increased from 100 to 159.

8.3.4 Reasons for the low level industrial development in India

It was the result of (i) Inadequate capital accumulation; (ii) Mobilisation of unproductive investment; (Keynes castigated inordinate love for liquidity of Indians. Male people were desirous of seeing jewellery in the neck of their female counterparts); (iii) Undue preference for quick-return yielding commerce and trading activities of the Indian capitalist classes; and (iv) Concentration of entrepreneurship in the hands of a few small sections of Indians. In addition, shortage of capital goods and absence of skilled personnel also acted as drag on India's industrial development.

Check your progress -1

1. Discuss the nature of industrialization during 1900-1946
2. Trace the Indian Industrialisation during 1850-1914
3. Explain the development of Indian Industries in the Inter-War Period, 1914-1939
4. Give an account of Indian Industries during 1939-1947
5. Note the reasons for the low level industrial development in India
6. Account the trends of industrial production in the different phases of industrialization in India

8.5 Let us sum up

Industrialization in the European context has been usually associated with the growth of large-scale industries. In India, till the twentieth century, industrial production was based on the

cottage sector. So it is difficult to study the developments in the factories without reference to what was happening to small-scale production. While industrialization did occur in the twentieth century, the process of industrialization was halting and lopsided. Capital goods industries did not grow, and production was limited to consumer goods. This chapter traces the phases through which industrialization occurred in the twentieth century, and the process through which the Indian capitalists acquired business power

8.6 Answers to check your progress

Check your progress -1

1. See the sub-section 8.3
2. See the sub-section 8.3.1
3. See the sub-section 8.3.2
4. See the sub-section 8.3.3
5. See the sub-section 8.3.4
6. See the sub-section 8.3.1, 2, & 3

8.7 References

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LESSON - 9

LABOUR UNREST AND LABOUR LEGISLATIONS

Oxford Dictionary defines “Labour is those who are doing physical hard work for their lives”. National Sample Survey of India (NSSI) defines “Labour comprises of persons who are actively engaged in any productive work during the reference period of enumeration”.

Plan of Study

9.1 Learning Objectives

9.2 Introduction

9.3 Working Class Movements in British India

9.3.1 *The Buckingham and Carnatic Mills strike of 1921*

9.3.2 The All India Trade Union Congress

9.4 Evolution of Labour Legislations in India

9.4.1 The Factories Act of 1881

9.4.2 Features of the first Factories Act

9.4.3 The aftermath of Factories Act

9.4.4 *The Indian Factories (Amendment) Act of 1891*

9.4.5 The Workmen’s Compensation Act of 1923

9.4.6 The Trade Union Act of 1926

9.4.7 The Trade Disputes Act (TDA) of 1929

9.5 Let us sum up

9.6 Answers to check your progress

9.7 References

9.1 Learning Objectives

- You will familiarize yourself with the labour movement in British India
- You will be able to discuss the Impact of the Working Class Movement in colonial period.
- We can understand the evolution of labour legislation

9.2 Introduction

Labour law defines the rights and obligations of workers, union members and employers in the workplace. Generally, labour law covers: Industrial relations—certification of unions, labour-management relations, collective bargaining and unfair labour practices; Workplace health and safety; Employment standards, including general holidays, annual leave, working hours, unfair dismissals, minimum wage, layoff procedures and severance pay. There are two broad categories of labour law. First, collective labour law relates to the tripartite relationship between employee, employer and union. Second, individual labour law concerns employees' rights at work and through the contract for work. The labour movement has been instrumental in the enacting of laws protecting labour rights in the 19th and 20th centuries. Labour rights have been integral to the social and economic development since the industrial revolution.

Factors Influencing Evolution of Labour legislation

Several factors which influenced the evolution of labour legislation in India :-

- Early Industrialism
- Influence of colonial rules
- The rise of Trade Union
- The growth of Humanitarian ideas and the concept of Social justice

9.3 Working Class Movements in British India

The second half of the nineteenth century was beginning of the entry of modern industry into India. The thousands of hands employed in construction of railways were harbingers of the modern Indian working class

Further industrialisation came with the development of ancillary industries along with the railways. The coal industry developed fast and employed a large working force. Then develop the cotton and the jute industries.

The Indian working class suffered from the same kind of exploitation witnessed during the industrialisation of Europe and the rest of the West, such as low wages, long working

hours, unhygienic and hazardous working conditions, employment of child labour and the absence of basic amenities.

The presence of colonialism in India gave a distinctive touch to the Indian working class movement. The Indian working class had to face two basic antagonistic forces—an imperialist political rule and economic exploitation at the hands of both foreign and native capitalist classes. Under these circumstances, inevitably, the Indian working class movement became intertwined with the political struggle for national emancipation.

The early nationalists were indifferent to the labour's cause because they differentiated between the labour in the Indian-owned factories and those in the British-owned factories; believed that labour legislations would affect the competitive edge enjoyed by the Indian-owned industries; did not want a division in the movement on the basis of classes; and did not support the factory Acts of 1881 and 1891 for these reasons. Thus, earlier attempts to improve the economic conditions of the workers were in the nature of the philanthropic efforts which were isolated, sporadic and aimed at specific local grievances.

The isolated individual efforts were taken by dealers such as Sasipada Banerjea who started a workingmen's club and newspaper Bharat Shramjeevi in 1870, Sorabjee Shapoorji Bengalee tried to get a bill, providing better working conditions to labour, passed in the Bombay Legislative Council in 1878, Narain Meghajee Lokhanday started the newspaper Deenbandhu and set up the Bombay Mill and Mill hands Association in 1880, The first strike by the Great Indian Peninsular Railways took place in 1899, and it got widespread support. Tilak's Kesari and Maharatta had been campaigning for the strike of the mill workers for months. There were many prominent nationalist leaders like Bipin Chandra Pal and G. Subramanya Aiyar, who demanded better conditions for workers and other pro-labour reforms.

During Swadeshi Upsurge:- Workers participated in wider political issues. Strikes were organised by Ashwini Coomar Banerjea, Prabhat Kumar Roy Chaudhuri, Premtosh Bose and Apurba Kumar Ghosh. These strikes were organised in government press, railways and the jute industry. There were attempts to form trade unions but these were not very successful. Subramaniya Siva and Chidambaram Pillai led strikes in Tuticorin and Tirunelveli and were arrested. The biggest strike of the period was organised after Tilak's arrest and trial.

The First World War and after:- The War and its aftermath brought a rise in exports, soaring prices, and massive profiteering opportunities for the industrialists but very low wages for the workers. This led to discontent among workers. The emergence of Gandhi led to a

broad-based national movement and the emphasis was placed on the mobilisation of the workers and peasants for the national cause. A need was felt for the organisation of the workers in trade unions. International events like the establishment of a socialist republic in the Soviet Union, and setting up of International Labour Organisation (ILO) lent a new dimension to the movement of the working class in India.

9.3.1 The Buckingham and Carnatic Mills strike of 1921

Before the Trade Union Act of 1926 was passed, there was a rather major strike, the Buckingham and Carnatic Mills strike of 1921, in Madras, against the managing company of Binny and Co. B. P. Wadia and T.V. Kalyanasundaram Mudaliar, founded the Madras Labour Union. It was one of the first organised labour unions in India. Between October and December 1920, workers went on strike protesting against bad working conditions. ***The unrest was in pursuit of reforms, as disgruntled workers signified their anger over the low wages and poor working conditions, and their demands had the support of doyens such as C. Rajagopalachari, S. Kasturi Ranga Iyengar, and the Indian National Congress.*** The workers refused to work until the management agreed to their demands for raises in wages. Even though the strike was officially declared on June 20, 1921, and lasted till October 1921. The government responded resorting to shooting orders. Six workers were killed in police firing and that brought the protests to an abrupt end.

9.3.2 The All India Trade Union Congress

The All India Trade Union Congress was founded on October 31, 1920. Lala Lajpat Rai, was elected as the first president of AITUC and Dewan Chaman Lal as the first general secretary. The prominent Congress and Swarajist leader C.R. Das presided over the third and the fourth sessions of the AITUC. The Gaya session of the Congress (1922) welcomed the formation of the AITUC and a committee was formed to assist it. C.R. Das advocated that the Congress should take up the workers' and peasants' cause and integrate them in the struggle for swaraj.

Other leaders who kept close contacts with the AITUC included Jawahar Lal Nehru, Subhash Chandra Bose, C.F. Andrews, J.M. Sengupta, Satyamurthy, V.V. Giri and Sarojini Naidu. In the beginning, the AITUC was influenced by social democratic ideas of the British

Labour Party. The Gandhian philosophy of non-violence, trusteeship and class-collaboration had great influence on the movement. Gandhi helped organise the Ahmedabad Textile Labour Association (1918) and through a protest secured a 27.5% wage hike and later, the arbitrator's award ensured a 35% raise. The workers participated during 1930 in the Civil Disobedience Movement.

After 1931 there was a dip in the militancy of working class movement because of a split. In 1931 faction by N.M. Joshi broke away from the AITUC to set up the All India Trade Union Federation. In 1935, the communists rejoined the AITUC. Now, the left front consisted of the communists, Congress socialists and the leftist nationalists like Nehru and Bose. During the 1937 elections, the AITUC had supported the Congress candidates. The Congress governments in provinces gave a fillip to the trade union activity. The Congress ministries were generally sympathetic to the workers' demands. Many legislations favourable to the workers were passed

Communist Influences: - In 1928 there was a six-month-long strike in Bombay Textile Mills led by the Girni Kamgar Union. The whole of 1928 witnessed unprecedented industrial unrest. This period also saw the crystallisation of various communist groups, with leaders like S.A. Dange, Muzaffar Ahmed, P.C. Joshi, Sohan Singh Joshi etc. Strong communist influences on the movement lent a militant and revolutionary content to it. Alarmed at the increasing strength of the trade union movement under extremist influence, the Government resorted to legislative restrictions. It passed the Public Safety Ordinance (1929) and the Trade Disputes Act (TDA), 1929.

Meerut Conspiracy Case (1929):- In March 1929, the Government arrested 31 labour leaders, and the three-and-a-half-year trial resulted in the conviction of Muzaffar Ahmed, S.A. Dange, Joglekar, Philip Spratt, Ben Bradley, Shaukat Usmani and others. The trial got worldwide publicity but weakened the working class movement.

The Second World War and after:- Initially, the workers opposed the War but after 1941 when Russia joined the war on behalf of the Allies, the communists described the war as a "peoples' war" and supported it. The communists distanced themselves from the Quit India Movement. A policy of industrial peace was advocated by the communists to pursue the war efforts.

In the period 1945 to 1947, workers participated actively in the post-War national upsurges. In 1945, the dock workers of Bombay and Calcutta refused to load ships taking supplies to the warring troops in Indonesia. During 1946, the workers went on a strike in support of the Naval Ratings. During the last year of foreign rule, there were strikes by workers of posts, railways and many other establishments.

Check your progress -1

1. Discuss the early working class movements in British India
2. Give an account of the Buckingham and Carnatic Mills strike of 1921
3. Write a note on the All India Trade Union Congress

What's Labour Law ???

- **Labour Law** is the “**Body of Laws, Administrative Rulings, & Precedents**” which address the Relationship between & among “**Employers, Employees & Labour Organizations**”, often dealing with issues of Public Law. The terms Labour Laws & Employment Laws, are often interchanged in the usage. This has led to a big confusion as to their meanings. Labour Laws are different from Employment laws which deal only with employment contracts and issues regarding employment and workplace discrimination & other Private Law issues. 
- “**Labour Laws**” harmonize many angles of the **Relationship** between “**Trade Unions, Employers & Employees**”. In some countries (like Canada), Employment Laws Related to Unionised workplaces are different from those relating to particular Individuals. In most countries however, no such distinction is made. 
- The “**Final Goal**” of Labour Laws is to bring both “**Employer & Employee**” on the same Level, thereby mitigating the differences between the two ever-warring groups.

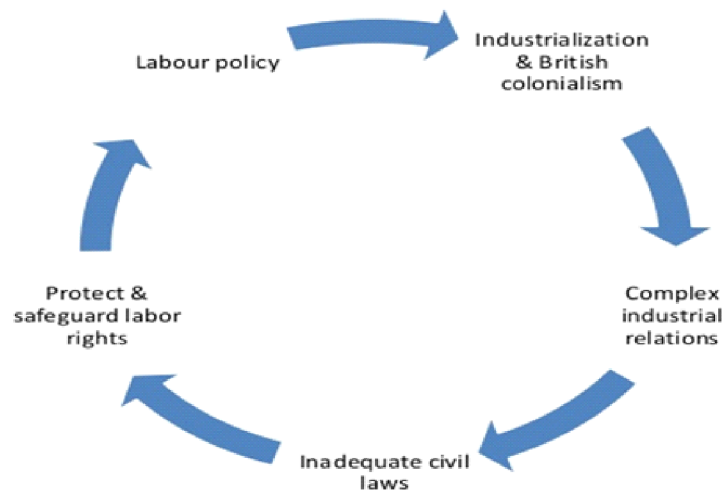
9.4 Evolution of Labour Legislations in India

The history of labour legislation in India is naturally interwoven with the history of British colonialism. Considerations of British political economy were naturally paramount in shaping some of these early laws. In the beginning it was difficult to get enough regular Indian workers to run British establishments and hence laws for indenturing workers became necessary. This was obviously labour legislation in order to protect the interests of British employers.

Before the Factories Act was passed, labourers in India, were hardly organised. Labour was mostly drawn from the farms. The British were establishing factories but most were peasant labour and workers, who did not have a clue about machinery, would leave factories for farms. Most of these labourers were forced to work under the threat of punishment and penalty. They tried to punish labourers with the cache of arbitrary punishments and penalties in their repertoire, if the labourers were absent. In effect, they were using long hours of work, corporal punishments, penalties, and fines. Many workers went home without poor wages, but worked for long hours.

They did not give the labourers quarters, leave was refused for women, women were paid half-wage, [and] children were made use of and abused. For instance, in the tea gardens in Assam, people were taken there to work, just like how people were taken to the Caribbean islands, Mauritius, and Fiji to work. They were serfs, virtually, though not slaves in the full sense. They were slaves in the village with landowners, but were the same in factories. Life was miserable:

Evolution of labour legislations in India:-



9.4.1 The Factories Act of 1881

The first impulse towards a law to mitigate the harshness of capitalist industrialism in India actually came from England. Philanthropists and textile manufacturers joined hands to demand statutory protection for the health of women and children employed in Indian factories, through a series of protests aimed at change. Following on March 25, 1875, the government of

Bombay appointed a commission to investigate the conditions of work of factory labourers in Bombay. The Commission had to investigate, report, and suggest steps for improvement. Mr. F. E. Arbuthnot, the Collector of Bombay, and its President, submitted its report to the Government of Bombay and recommended the enactment of a simple legislation that would mandate the provision of a working day of twelve hours, including within its fold, one hour of rest. He also recommended the inclusion of a weekly holiday for adults, the prohibition of children under eight from working in factories, and the restriction of the number of working hours for children aged between eight and fourteen, to eight *per* day. The initial proposals underwent a series of modifications and culminated in the enactment of the Factories Act.

It is well known that Indian textile goods offered stiff competition to British textiles in the export market and hence in order to make India labour costlier the Factories Act was first introduced in 1883 because of the pressure brought on the British parliament by the textile magnates of Manchester and Lancashire. Thus we received the first stipulation of (a) eight hours of work, (b) the abolition of child labour, (c) the restriction of women in night employment, and (d) the introduction of overtime wages for work beyond eight hours. While the impact of this measure was clearly welfare the real motivation was undoubtedly protectionist.

9.4.2 Features of the first Factories Act

The legislation was projected as the panacea for all the ills that plagued factory and industrial administration in India. It limited endless working hours, stipulated the minimum ages of those to be employed, and tried to ensure that there would be some gubernatorial safeguard in place for the conditions of the workers in factories. It was designed to protect children and provide measures for the health and safety of the workers. The Factories Act was applicable to factories that used mechanical power and employed hundred persons or more. It specifically excluded indigo factories and tea and coffee plantations from its scope. The hours of work of men and women, though, remained unregulated. Overall, the legislation was quite rudimentary and half-hearted.

The Factories Act dealt with the powers of industry owners, governed the regulation of the employment of children, the fencing of machinery, affixed the duty of notifying accidents to the government on industry owners, and provided for the powers of the local governments to make rules for carrying out the provisions of the Factories Act. It did not attempt to regulate adult labour, male or female. The health and safety of workers found no place in the Factories Act. Except in so far as it provided for the fencing of machinery and notice of accidents, the

Factories Act did not impose any obligation on mill-owners for the protection of adult workers. The scope of the law has therefore been recognised as limited.

9.4.3 The aftermath of Factories Act

Factory Inspector:- In 1882, the Government of Bombay invited Meade King, an English Factory Inspector, to investigate the implementation and working of the Factories Act in Bombay. In his capacity as an inspector appointed by the Crown, he was to investigate factories and prevailing working conditions, the wages paid, and the operation and functioning of factories. He found that several grave abuses were still prevalent, and declared that the law was inadequate. He also made a series of proposals to remedy the situation, but nothing came out of his report immediately.

Labour Commission (1884):- On May 23, 1884, the Government of Bombay appointed a commission to study Mr. King's report, and to see how feasible his suggestions were. It had four members who were representatives of the employers and other governmental members. They recommended the amendment of the Factories Act. Among the proposals suggested were that the working hours of children be limited to 9.5 hours and of women to 11.5 hours. They also suggested the grant of four monthly holidays and the raising of the minimum and maximum age of children to nine and seventeen years, respectively. This report was then forwarded to the Government of India, which however, was not convinced that the situation warranted an amendment. Despite what appeared to be a situation of inaction, agitations by Members of Parliament demanding the application of stringent English factory laws in India were rife at the House of Commons. The Chambers of Commerce, disillusioned with the fact that the abolition of cotton duties in India did not succeed in checking the growth of textile industries in the colony, represented relentlessly to the Secretary of State for India, which in turn prodded the Government of India to intervene.

Memorandum of Mr. Lokhande :- By 1884, a movement was catalysed by N. M. Lokhande, who was a skilled worker in a textile mill in Bombay, and a social reformer of the Satyashodhak Samaj. In November 1884, Mr. Lokhande organised two meetings of the Bombay textile workers. The meetings consolidated opinions and arrived at a consensus on demands. A unanimous memorandum was signed by as many as 5,500 workers. It demanded the declaration of Sundays as holidays for all workers, working hours extending from 6:30 a.m. until sunset, with half-an-hour of rest at noon. Wage-payments were to be made on the fifteenth of each month following the month for which they had been earned. The memorandum was

submitted in October 1884, to the second Factory Commission, by Mr. Lokhande, who had assumed the post of Chairman of the mill-hands association.

The Second Factory Commission:- The Second Factory Commission comprised W.B. Mulock who officiated as the President, During the next seven years, Mr. Lokhande goaded the government through meetings, memorials, and resolutions to legislate. His involvement culminated in his appointment as the local member of the Factory Labour Commission constituted by the Government of India in 1890. The 1881 Act was eventually amended in 1891 and Mr. Lokhande now bears the epithet, “Father of the Trade Union Movement in India”. A bill to amend the Factories Act was introduced in the Legislative Council on January 31, 1890. The Secretary of State demanded stricter measures, and suggested the appointment of another commission.

The Factory Labour Commission(1890):- The Factory Labour Commission, was appointed in September 1890 to enquire into the conditions of labour in factories in Awadh, Bengal, Bombay, and the North-Western Frontier Provinces, which also included Sorabji Shapoorji Bengalee as a member of the Commission. It recommended the limitation of daily working hours of women to eleven hours, of children for 6 hours, and a weekly holiday for all labourers. A rest interval between 12 a.m. and 1 p.m. was also recommended. The Bill was received with appreciation and satisfaction by Indian industrialists, but did not satisfy agitators in England. It was then recast with the Commission’s recommendations in mind, and the ***Indian Factories (Amendment) Act***, was passed, on March 19, 1891.

9.4.4 The Indian Factories (Amendment) Act of 1891

This law now applied to factories that used power, employed more than fifty people, and worked for 120 days or more in a year. It provided weekly holidays for all workers and a half-hour long midday break. Women’s working hours were fixed at eleven hours ***per*** day. Women were not to work at night, except in Bengal, where they were permitted to work on a shift basis. The minimum age of children was raised to nine and the maximum to seventeen, and their working hours were restricted to seven ***per*** day. Autonomy was offered to the local governments to handle sanitary and hygienic standards through rules that they could frame from time to time.

The Factories Act marked the first milestone in the repertoire of laws that have governed and still govern labour in India. Interwoven with the iron-fist of British colonialism, labour laws

in India slowly evolved to welcome changes brought by development and sensitivity to human rights. From an era where there was no mention of the rights of a labourer, social security provisions are paramount considerations today. Today, we are in the middle of a debate about the future of labour law in India and its eventual direction now seems a foregone one.

Scope of Labour legislations:-

Generally, labour law covers;

- Industrial relations - certifications of unions, labour-management relations, collective bargaining and unfair labour practices;
- Workplace health and safety;
- Employment standards, including general holidays, annual leave, working hours, unfair dismissals, minimum wage, lay-off procedures, and severance pay.

9.4.5 The Workmen's Compensation Act of 1923

This act is considered as the pioneer legislation in India. It provides a moderate social security to workmen on a humanitarian ground. Under this a woman injured or meeeting with fatal accident in the cause of employment anything happened to workmen, his dependent is eligible to receive compensation in lump-sum.

9.4.6 The Trade Union Act of 1926

The first central trade union organisation in India was the All India Trade Union Congress (AITUC) established in 1920. At about the same time workers at the Buckingham and Carnatic Mills, Madras went on strike led by B P Wadia. The management brought a civil suit against the workers in the Madras High Court. it not only obtained an injunction against the strike but also claimed damages against the leaders for 'inducing a breach of contract'. This was followed by widespread protests that finally yielded in the Trade Union Act 1926, (i). Recognised trade unions as legal associations; (ii) laid down conditions for registration and regulation of trade union activities; (iii) Secured immunity, both civil and criminal, for trade unions from prosecution for legitimate activities, but put some restrictions on their political activities.

The Trade Union Act facilitates unionisation both in the organised and the unorganised sectors. It is through this law that the freedom of association that is a fundamental right under the Constitution of India is realised. The right to register a trade union however does not mean that the employer must recognise the union. There is in fact no law which provides for recognition of trade unions and consequently no legal compulsion for employers, even in the organised sector, to enter into collective bargaining. Yet in reality because of the strength of particular trade unions there is fairly widespread collective bargaining, especially in the organised sector.

9.4.7 The Trade Disputes Act (TDA) of 1929

The Trade Disputes Act 1929 was introduced by the British to resolve trade disputes through communication machinery. There was a spate of strikes and huge loss of man days continued Rule 81A of the Defense of India Rules 1942, was involved by the British to maintain wartime supplies to the allied forces. Interestingly the interim government on the eve of formal independence retained this framework by enacting the IDA, which still remains on the statute book.

The main provisions of the Act are as follows: (i) Made compulsory the appointment of Courts of Inquiry and Consultation Boards for settling industrial disputes; (ii) Made illegal the strikes in public utility services like posts, railways, water and electricity, unless each individual worker planning to go on strike gave an advance notice of one month to the administration; (iii) Forbade trade union activity of coercive or purely political nature and even sympathetic strikes.

Check your progress -2

1. Narrate the evolution of Labour Legislations in India
2. Elaborate the Factories Act of 1881 and its features
3. Discuss the various Labour Commissions since Factories Act of 1881
4. Explain the *Indian Factories (Amendment) Act of 1891*
5. Give an account of the Workmen's Compensation Act of 1923
6. Write a note on the Trade Unions Act of 1926
7. Write a note on The Trade Disputes Act (TDA) of 1929

9.5 Let us sum up

Initial periods of imperialism were based on exploitation of the working class. The emergence of ILO at an international level, with the inhumane treatment meted out to workmen

being replaced with an outlook of dignity of labour. The history of labour legislation in India is naturally interwoven with the history of British colonialism. Considerations of British political economy were naturally paramount in shaping some of these early laws. In the beginning it was difficult to get enough regular Indian workers to run British establishments and hence laws for indenturing workers became necessary. This was obviously labour legislation in order to protect the interests of British employers.

9.6 Answers to check your progress

Check your progress -1

1. See the sub-section 9.3
2. See the sub-section 9.3.1
3. See the sub-section 9.3.2

Check your progress -2

1. See the sub-section 9.4
2. See the sub-section 9.4.1 & 2
3. See the sub-section 9.4.3
4. See the sub-section 9.4.4
5. See the sub-section 9.4.5
6. See the sub-section 9.4.6
7. See the sub-section 9.4.7

9.7 References

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LESSON - 10

DEVELOPMENT OF TRANSPORTATION UNDER THE BRITISH

It is generally defined, that the transportation system is the sum of technical instruments and organizations designed to enable persons, commodities and news to master the space. The purpose of the transport means, goods and persons are moved from one place to another in civilized countries. Thus the term transport system would mean to include railways, roadways, inland and overseas navigation and air ways. These transport systems have their economic, technical and organizational aspects.

Plan of Study

10.1 Learning Objectives

10.2 Introduction

10.3 Development of Transportaion under British Rule

10.3.1 Development of Road Transportation

10.3.2 Development of the Railways in British India

10.3.3 Development of Water Transportation

10.3.4 Development of Air Transport in India

10.4 Details of Transportation in Madras Presidency

10.4.1 Railway System in Madras Presidency

10.5 Let us sum up

10.6 Answers to check your progress

10.7 References

10.1 Learning Objectives

- You will familiarize with the major transport systems in India developed under British Rule
- You will be able to discuss the development of the Railways in British India
- We can understand the details of transportation in Madras Presidency

10.2 Introduction

The characteristics of our modern every day existence, specialization of production, cheap consumer goods, the fast tempo of life and close interdependence between individuals, groups and nations had been brought about mostly by modern means of transport. Through the process, transport has created place utility and facilitated the productive system, aiding thereby the development of new wealth. Modern transport has opened a large avenue of production itself. The manufacture of ships, locomotives, automobiles, aero planes, and other transport vehicles and the production of their parts and accessories are today one of the biggest industries in the world.

Human and animal transport on land and boats and country craft in water were the forms of transport available during the pre-railway period in India. The difficulties of communication had been a predominant factor in determining political, economic and social development of the country. The distances and natural obstacles to be overcome in passing from one region to another were formidable while even within a restricted area, internal communication broke down altogether in the rainy season. The Madras Public Works Commission in 1852 observed that there were many days in a year in which they could not travel at all and all perishable goods, sugar, cotton and even grains were much exposed to damage.

10.3 Development of Transportaion under British Rule

Transportation can be classified as land transportation, Water transportation, and air transportation. Land transportation can further be divided into road and railways.



Roads are most commonly used means of transport. Roads play an important role in connecting people and also in ensuring socio-economic growth of a country.

- 1) Roads provide door to door service by means of a rickshaw, car, bicycle, bus, scooter or a truck.
- 2) The construction, repair and maintenance cost is less than other means of transport.
- 3) It is the cheapest and the most convenient mode of transportation for a few people and relatively smaller amount of goods over shorter distances.
- 4) Roads connect rural areas to the urban areas and can be constructed in all types of terrains like hills, deserts, mountain and plateaus.

10.3.1 Development of Road Transportation

Under Road Transport, we include transport by human energy like porters, transport by pack and draught animals, transport by country carts, and transport by modern vehicles like automobiles, trucks and motor buses. Human porters and transport by pack animals still exist in underdeveloped regions. But these are gradually replaced by mechanical road transport as the economic development of those regions progresses. Road transport forms the backbone of the transportation system, particularly in an agrarian country like India. It is true that only the river transport was comparatively better placed before 1800. Anyway, the means of internal communications were highly defective till the mid-19th century. The trunk road system built during the Mughal rules was totally inadequate compared to the size of the country and its population. Above all, most of the roads fell into pitiable condition after the fall of the Mughal Empire. The East India Company neglected road construction as railway construction was thought to be more important from the profitability point of view.

Since roads were in a poor state, movement of goods driven by carts rather than the wheeled traffic was virtually impossible and in its place bullocks came to be used thereby doubling the cost of transport. As a result, overland trade could not make any mark. One possible development was the acknowledging of the importance of road transport made fund allocation from the 1830s. The few new roads which the Company built were primarily for military purposes and the government did little even to maintain the existing roads. It was only after the First World War that motor transport received strong support and with it the importance of good metalled roads. In 1927, a committee on road development was set up that recommended larger financial assistance.

The increase in road mileage was insufficient approximately 25% of the total needs of the country. This poor state of road development was recognised by the Agricultural Commission in 1928 in the light of marketing of agricultural crops. Although during the inter-war period there had been an increase in the use of motor trucks and other motor vehicles, road development lagged behind mostly because of low volume of investment. The Second World War emphasized the need of the development of roads and road transport. This then induced road construction of strategic importance under the military supervision.

Publication of the report on Road Development in 1943 at Nagpur took initiative for the development of all kinds of roads. The Nagpur Plan aimed at bringing all villages within five miles from the main road. The plan proposed a programme of constructing roads from 2,20,000

miles in 1943 to 3,31,000 miles in 1953. Roads to be constructed were of four categories, national highways, state or provincial highways, major district roads, and village roads. Anyway, this ambitious road development had been handicapped by fund crunch and physical shortage of construction materials. The final assault came from the partition of the country when as many as 57,000 miles of road went to Pakistan and the rest 2,39,000 miles allocated to India.

Development of Roads in India during British Period

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- ❑ Neglect of the road system in India
- ❑ Military and administrative purpose only
- ❑ Introduction of railways
- ❑ Feeder roads to the railways
- ❑ Jayakar Committee (1927)
 - ❑ Landmark in the planned development of roads
 - ❑ Central road fund as road development fund
- ❑ The Indian Roads Congress (1934)
 - ❑ Produced standards and codes of practices for the planning, design, operation and management of roads

Introduction to Transportation Engineering

10.3.2 Development of the Railways in British India

One of the marvelous developments in transport system in the modern period is the Railways. Railways, occupy the premier place amongst modern means of transport. They were most advantageous in the movement of heavy and bulk traffic, like the raw materials of industry over long distances. Railway trains were run on exclusive tracks; hence they can maintain a high average speed. The speed of road vehicle was limited because the safety of other vehicles using the road. The carrying capacity of a railway was very large and adequate to meet the demands of heavy and intensive traffic. There has been a close connection between the state and railway systems in all the countries because of their public utility nature.

The primary consideration of the Government of British India for railway construction was the necessity of military movement in the country. The maintenance and expansion of British authority in India demanded an inexpensive and expeditious mode of transport for the movement of troops and military equipments. The idea of railway in India first occurred to Mr. George Clark, the Chief Engineer of Bombay Government in 1843 to connect Bombay with

Thana in Kalian. There was also considerable demand in Bengal for railway construction. However, the initiative for railway construction came from Lord Dalhousie, as the Governor-General of India, who despatched the famous minute in July 1850 emphasizing the great social, political and commercial benefits which he expected from the railways in India. He urged the creation of a system of trunk lines connecting the interior of each Presidency with its principal port and connecting the different Presidencies with one another. Apart from the point of view of efficient military defense, were a more extensive employment of English capital and enterprise in Indian trade and manufactures and an effective exploitation of India's raw materials.

The first proposals for the construction of railways was submitted in 1844 to the East India Company by a British firm headed by Mr. R.M. Stephenson, who later became Chief Engineer of the East Indian Railway Company, which was one of the two earliest railway companies, the other being the great Indian Peninsular Railway Company. Both were incorporated in England for construction of two small railway lines near Calcutta and Bombay respectively. By 1853 a railway line from Bombay V.T. to Thana a distance of 21 miles was opened for traffic and the first railway train in India was inaugurated on 16th April 1853.

Railway construction in India was not the result of indigenous enterprise or capital like Great Britain, USA, Germany and other advanced countries. No industrial revolution had preceded the railways. Conditions of demand for railway service on the part of Indian people, traders and industrialists were so uncertain that even the enterprising promoters of railway companies in Britain insisted on a guarantee of interest from Government.

Even Lord Dalhousie himself said "after reading everything that I have seen written on the subject and conversing, since I have been in India, with everybody who was able to give an opinion worth having on the question of railways in India, I have come to the conclusion that no one can safely say whether railways in this country will pay or not". In the earlier stage a large mileage of unproductive lines were constructed for military and famine protective reasons. The lines taken by the Government of India in the earlier days was that in the initial stages of railway development in a country such as India, there were many arguments for paying more attention to the development of communications than to making the railways pay.

In the first 10 years, 1853 to 1862, seven guaranteed companies became operational. These were (1) Great Indian Peninsular Railway; (2) East Indian Railway; (3) Madras Railway; (4) Bombay, Baroda and Central India Railway; (5) Sind, Punjab and Delhi Railway; (6) Great Southern India Railway; (7) Eastern Bengal Railway. At the turn of the century, the network of

the Indian railways consisted of a total route of 39,834 k.m. opened for traffic with a capital outlay of Rs 3,300 million.

Railways developed rapidly as the result of a new and much more vigorous policy of national development. In 1905, the railway branch of the Public Works Department was abolished and a Railway Board was established at the head of the railway system under the Department of Commerce and Industry. Another notable characteristic of this period was the commencement of railway profits in 1900. The losses to the state during the first 40 years amounted to Rs.58 crores. Since 1900, however, railways began to yield a net return on the capital. The railway mileage increased from 24,752 in 1900 to 34,656 in 1914 and the capital outlay from Rs.329.53 crores to Rs. 495.09 crores.

When India became independent, the railways suffered considerably following the partition and the creation of Pakistan. The bulk of North Western and Bengal Assam railways went over to Pakistan. The total route mileages were 41,040 out of which 6,957 miles went to Pakistan, leaving India with 34,083 miles.

Different Classes of Railway Systems in India during Independence

S.No (1)	Railways (2)	Gauge (3)	Mileag (4)	Owned by (5)
I	*Class I Railways (consisting of 13 Railways)			
1	Assam Railway	3'3 3/8 5'6'	1239 2463	Indian Government, Branch line Company & Indian State @ Indian Government
2	Bengal–Nagpur Railway	2'6'	925	Branch line Company, Private & Indian Government
3	Bikaner State Railway	3'3 3/8	883	Indian State
4	Bombay, Baroda and Central India Railway	5'6' 3'3 3/8 2'6' 5'6'	1266 1985 158 4358	Indian Government Indian State& Government

5	East Indian Railway	3'3 3/8 2'6'	4 17	Indian Government
6	Eastern Punjab Railway	5'6' 2'6' 5'6'	1750 128 4860	Indian Government& State Indian Government Indian Government& State
7	Great Indian Peninsula Railway	2'6'	202	Indian Government & Branch line Company
8	Jodhpur Railway	3'3 3/8	1126	Indian State& Pakistan
9	Madras & Southern Mahratta Railway	5'6' 3'3 3/8	1122 2816	Indian Government, Indian State & District Board Indian Government, State & Foreign Country
10	Mysore State Railway	3'3 3/8 2'6' 2,0'	609 103 27	Indian State
11	Nizam's State Railway	5'6' 3'3 3/8	689 695	Indian State& Government Indian State& Government
12	Oudh Tirhut Railway	3'3 3/8 5'6'	3073 632	Indian Government Indian Government& State and Unassisted Company
13	South Indian Railway	3'3 3/8	1718	Indian Government, Indian State, District Board & Foreign Country
Total Class I Railways Mileages				32848
II	**Class II Railways (consisting of 10 Railways)			
14	Barsi Light Railway	2'6'	203	Unassisted Company
15	Bhavnagar Railway	3'3 3/8	307	Indian State
16	Darjeeling Himalayan Railway	2,0'	146	Subsidised & Branch line Company

17	Gaekwar's Baroda State Railway	3'3 3/8 2'6'	308 428	Indian State Indian State
18	Gondal Railway	3'3 3/8	213	Indian State
19	Jaipur State Railway	3'3 3/8	253	Indian State
20	Jamnagar & Dwarka	3'3 3/8	212	Indian State
21	Junagadh State Railway	3'3 3/8	229	Indian State
22	Morvi Railway	3'3 3/8	173	Indian State
23	Shahdara Saharanpur Light Railway	2'6'	93	Company Subsidised
Total Class II Railways Mileages				2565
III	***Class III Railways (consisting of 19 Railways)			
24	Ahmadpur Katwa	2'6'	32	
25	Arrah Sasaram Light	2'6'	65	
26	Bankura Damodar River	2'6'	60	
27	Baraset Basirhat Light	2'6'	52	
28	Bengal Provincial	2'6'	41	
29	Bukhtiarpur Bihar Light	2'6'	33	
30	Burdwan Katwa	2'6'	32	
31	Cutch State	2'6'	72	
32	Dehri Rohtas Light	2'6'	24	
33	Dholpur State	2'6'	55	
34	Futwa Islampur	2'6'	27	
35	Howrah Amta Light	2,0'	44	
36	Howra Sheakhala Light	2,0'	20	
37	Jagadhri Light	2,0'	3	
38	Kalighat Falta	2'6'	26	
39	Matheran Light	2,0'	13	

40	Mewar State	3'3 3/8	163	
41	Scindia State	2,0'	294	
42	Tezpore Balipara Light	2'6'	20	
Total	Class III Railways Mileages			1076
Total	(Class I, II & III) Mileages			36489

* Railways with gross earnings of Rupees 50 lakhs and over a year.

** Railways with gross earnings of less than Rs 50 lakhs a year, but exceeding Rs 10 lakhs a year.

*** Railways with gross earnings of Rupees 10 lakhs and under a year.

@ Ownership by Indian Government means British Government of India; by Indian State means the Native States; by District Board means the District/ Municipal Boards; by Branch line Company or Subsidized or Unassisted Company as the case may be; by Pakistan or Foreign State like Pondicherry as the case may be. Some railways were owned by more than one agency.

Decadewise mileage details of Railways in India for Traffic, 1853–1951

S. No.	Years	Broad Gauge*	Metre Gauge	Special/ * Narrow Gauge*	Total
(1)	(2)	(3)	(4)	(5)	(6)
1	1853	20	—	—	20
2	1861	1,587	—	—	1,587
3	1862	2,333	—	—	2,333
4	1871	5,029	18	27	5,074
5	1881	6,938	2,822	136	9,890#
6	1891	10,041	6,955	288	17,308#
7	1900	13,900	10,110	697	24,752#
8	1901	14,057	10,506	810	25,363#

9	1911	17,016	13,759	2,064	32,839
10	1912	17,189	14,165	2,130	33,484
11	As on 31.03.1913	17,222	14,254	2,122	33,598
12	As on 31.03.1921	18,195	15,248	3,586	37,029
13	As on 31.03.1931	20,802	17,440	4,039	42,281
14	As on 31.03.1941	21,029	16,042	3,981	41,052\$
15	As on 31.03.1951	15,694	15,028	3,357	34,079@

- * 'Broad' represents a gauge of 5' 6", 'Metre' represents a gauge of 3' 3.11" and 'Narrow' represents gauges of 2' 6" and 2' 0". # The slight difference in the totals due to the adjustments on account of rounding off, correction due to remeasurements etc. \$ A length of 2,060 miles of metre gauge excluded due to separation of Burma on 1st April 1937. @ During the Second World War, over 1,000 miles of rail length were dismantled to provide track for military operations & Mileage of lines in Pakistan on 15th August 1947 excluded and approximately the total is 6,958 miles in all.

Complained letter that got toilets installed on Trains in India

Dear Sir ,

I am arrive by passenger train Ahmedpur station and my belly is too much swelling with jackfruit. I am therefor went to privy. Just I doing the nuisance that guard making whistle blow for train to go off and I am running with 'LOTAH' in one hand & 'DHOTI' in the next when I am fall over & expose all my shocking to man & female women on platform. I am got leaved Ahmed-pur station.

This too much bad, if passenger go to make dung that dam guard not wait train minutes for him. I am therefor pray your honour to make big fine on that guard for public sake. Otherwise I am making big report to papers.

YOUR'S FAITHFULLY SERVIENT,
OKHIL CH. SEN.

10.3.3 Development of Water Transportation

Water Transport was the cheapest kind of transport because the permanent way had already been provided by nature. Sea and rivers, canals and artificial waterways were, however,

expensive to construct, but much lesser than railways. Moreover, water offers low resistance to ships and boats, usually about one fifth of the average resistance met by trains on railways. The biggest railway wagon cannot carry more than 50 tones, but an average sized steamer can easily carry 1,000 tons of cargo, but this form of transport suffers from slowness of speed.

The water transport in India was crucial in carrying internal trade. The long-distance carriage of bulky goods like food-grains, and salt, water transport enjoyed some advantage in cost terms. The quickest as well as the cheapest mode of transport was country boats. With the introduction of steamships in the mid-19th century, not only travel time declined in respect of the movement of goods and passengers but it also enjoyed enormous cost advantage over country boats. However, no road and river traffic data was available. What was unique was its gradual decline due to stiff competition with the railways after 1860.

With the advent of the British rule, the Indian shipping industry came under brutal competition from the British ships. It was the sheer discriminatory and unjust practices of the British Government that caused the Indian shipping transport to languish. A 'near monopoly' in the port-to-port traffic in India was established by the British shipping companies that remained the major carriers of Indian cargo during the entire British rule. As far as ship-operation was concerned, the First World War acted as a boon. During the War, as all British ships were requisitioned for war purposes, her foreign trade suffered a serious jolt. As economic nationalism started to gather its strength, an effort for the revival of shipping was floated in the post-war period.

The Scindia Steam Navigation Company was born in 1919 as a crusade against the anti-national economic policy of the British Government. Till then India's imports were largely handicapped by the acute shortage of merchant navy. Public outcry for a merchant navy forced the Government of India to appoint the Indian Mercantile Marine Committee in 1923. However, most of the useful recommendations of the Committee went unheeded, except the one the establishment of training ship 'Dufferin'. As a result of the hostile attitude of the British Government, shipping tonnage prior to the Second World War was miniscule, only 0.23% of the world tonnage. The War damaged the prospect of growth of the shipping industry more. Anyway, Indian shipping transport had to struggle hard for survival against the British companies.

10.3.4 Development of Air Transport in India

Air Transport had the advantage of speed and unbroken journeys over land and sea. This form of transport was especially suited for long distances, where speed was essential,

however it suffers from limitations of high cost of service, dependence on atmospheric conditions and greater risks. The growth of air transport in India is just 100 years old. The first air-mail service between Allahabad and Naini was introduced by the Posts and Telegraph Department of the Government of India in 1911. Several stray attempts were made afterwards, but the first international air service by the Indian Transport Continental Airways Ltd. began to function in 1932. By 1939, three air companies—the Total Airlines, the Indian National Airways, and the Air Services of India—were set up for internal operations. A great boom for this transport system came during the World War II. In spite of this, there had been a haphazard and unplanned expansion of air transport in this country in the Post-War period. After Independence the number of air companies operation in India were increased.

Check your progress -1

1. Write on the development of Road Transportation in British India
2. Trace out the development of the Railways in British India
3. Discuss about the Water Transportation in British India
4. Explain the development of Air Transport in India
5. Elaborate the development of transportation under British rule

10.4 Details of Transportation in Madras Presidency

Roads; - In 1800 there were practically no good roads, but merely tracks. In the absence of good roads, pack bullocks and coolies were the only means of conveyance. The cost of transport of bulky articles for long distances was consequently prohibitive. The cost of carriage of grain by means of pack bullocks for a distance of 8 miles amounted to one third of the value of the grain. In the case of grain the cost of carriage often exceeded the value of the grain. The bullock-carts were of an unusually good pattern, however, so narrow that they quickly cut up a soft road. Cart hire did not include the hire of bullocks; with bullocks the hire amount varied according to the distance. Passenger traffic was conducted in light two-wheel covered carts with springs, known as **Jatkas**. **Palanquins** were used by upper class people and it had no wheels; but people carried them physically.

In the beginning of the Eighteenth century, good roads were practically non-existent, and that in 1852 there were only 3,000 miles of roads hardly deserved the name. There were in 1887, miles of metal led or gravelled roads in good order, besides numerous cross roads and

village lanes and miles of railway. The result of this improvement was an immense internal traffic between the various trade centres, such as weekly markets and towns, and a considerable import and export trade in which thousands of carts had taken part with railways. The roads of the Presidency were almost maintained by the District Boards. In 1903, the local fund board was maintaining 25,000 miles of road; the District Boards were maintaining 22,200 mileages and Public Works Department, 590 mileages, 2,000 miles of railways and 1,500 miles of canals. The chief lines of through communication were the northern trunk road from Madras to Calcutta, the southern to the Travancore frontier, and the western to Calicut. These and many of the other main lines were originally aligned for military purpose.

Water Canals:- The chief navigable waterways in the Presidency were the Canals in the deltas of the Godavari which is about 493 miles; Krishna, 307 miles and the Buckingham Canal, 261 miles. All these were connected, and thus placed Madras City in direct communication by water with the deltas. The Buckingham Canal was salt water canal-tidal to a great extent wherever the river bars were open- extending for 261 miles along the east coast of the Presidency, from Pedda Ganjam in the Krishna District to Mercanum in the South Arcot District. On this canal, private boats continued all the traffic. During 1888-89 in the Godavari and Krishna and Buckingham Canals, the number of passengers carried was 480,000 and ton-mileage of goods 36 millions and the cost of carriage of goods roughly estimated at 27 millions rupees every year; that was more than one-half of the entire land revenue of the Presidency.

Many water communications were also utilized for irrigation purposes, and all were taken technically under the head of irrigation. An important line of water communication was included in the Malabar and Travancore backwaters parallel to the western coast, consisted originally of mere short artificial cuts connecting the backwaters and rivers near the sea. In the centre of the line of communication is the harbour of Cochin, which was capable of being made the finest close harbor in the world.

Steam Navigation:- Along the coast of the Presidency, the boats of the British India Steam Navigation Company touched periodically Madras and other ports, and they also made trips to Bombay, Colombo, Calcutta and Rangoon. On the Godavari Canals there were four Government steamers and three steamers in the Krishna for navigation. There was little inland navigation on the other rivers and back waters of the west coast. On a few of the rivers circular boats made of hides stretched over frameworks of bamboo were used for local traffic or as ferries.

Shipping:- Nearly half of the maritime trade was conducted through the port of Madras. Tuticorin stood next with about one-tenth of the total and Cochin followed close after it. After them came Calicut, Mangalore, Cocanada, Tellicherry and Nagapatnam. In each of these eight ports the total value of the trade exceeded 100 lakhs, and over six-sevenths of the whole commerce of the Presidency was carried on at these ports. Tuticorin received the grains and pulses, cotton piece-goods and spices required for the southern districts. Cochin exported tea, oil made from the nut of the coco-palm, and yarn and fibre manufactured from its husk. Calicut, Mangalore, and Tellicherry exported to Europe the pepper and other spices for which the west coast had been quite famous for the last three centuries, and also coffee, tea, and yarn and rope made of coconut fibre. Cocanada was famous for pungent tobacco and Nagapattinam dispatched large quantities of rice to Ceylon and cotton piece-goods to that Island and Straits settlements.

Tramways:- Madras Tramways Corporation was promoted by Hutchinson & Co., London, in 1892 and the first tramway section was opened in 1895 before any other Indian city or London got its trams. In 1904, The Madras Electric Tramways Ltd., was formed and had been carrying on business during the colonial period. Extensions were made in 1905, 1911 and in 1919. The total mileage at the end of 1906 was 12 miles and 7 furlongs, of which 2 miles and 6 furlongs were provided with double tracks. The line continued to be worked on the overhead trolley system. The Madras Electric Tramways Ltd., had operated fifty motor buses in the year 1925-27 but was abandoned in 1928 owing to the uneconomical competition offered by the unorganized bus owners. Madras Tramways finally disappeared in the Post-Independent period following a labour dispute in 1953.

10.4.1 Railway System in Madras Presidency

The Railways of the presidency were constructed, mainly by two Companies, The Madras Railway Company and The South Indian Railway Company which had their lines almost entirely within its limits. The Southern Mahratta Railway, most of which lies within the Bombay Presidency, owns 545 miles of line in Madras Presidency.

(i) The Madras Railway Company:- The Madras Railway Company was formed in London on 8th July, 1845. The first work commenced on the 9th June, 1853 at Royapuram for an experimental line from Madras to Meril, a distance of 50 miles towards the west. Earlier, the first section of the line, a distance of 406 miles from Madras to Beypore was sanctioned and from Royapuram to Wallajahnagger (Wallajah-Arcot) was opened on 1st July, 1856 and

completed upto Beypore (Calicut), was opened on 12th May 1862. The second main line leaves the first main line at Arkonam, 43 miles from Madras, and runs in a north- western direction to Ryechore, 308 miles, on 15th march 1871, where it joined the Great Indian Peninsular Railway from Bombay. The next important construction of Madras Railway Company was the line to Vizagapattinam, 497 miles, beyond which it was worked by the Bengal-Nagpur Railway Company. The Madras railway system thus consisted of 861 miles of Railway in 1883 and 1,489 miles in 1904; of which the section between Madras and Arkonam was double line and the remainder was a single line. The entire system had been constructed on the Indian broad gauge of 5 feet 6 inches

(ii) The South Indian Railway Company:- The lines formerly owned and worked by the Great Southern India and Carnatic Railway Companies were amalgamated on 1st July 1874, under the title of South Indian Railway. The Great Southern India Company was registered in 1859, and started working with its head quarters at Nagapattinam, but shortly moved to Trichinopoly. The first line between Nagapattinam to Tirchinopoly, 78.5 miles, started in May 1859 was completed in 1862. The next construction was from Trichinopoly to Erode, a station on the Madras Railway, 88.5 miles, through Karur, Kodumudi, which was completed on January 1868. By the end of 1891, the South Indian Railway Company consisted of the main line running south from Madras Beach Junction to Tuticorin, 444 miles, with branches from Trichinopoly to Erode, Chengalpet to Arkonam; Nagore to Trichinopoly via Tiruvarur; Maniyauchy to Tirunelvely; katpadi to Dharmavaram and Villupuram to Ginjee River. The Extension from Rameswaram to Dhanushkodi was opened on 1908 and Mandapam to Pamban in 1914.

(iii) The Southern Mahratta Railway:- It was formed on 1st June 1882 and most of which, lay within the Bombay Presidency and owned 545 miles of line in Madras Presidency. The most important section was the line from Bezwada to Guntakal, which connected between Bombay and Madras through Kulberga and Raichure, branch lines from Gooty to Bellary and Kulberga to Hyderabad.

(iv) Madras and Southern Mahratta Railway:- The contracts of the Southern Mahratta Railway and Madras Railway having expired on 31st December 1907, the Government rearranged the railway system in Southern India. The Southern Mahratta absorbed the whole of the Madras Railway.

Check your progress -2

1. Explain the condition of transportation in Madras Presidency
2. Discuss about the Railway system in Madras Presidency

10.5 Let us sum up

Up to the middle of the 19th century, the means of transport in India were backward. Goods were transported by road mainly by bullock-carts, mules and camels. Riverine transport by boats was also prevalent. Due to poor communication and slow transport the volume of trade was restricted. The British rulers soon realised that a cheaper, faster and more efficient system of transport was necessary if British manufactured goods were to flow into India on a large scale and her raw materials were to be secured for British industries. However, in their planning of railways, construction and management, there is nothing to suggest that India's own interest and well-being were taken into account. The primary consideration was to serve the economic, administrative and military interests of the British people. The railway travel of Indians between the important city centres grew only as a by-product

10.6 Answers to check your progress

Check your progress -1

1. See the sub-section 10.3.1
2. See the sub-section 10.3.2
3. See the sub-section 10.3.3
4. See the sub-section 10.3.4
5. See the sub-section 10.3, 1,2,3, %4

Check your progress -2

1. See the sub-section 10.4
2. See the sub-section 10.4.1

10.7 References

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LESSON - 11

MODERNISATION AND DEVELOPMENT OF COMMUNICATIONS

The normative components of modernisation in India began with spread of means of communication and transport, industrialisation, social reform expansion of western education and a universalistic legal system. Here we are going to discuss the development of Post and Telegraph system under British rule.

Plan of Study

11.1 Learning Objectives

11.2 Introduction

11.3 Development of Postal System under the British Rule

11.3.1 The Post Office Act XVII of 1837

11.3.2 The Reforms of 1854 and the issue of first stamps

11.3.3 The Post Office Act XIV of 1866

11.3.4 The Govt. Savings Bank Act & Postal life Insurance

11.3.5 India Security Press

11.3.6 The philatelic Society in India

11.3.7 Postal System in Princely States

11.4 Introduction of Telegraph & Telephone

11.5 Radio Broadcasting in British India

11.6 Let us sum up

11.7 Answers to check your progress

11.8 References

11.1 Learning Objectives

- You will familiarize with the commercialization of Indian Agriculture
- You will be able to discuss the Impact of the Commercialisation of Agriculture.
- We can understand the development of Irrigation under the British

11.2 Introduction

The Indian postal and telecom sectors are one of the world's oldest. The British took constructive steps to improve and modernize the existing postal system in India. The Telecommunications in India began with the introduction of the telegraph system, took place in the mid nineteenth century. Telegraph and Radio Broadcasting communication was essential for effective and safe railway signaling.

11.3 Development of Postal System under the British Rule

Indian postal system was in deplorable condition. Posts were sent by horses and by postmen. This system used to take very long time to carry letters or news from one place to another. In addition, there was delay for various other reasons. Government letters were sent by its machinery. Even rich persons made their own arrangements for sending messages. But common people faced lot of difficulties. Existing system of cash payment before posting a letter put the common people under hardship. Cost of postage depended on the distance to be covered by the letter. It was very costly affair at times.

The East India Company took constructive steps to improve the existing systems in India in 1688, when they opened a post office in Bombay followed by similar ones in Calcutta and Madras. Lord Robert Clive further expanded the services in 1766 and in 1774 Warren Hastings made the services available to the general public. The fee charged for the service was two **annas** per 100 miles. The postmarks applied on these letters are very rare and are named '**Indian Bishop Marks**' after Colonel Henry Bishop, the Postmaster General of the United Kingdom who introduced this practice in Britain. The Post Office Department of the East India Company was first established on 31 March 1774 at Calcutta, followed in 1778 at Madras and in 1792 at Bombay.

Lord Cornwallis introduced the Regulation of the Permanent Settlement in 1793 the financial responsibility for maintaining the official posts rested with the zamindars. The 'hired runners' were used for private dawk mail systems for the commercial conveyance of messages. Also, the East India Company created its own infrastructure for the expansion and administration of military and commercial power. The runners were paid according to the distance they travelled and the weight of their letters.

Carrying the mail was dangerous work through the forest area; water logging area with the exception of such parts as may be infested by tigers, and other hurdles; the post seldom or

never fails of arriving within an hour of its appointed time. Taking the average, 100 miles per day may be run over by the dawk or post, in fair weather. Each mail-bag is conveyed by a *hurkaru* (runner) who is attended by one or two doogy-wallahs (drummers), who keep up a kind of long-roll, as they pass any suspicious place. By 1861, there were 889 post offices handling nearly 43 million letters and over 4.5 million newspapers annually. The first superintendent of the post office was appointed in 1870 and based in Allahabad and in 1876, British India became the first non-founding member of the General Postal Union. A number of acts were passed during the British Raj to expand and regulate Posts and Telegraphs service

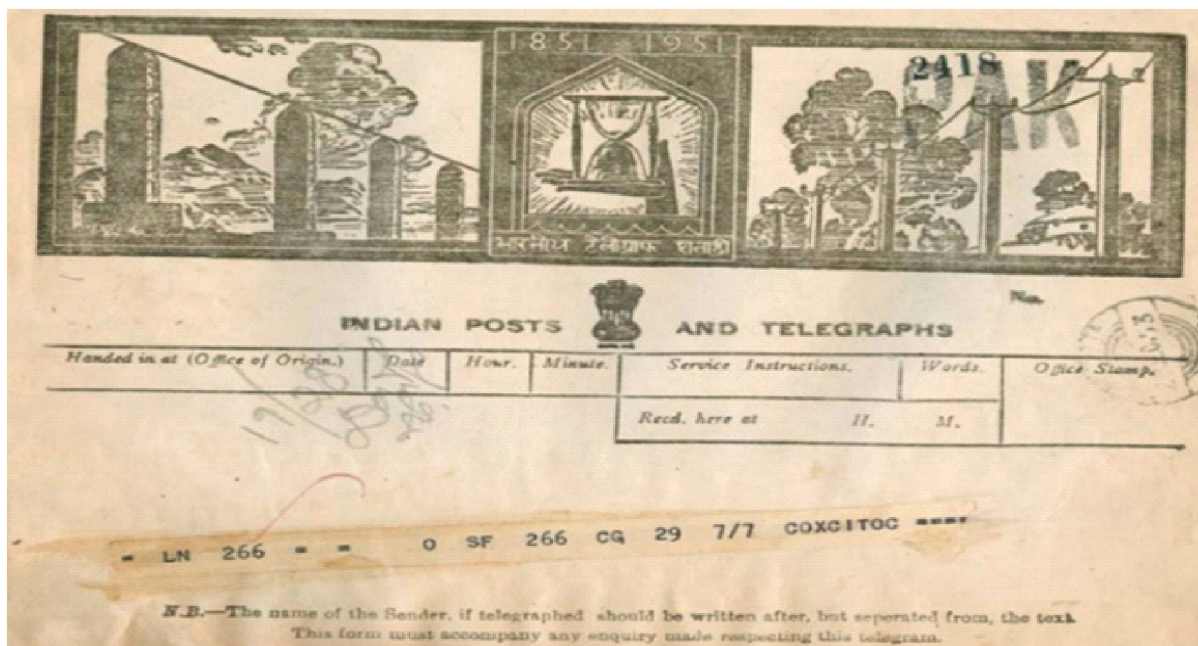


11.3.1 The Post Office Act XVII of 1837

This Act provided that the Governor General of India Council had the exclusive right of conveying letters by post for hire within the territories of the East India Company, required all private vessels to carry letters at prescribed rates for postage, A hand stamp was applied to pre-adhesive ship letters, The mails were available to certain officials without charge, which became a controversial privilege as the years passed. On this basis the Indian Post Office was established on 1 October 1837.

11.3.2 The Reforms of 1854 and the issue of first stamps

The first stamps valid for postage throughout India were placed on sale in October 1854 with four values: 1/2 anna, 1 anna, 2 annas, and 4 annas. Featuring a youthful profile of Queen



Victoria, all four values were designed and printed in Calcutta. All were lithographed except for the 2 annas green, which was produced by typography from copper clichés or from electrotyped plates. The 4 annas value was one of the world's first bicolored stamps, preceded only by the Basel Dove, a beautiful local issue.

These stamps were issued following a Commission of Inquiry. In the opinion of Geoffrey Clarke, the reformed system was to be maintained “for the benefit of the people of India and not for the purpose of swelling the revenue.” The Commissioners recommended to abolish the earlier practice of conveying official letters free of postage (“franking”). The new system was recommended by the Governor-General, Lord Dalhousie, and adopted by the East India Company's Court of Directors. It introduced “low and uniform” rates for sending mail efficiently throughout the country within the jurisdiction of the East India Company. The stamps were needed to show the postage was prepaid, a basic principle of the new system, like the fundamental changes of the British system advocated by Rowland Hill and the Scinde reforms of Bartle Frere. The Scinde stamps became known as “Scinde Dawks”; “Dawk” is the Anglicised spelling of the Hindustani word Dak or (“post”). These reforms transformed mail services within India.

In 1855 a new design for stamps, with Queen Victoria in an oval vignette inside a rectangular frame, was inscribed “EAST INDIA POSTAGE”. These stamps were recess printed by De La Rue in England, who produced all the subsequent issues of British India until 1925.

They continued in use well after the British government took over the administration of India in 1858. From 1865 the Indian stamps were printed on paper watermarked with an elephant's head.

Another four new designs appeared, one at a time, between 1874 and 1876. A complete new set of stamps was issued in 1882 for the Empire of India. The designs consisted of the usual Victoria profile, in a variety of frames, inscribed "INDIA POSTAGE". The watermark also changed to a star shape. These stamps were heavily used and are still quite common today. Three stamps, featuring a portrait of Queen Victoria, in 2, 3 and 5 rupee denominations, were introduced in 1895. Other existing designs were reprinted in new colours in 1900. Postage stamps were generally issued separately from the revenue stamps. However, in 1906, the set of King Edward VII stamps were issued in two values, half anna and one anna with the caption "INDIA POSTAGE & REVENUE". The George V Series (1911 to 1933) added two more values, two annas and four annas to the Postage & Revenue stamps. These dual-purpose issues were an exception and generally the two types were issued separately.



11.3.3 The Post Office Act XIV of 1866

The volume of mail moved by the postal system increased relentlessly, doubling between 1854 and 1866, doubling again by 1871. The Post Office Act XIV introduced reforms by 1 May 1866 to correct some of the more apparent postal system deficiencies and abuses. Postal service efficiencies also were introduced. In 1863 new lower rates were set for "steamer" mail to Europe at 6 annas 8 pies for a 1/2 ounce letter. Lower rates were introduced for inland mail,

as well. New regulations removed the special postal privileges which had been enjoyed by officials of the East India Company. Stamps for official use were prepared and carefully accounted for to combat the abuse of privileges by officials. India was the first country to adopt the simple expedient of overprinting 'Service' on postage stamps and 'Service Postage' on revenue stamps. This innovation became widely adopted by other countries in later years. These stamps also had to be improvised. Some of the "Service Postage" overprinted rarities of this year resulted from the sudden changes in postal regulations. New designs for the 4 annas and "6 annas 8 pies" stamps were issued in 1866.

11.3.4 The Govt. Savings Bank Act & Postal life Insurance.

The Government Savings Bank Act 1873 (5 of 1873), passed by the legislature on 28 January 1873, was enacted in 1881. On 1 April 1882, Post Office Savings Banks opened throughout India (except in the Bombay Presidency). In Madras Presidency, it was limited; in the Bengal Presidency, no POSBs were established in Calcutta or Howrah. Postal life insurance began on 1 February 1884 as a welfare measure for the employees of the Posts & Telegraphs Department as Government of India dispatch No. 299 dated 18 October 1882 to the Secretary of State. It was essentially a welfare scheme for the benefit of Postal employees in 1884 and later extended to the employees of Telegraph Department in 1888. In 1894, PLI extended insurance cover to female employees of P & T Department at a time when no other insurance company covered female lives. It is the oldest life insurer in this country.

11.3.5 India Security Press

All printing and overprinting of India's postage stamps was conducted at India Security Press, Nasik from 1st January 1926. The possibility of printing postage stamps and other security items in India had been explored in England by Lt Col C.H. Willis, C.I.E., then master of the Bombay Mint, and Mr F.D. Ascoti, I.C.S., Controller of Printing, Stationery and Stamps. Their favourable report, followed by a successful demonstration of production techniques in Delhi in 1923, led to the decision of the Government to establish a security press at Nashik. The responsibility of setting up the Press was entrusted to the London firm of Thomas De La Rue which already had a six-decade long association with Indian stamps. The construction was completed in 1925. The first stamps produced were the definitive series of George V, printed using typography from the same plates used earlier in England by De La Rue, which were now transferred to India. The watermark was changed by the Press to multiple stars. Lithography was now re introduced and the first stamps printed with this technique were the first Air Mail

series of 1929. The Security Press continued to use typography for most stamps, reserving the lithographic process for the most important commemorative issues, the next being the 1931 series commemorating the inauguration of New Delhi as the seat of government in 1931. The one rupee stamp shows the Secretariat and Dominion Columns. This practice continued after independence. The first definitive series to be issued was the misnamed “Archaeological” series of 16 values; the top four values were produced by lithography and the remaining values by typography.

The first pictorial stamps appeared in 1931 showing the fortress of Purana Qila, Delhi and government edifices, was issued to mark the government’s move from Calcutta to New Delhi. Another pictorial set, also showing buildings, commemorated George V’s Silver Jubilee in 1935, in 1937 depicted various forms of mail transports, with King George VI’s image appearing on the higher values and new issue in 1941, constrained by the austerity of World War II. The first Dominion issue in November 1947, whose three stamps were the first to depict the Ashoka Pillar and the new flag of India and the third showed an aeroplane.

11.3.6 The philatelic Society in India

The first philatelic Society in India was founded in Calcutta on 6 March 1897 to service postage-stamp collections. Function include design, printing and distribution of special or commemorative postage stamps, definitive postage stamps and items of postal stationery, promotion of philately, conduct of philatelic examinations at the national level, participation in international exhibitions and monitoring exhibitions at the state, regional and district levels and maintenance of the National Philatelic Museum. Philatelic bureaus were established in head post offices located at circle headquarters and at district-capital head post offices.

11.3.7 Postal System in Princely States

British India had hundreds of Princely States, some 652 in all, but most of them did not issue postage stamps. The stamp-issuing States were of two kinds: the Convention States and the Feudatory States.

Convention States are those which had postal conventions (agreements) with the Post Office of India to provide postal services within their territories. The adhesive stamps and postal stationery of British India were overprinted for use within each Convention State. The first Convention State was Patiala, in 1884. The stamps of the Convention States all became

invalid on 1 January 1951 when they were replaced with stamps of the Republic of India valid from 1 January 1950.

Feudatory States maintained their own postal services within their territories and issued stamps with their own designs. Many of the stamps were imperforate and without gum, as issued. Many varieties of type, paper, inks and dies are used. The stamps of each Feudatory State were valid only within that State, so letters sent outside that State needed additional British India postage.

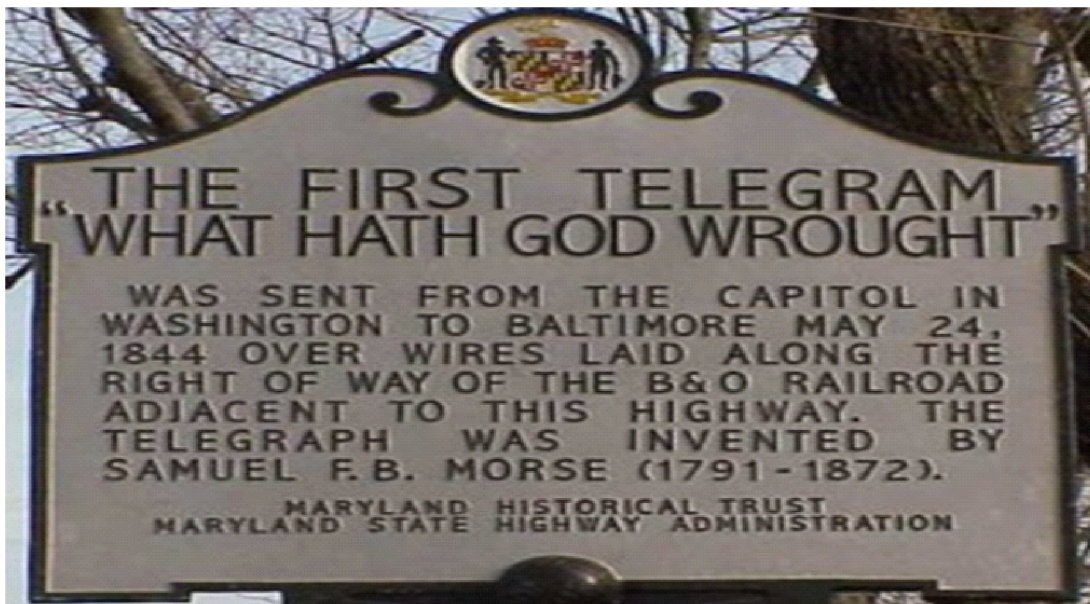
Check your progress -1

1. Explain the development of Postal System under the British Rule
2. Give an account of the Post Office Act XVII of 1837 & 1866
3. Write on the postal reforms of 1854 and the issue of first stamps
4. Write on the Govt. Savings Bank Act & Postal life Insurance scheme
5. Discuss India Security Press
6. Write a note on the inception of The philatelic Society in India
7. Examine the functions of Postal System in Princely States

11.4 Introduction of Telegraph & Telephone

Word Telegraphy was coined from Greek words 'tele' means 'at a distance' and 'graphein' means 'to write'. Lord Dalhousie decided to introduce the electric telegraph in India as quick and better communication media. Telegraph communication was essential for effective and safe railway signaling. Partly he was prompted by the administrative need of establishing direct communication links between the Central Government at Calcutta and the provincial capitals. Further, as an imperialist, he felt the need of quick and constant touch with the military headquarters. In 1850, the first experimental electric telegraph line was started between Calcutta and Diamond Harbour. In 1851, it was opened for the use of the British East India Company. In 1852 three main trunk lines were taken up for communication network. The construction of 4,000 miles (6,400 km) of telegraph lines was started in November 1853. First line linked Kolkata with Peshawar through Banaras, Allahabad, Agra, Ambla and Lahore. The second line connected Calcutta with Bombay. The third line linked Madras with Bombay through Bangalore, Poona and Hyderabad. This linked forty-six receiving stations. The telegraph system

incorporated India into administrative and commercial network once submarine cables were completed between India and Britain in 1870.



William O'Shaughnessy, who pioneered the telegraph and telephone in India, belonged to the Public Works Department, and worked towards the development of telecom throughout this period. A separate department was opened in 1854 when telegraph facilities were opened to the public. Tall iron rods supported by bamboo posts, linked by copper wires, dotted the country side. That telegraph line was eyed with suspicion, as an emblem of Imperial rule. Till 1912, telegraph was administered by independent department. The telegraph system worked so efficiently that it became the point of attack for the revolutionaries during the Revolt of 1857.

THE GROWTH OF AN IDEA

- Before the invention of telephone, there was telegraph which was telephone's precedent.
- In the early 1870s, while Alexander Graham Bell was experimenting with telegraph, he realized that transmission the human voice over a wire by using electricity might be possible.
- Because he lacked the skill to make the equipment that were necessary for the experiments, he asked Thomas A. Watson for assistance.



Alexander Graham Bell
(1847 – 1922)



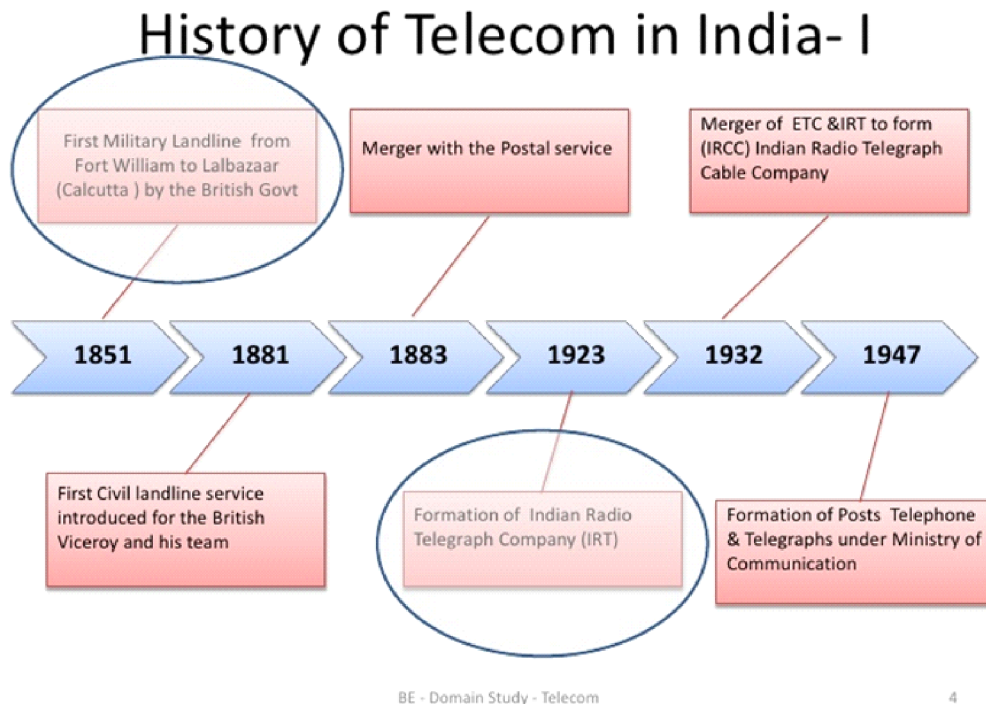
In 1880, two telephone companies, namely, The Oriental Telephone Company Ltd. and The Anglo-Indian Telephone Company Ltd approached the Government of India to establish telephone exchange in India. The permission was refused on the grounds that the establishment of telephones was a Government monopoly and that the Government itself would undertake the work. In 1881, the Government later reversed its earlier decision and a licence was granted to the Oriental Telephone Company Limited of England for opening telephone exchanges at Calcutta, Bombay, Madras and Ahmedabad and the first formal telephone service was established in the country. On 28 January 1882, Major E. Baring, Member of the Governor General of India's Council declared open the Telephone Exchanges in Calcutta, Bombay and Madras. The exchange in Calcutta named the "Central Exchange" had a total of 93 subscribers in its early stage. Later that year, Bombay also witnessed the opening of a telephone exchange. The important achievements in this subjects were:

- The Telegraph Act of 1885 (Indian Telegraph Act) was introduced
- Pre-1902 – Cable telegraph
- 1902 – First wireless telegraph station established between Sagar Island and Sandhead
- 1907 – First Central Battery of telephones introduced in Kanpur
- 1913–1914 – First Automatic Exchange installed in Shimla
- 1927 – Radio-telegraph system between the UK and India, with Imperial Wireless Chain beam stations at Khadki and Daund.
- 1933 – Radiotelephone system inaugurated between the UK and India
- The Indian Wireless Telegraphy Act XVII of 1933 was introduced
- The Posts and Telegraphs Departments merged in 1914



Check your progress -2

1. Discuss the inception of **Telegraph** & Telephone in India

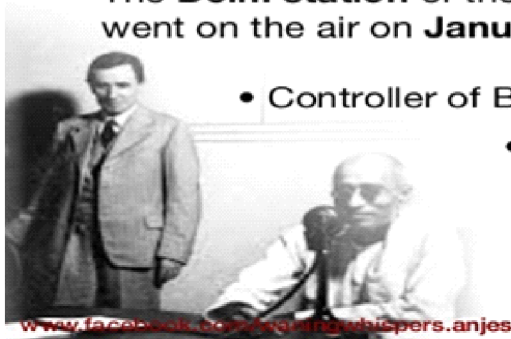


11.5 Radio Broadcasting in British India

As the electricity crackled through the capacitors and amplifiers of the Indian Broadcasting Company's (IBC's) Bombay transmitter station on 23 July 1927 the collective achievement of almost a decade of experimental broadcasting in India was brought to a spectacular and momentous resolution. The Viceroy Lord Irwin, addressing the gathered crowds and an expectant wireless audience, heralded this "new application of science" as a blessing and a boon of real value to the fartrung populations who would be brought within earshot of the IBC's output. Whether for education or entertainment, companionship or culture, Irwin anticipated a rapidly developing 'listenership' and that before long such were the 'special' geographical opportunities provided by the subcontinent's scale and open spaces – 'broadcasting' would attract devotees in every part of India. As Irwin well understood, however, such technological innovations were not without precedent, and warnings from history. The development of the railway, the telegraph and uniform postage during the 1850s may have instituted India's "nineteenth-century communications revolution".

GOVERNMENT TAKES OVER

- From **April 1, 1930**, The government took over the stations at Bombay and Calcutta **due to financial crisis in IBC**.
- It was placed in the **Department of Industries and Labour** under the designation '**Indian Broadcasting Service**'.
- The **Delhi station** of the Indian State Broadcasting service went on the air on **January 1, 1936**.



• Controller of Broadcasting: **Lionel Fielden**

- On December, 1937, the **Lahore**, on April 2, 1938, the **Lucknow** & on June 16, 1938, the **Madras** stations started broadcasting.

Radio Broadcasting began in June 1923 during the British Raj with programmes by the Bombay Presidency Radio Club and other radio clubs. According to an agreement of 23 July 1927, the private Indian Broadcasting Company LTD (IBC) was authorised to operate two radio stations: the Bombay station began on 23 July 1927, and the Calcutta station followed on 26 August 1927. The company went into liquidation on 1 March 1930. The government took over the broadcasting facilities and began the Indian State Broadcasting Service (ISBS) on 1 April 1930 on an experimental basis for two years and permanently in May 1932. On 8 June 1936, the ISBS was renamed All India Radio. On 1 October 1939, the External Service began with a broadcast in Pushtun; it was intended to counter radio propaganda from Germany directed to Afghanistan, Iran and the Arab nations. 1939 also saw the opening of the Dhaka station of Eastern India, in what is now Bangladesh. This station catered and nurtured the pioneers of Bengali intellectuals. The foremost among them, Natyaguru Nurul Momen, became the trailblazer of talk-show in 1939. He wrote and directed the first modern radio-play of this station in 1942. When India became independent in 1947, the AIR network had only six stations in Delhi, Bombay, Calcutta, Madras, Lucknow, and Tiruchirappalli.

Check your progress -3

1. Discuss the Radio Broadcasting in British India

11.6 Let us sum up

The system of postage in India before the British introduced postal system was imperfect. The British took constructive steps to improve the existing systems in India. The introduction of Postage and Telegraph under the British period leads the modernization of communication. The telegraph system worked so efficiently that it became the point of attack for the revolutionaries during the Revolt of 1857. The Post & telegraph and Radio Broadcasting system incorporated India into administrative and commercial network once submarine cables were completed between India and Britain in 1870.

11.7 Answers to check your progress

Check your progress -1

1. See the sub-section 11.3
2. See the sub-section 11.3.1&3
3. See the sub-section 11.3.2
4. See the sub-section 11.3.4
5. See the sub-section 11.3.5
6. See the sub-section 11.3.6
7. See the sub-section 11.3.7

Check your progress -2

1. See the sub-section 11. 4

Check your progress -3

1. See the sub-section 11. 5

11.8 References

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LESSON - 12

INVESTMENT OF BRITISH CAPITAL IN INDIA

Exploitation of India was started initially in the form of trade and later on other forms of exploitation like investment payment of dividends and profits. The objective of developing a colonial pattern of trade and encouragement of British Capital to participate in direct investment in India and encouragement of finance capital in the country through Managing Agency System confirmed in the end of colonial rule in 1947.

Plan of Study

12.1 Learning Objectives

12.2 Introduction

12.3 Enforced British Trade policies

12.3.1 British capital through direct investment into India

12.3.2 Finance Capital through Managing Agency System

12.4 British Capital in India

12.4.1 The Jute Trade

12.4.2 The Railway Construction

12.4.3 Banking in India

12.4.4 Insurance System in India

12.4.5 Maritime & Shipping under British

12.4.6 The Tea and Coffee Plantations in India

12.4.7 The Indigo Plantations

12.5 Let us sum up

12.6 Answers to check your progress

12.7 References

12.1 Learning Objectives

- You will familiarize with the commercialization of Indian Agriculture
- You will be able to discuss the Impact of the Commercialisation of Agriculture.
- We can understand the development of Irrigation under the British

12.2 Introduction

Various trade policies enforced in India by the East India Company and then by the British Government resulted in huge drain of wealth from India so as to facilitate the growing British industry with the supply of raw materials from India and also encouraging commercialization. The other form of colonial exploitation of India by the British was through investment by exporting British Capital to India.

12.3 Enforced British Trade policies

The main three reasons for exporting British Capital into India were development of efficient system of transport and communication; developing public utilities like generation of electricity and water supply works for exploiting natural resources; and to promote foreign trade through linking railways with major ports and marketing centres.

12.3.1 British capital through direct investment into India

The fields of foreign direct investment into India included: Development of infrastructural projects such as railways, roads, communications, port, shipping, water works, generation of electricity; Promoting mining of coal, petroleum, gold and development of metallurgical industries; To promote investments in consumer goods industries such as cotton and jute textiles, woollen textiles, paper, matches, tobacco, sugar etc.; Promoting commercialisation of agriculture and undertaking investments in tea, coffee and rubber plantations; Investments in machine building, engineering industries and chemicals; and Investments in banking, insurance and trade.

British multinationals made all these investments through its subsidiaries. Again a part of these investments were in the form of loans to the British Government in India in terms of sterling debts. the two major forms of British investment in India were; Private foreign direct investment in mining, mills and plantations and Sterling loans given to British Government in India and public and semi-public organisations for undertaking infrastructural and public utility projects.

Following are the three important estimates of foreign capital in India

S. No	Survey Estimates	Reference Year	Amount (£ million)
1	Paish	1911	365
2	Findlay Shirras	1929	500
3	British Associated Chamber of Commerce	1933	1000

The Chamber of Commerce estimates revealed that out of the total investment of foreign capital in India, 38 % was in the form of Sterling debt of the Government, 50 % in companies registered outside but operating in India and 12 % in companies registered in India. After the Second World War, Indian businessmen earned huge profits in industry and business and that enabled them to buy foreign business investments in India. As a result, there was a decline in the magnitude of foreign business investments in India. The Reserve Bank of India also made an estimate of foreign investments and accordingly on 30th June 1948, published its first report of India's foreign liabilities and assets. As per RBI estimates, total foreign business investments in India was to the extent of Rs 302 crore, out of which British investments were Rs 230 crore, i.e., around 72 % of the total investments.

British investments in India during pre-independence period took a lot of interest in developing economic infrastructure for maintaining administration and promotion of trade. Moreover, the British investments never promoted any basic and heavy industries. On the other than these investments were mostly made consumer goods industries and also for processing primary produce for its export.

12.3.2 Finance Capital through Managing Agency System

At the end of nineteenth Century, British investors started to invest a huge amount of their capital in India. British rulers invited British capital for the growth of railways in India and gradually repaid these loans by imposing taxes on the Indian people. British capital increased the demand for British capital goods like iron and steel, machine and tools, coal etc. for Indian railway. As the plantation industries tea, coffee and rubber were very much profitable in India, British capitalists had also invested a huge amount of capital on these industries, more particularly on tea industry. After that British capitalists also invested their capital on some other industries such as petroleum, coal, tramways, banks, sugar, textile, paper etc.

As Indian business houses were not having any experience of the organisation of modern industry by setting up joint stock companies, the British merchants having trading firms mostly worked as promoters and pioneers in setting different industries like jute, coal and tea. These merchants were known as managing agents. The managing agency firms can be defined as partnership of companies formed by a group of persons having huge financial resources and business experience. They are entitled to the entire management affairs of the company. The main functions of managing agents were to float new concerns, to provide fund and arrange finance, to act as agents for purchasing raw materials, stores, machinery and equipment and also for marketing the produce and to manage the entire affairs of business.

During those days, the pioneering managing agents were Messrs Andrew Yule & Co., Martin Burns, Bird & Co., Williamson Major and Duncan Brothers. These European Managing Agents were actually the pioneers of modern Indian industries. But these Managing Agents showed their exploitative character by charging commission on all of its agency activities related to purchase and sale activities of the company, by charging heavy officer allowances for management of the company and by sharing the profits of the company.

Check your progress -1

1. Explain about the British Trade policies
2. Analyse British Finance Capital through Managing Agency System

12.4 British Capital in India



**EMERGENCE OF
INDUSTRIALISATION**

- The industrial revolution come very late in India .
- It near about 1850 when different industry established in India.
- 1851 : first textile mill , Mumbai.
- 1853: railways.
- 1854: jute mill , Kolkata.

2

The British developed some forms of economic infrastructure such as, Industries like Jute trade, Indigo, Tea and Coffee plantations, railways, Shipping, Banking and Insurance with the objective of promoting foreign capital investment and also for exploiting natural resources of India to their own advantage.

12.4.1 The Jute Trade

The major Jute producing region due to its natural fertile soil is Presidency of Bengal in India. Bengal Jute was taken to Europe early in the 17th century by the Dutch and the French and later by the East India Company. By the 1790s a much larger trade had developed in the Scottish city of Dundee, the European home of jute spinners. In 1789, when jute fibre was spun mechanically in Dundee, Scotland, a new era in the Jute industry dawned. The industrial revolution produced new hopes for jute trade. Jute was introduced to the British by the East India Company, crude fibre was exported from Bengal after 1790, but a thriving trade began from 1850 onwards. Mechanised processing started to meet rising demand. Raw jute was imported from Bengal by the British East India Company. Dundee Jute Barons and the British East India Company began to set up jute mills in Bengal and by 1895 jute industries in Bengal overtook the Scottish jute trade. More than a billion jute sandbags were exported from Bengal to the trenches during World War I and World War II and also exported to the America to bag cotton and coffee. It was used in the fishing, construction, art and in the arms industry.

12.4.2 The Railway Construction

It was on 16th April 1853, the Great Indian Peninsula Railway introduced India's first train from Bombay to Thane. India's railway system expanded rapidly to become, by 1910, the fourth largest in the World. This network, which covered most of the sub-continent, radically altered India's transportation system. Vastly increasing the speed and availability of transport, it also lowered costs substantially, thereby creating new opportunities for profit. Regional specialization of market production began to occur and trade expanded. India became a nation with its local centres linked by railways with one another and with the countries of the world. Railways, by establishing these links, had an impact on the Indian economy. The Government of India together with the Imperial Government decided to encourage the building of an extensive railway system in India. But the reasons for such constructions appear to have been primarily commercial and political. The density of rail lines grew from 35 route kilometers per 10,000 square kilometers in 1880 to 159 in 1946-47. Assuming that the sphere of the trading area

extended for 32 kilometers on either side of the track, by 1946-47, 78 percent of India's total area fell within the range of the Railway system.

The Railways had always meant a great reduction in average transportation costs. In many industrial countries, railway construction stimulated the engineering industry, the financial markets, and even the labour markets by facilitating migrations and by employing large number of wage-earners directly. The Indian Railways employed over a million people, whereas rest of the modern industries together employed just about two million. In other words, Railways was the single largest employer in the organized sector, a distinction maintained even today. Railways themselves were a major employer of migrant labour. Railways facilitated, even opened up, the major channels of labour migration into the cities and plantations.

History



- The development of IR had its roots in the 1800s, when India was a British colony.
- They sought a more efficient means to transfer raw materials like cotton and wheat from the hinterlands of the country to the ports located in Bombay, Madras and Calcutta, from where they would be transported to factories in England.
- Work began on the development of railway systems in India in the early 1850s. Initially, trains were used to transport material between different places. The first commercial passenger train in India ran between Bombay and Thane (places in western India) on April 16, 1853. The distance of 34 kilometers was covered in about 75 minutes.

Companies Operating Indian Railways in 1920-21

S. No (1)	Name of the Companies (2)	Domiciled in (3)	Miles Worked (4)
i	Companies which worked on State-owned Railways		
1	Bombay, Baroda and Central India Railway	England	3,933
2	Great Indian Peninsula Railway	England	3,335
3	Madras & Southern Mahratta Railway	England	3,047
4	Bengal Nagpur Railway	England	2,843

5	East Indian Railway	England	2,770
6	Bengal & North Western Railway	England	2,063
7	South Indian Railway	England	1,852
8	Burma Railways	England	1,623
9	Assam Bengal Railway	England	1,021
10	Rohilkund & Kumaon Railway	England	575
ii	Companies which worked on Private-owned Railways		
11	Nizam's Guaranteed State Railway	England	897
12	Bengal Dooras Railway	England	158
13	Barsi Light Railway	England	118
14	Assam Railways & Trading Co.	England	91
15	Messrs Martin & Co.	India	325
16	Messrs McLeod & Co.	India	188
17	Darjeeling Himalayan Railway	India	146
18	Gujarat Light Railways	India	89
19	Bengal Provincial Railway	India	42
20	East India Distilleries & Sugar Factories Ltd	India	32
21	Dehri Rohtas Light Railway	India	24
22	Tezapore- Balipara Light Railway	India	20
23	Madaya Light Railway	India	16
24	Jagadhri Light Railway	India	3
		Total	25,211

**Total Capital Outlay including Lines under
Construction of Railways in India, 1853 - 1954-55.
(In thousands of rupees)**

S. No.	Year	Total Capital Outlay (In thousands of rupees)	S. No.	Year	Total Capital Outlay (In Thousands of rupees)	S. No.	Year	Total Capital Outlay (In thousands of rupees)
(1)	(2)	(3)	(1)	(2)	(3)	(1)	(2)	(3)
1	1853	3,796	33	1885	16,11,906	65	1916-17	53,52,797
2	1854	40,000	34	1886	17,04,989	66	1917-18	54,17,990
3	1855	55,000	35	1887	18,28,793	67	1918-19	54,97,445
4	1856	80,000	36	1888	19,30,433	68	1919-20	56,63,777
5	1857	1,20,000	37	1889	20,50,461	69	1920-21	62,68,053
6	1858	1,60,000	38	1890	21,36,704	70	1921-22	64,79,717
7	1859	2,25,000	39	1891	22,10,642	71	1922-23	69,74,607
8	1860	2,66,600	40	1892	22,67,572	72	1923-24	71,79,302
9	1861	3,40,000	41	1893	23,26,686	73	1924-25	73,33,738
10	1862	4,80,000	42	1894	23,72,372	74	1925-26	75,43,152
11	1863	5,30,000	43	1895	24,37,641	75	1926-27	78,86,666
12	1864	5,80,000	44	1896	26,82,674	76	1927-28	82,28,625
13	1865	6,30,000	45	1897	28,24,894	77	1928-29	83,13,930
14	1866	7,00,000	46	1898	29,21,690	78	1929-30	85,67,462
15	1867	8,00,000	47	1899	30,85,781	79	1930-31	86,98,077
16	1868	8,40,000	48	1900	32,96,103	80	1931-32	87,63,425
17	1869	8,90,000	49	1901	33,91,689	81	1932-33	88,49,068
18	1870	9,00,050	50	1902	34,97,739	82	1933-34	88,44,123
19	1871	9,00,070	51	1903	34,11,144	83	1934-35	88,54,718
20	1872	9,00,090	52	1904	34,79,121	84	1935-36	87,95,733
21	1873	9,17,260	53	1905	35,85,180	85	1936-37	88,01,280

22	1874	9,58,715	54	1906	37,12,705	86	1937-38@	84,56,820
23	1875	10,09,628	55	1907	39,18,693	87	1938-39	84,78,221
24	1876	10,47,785	56	1908	41,19,171	88	1939-40	85,25,934
25	1877	10,90,424	57	1909	42,98,320	89	1940-41	85,37,817
26	1878	11,82,955	58	1910	43,90,473	90	1941-42	84,80,551
27	1879	12,23,297	59	1911	45,00,630	91	1942-43	84,99,216
28	1880	12,85,691	60	1912	46,51,500	92	1943-44	85,85,383
29	1881	14,08,080	61	3.1913	47,09,065	93	1944-45	86,43,675
30	1882	14,32,442	62	1913-14	49,50,864	94	1945-46	87,26,797
31	1883	14,83,056	63	1914-15	51,92,213	95	1946-47	88,15,333
32	1884	15,57,788	64	1915-16	52,99,829	96	1947-48#	74,22,030
Grand Total =								38,03,20,866

@ Excluded Burma Railways due to the separation of Burma on 1st April 1937.

Figures of lines falling in Pakistan on 15th August 1947 excluded.

Source: *History of Indian Railways, Constructed & in Progress*, Ministry of Railways, Government of India, New Delhi, 1955.

12.4.3 Banking in India

In modern sense banking in India originated in the last decade of the 18th century. Among the first banks were the Bank of Hindustan, which was established in 1770 and liquidated in 1829–32; and the General Bank of India, established in 1786 but failed in 1791. The Bank of Calcutta originated in mid-June 1806 and in 1809, it was renamed as the Bank of Bengal. This was one of the three banks founded by a presidency government. The other two were the Bank of Bombay in 1840 and the Bank of Madras in 1843. The three banks were merged in 1921 to form the Imperial Bank of India, which upon India's independence, became the State Bank of India in 1955. The Allahabad Bank, established in 1865 and still functioning today, is the oldest Joint Stock bank in India. The Bank of Upper India, which was established in 1863 and survived until 1913, when it failed, with some of its asset and liabilities being transferred to the Alliance Bank of Simla. Grindlays Bank opened its first branch in Calcutta in 1864. The Comptoir d'Escompte de Paris opened a branch in Calcutta in 1860, and another in Bombay in 1862;

branches followed in Madras and Pondicherry, then a French possession. HSBC established itself in Bengal in 1869. Calcutta was the most active trading port in India, mainly due to the trade of the British Empire, and so became a banking centre. The first entirely Indian joint stock bank was the Oudh Commercial Bank, established in 1881 in Faizabad. It failed in 1958. The next was the Punjab National Bank, established in Lahore in 1894, which has survived to the present.

The period between 1906 and 1911 saw the establishment of banks inspired by the Swadeshi movement. The Swadeshi movement inspired local businessmen and political figures to found banks of and for the Indian community. A number of banks established then have survived to the present such as Catholic Syrian Bank, The South Indian Bank, Bank of India, Corporation Bank, Indian Bank, Bank of Baroda, Canara Bank and Central Bank of India. The fervour of Swadeshi movement led to the establishment of many private banks in Dakshina Kannada and Udupi district, which were unified earlier and known by the name South Canara (South Kanara) district. Four nationalised banks started in this district and also a leading private sector bank. Hence undivided Dakshina Kannada district is known as “Cradle of Indian Banking”.

For many years the presidency banks had acted as quasi-central banks, as did their successors, until the Reserve Bank of India was established in 1935, under the Reserve Bank of India Act, 1934. The Indian banking sector is broadly classified into scheduled and non-scheduled banks. The scheduled banks are those included under the 2nd Schedule of the Reserve Bank of India Act, 1934.

12.4.4 Insurance System in India

The Oriental Life Insurance Company was started by Anita Bhavsar in Kolkata to cater to the needs of European community in 1818. The pre-independence era in India saw discrimination between the lives of foreigners (English) and Indians with higher premiums being charged for the latter. In 1870, Bombay Mutual Life Assurance Society became the first Indian insurer. At the beginning of the 20th century, many insurance companies were founded. The Life Insurance Companies Act and the Provident Fund Act were passed in 1912 to regulate the insurance business. The Life Insurance Companies Act, 1912 made it necessary that the premium-rate tables and periodical valuations of companies should be certified by an actuary. However, the disparity still existed as discrimination between Indian and foreign companies. The oldest existing insurance company in India is the National Insurance Company, which was founded in 1906, and is still in business.



12.4.5 Maritime & Shipping under British

Shipbuilding was a well-established craft at numerous points along the Indian coastline long before the arrival of the Europeans and was a significant factor in the high level of Indian maritime activity in the Indian Ocean region. As with cotton textiles, European trade was initially a stimulus to Indian shipbuilding: vessels built in ports like Masulipatam and Surat from Indian hardwoods by local craftsmen were cheaper and tougher than their European counterparts.

Between the seventeenth and early nineteenth centuries Indian shipyards produced a series of vessels incorporating these hybrid features. A large proportion of them were built in Bombay, where the Company had established a small shipyard. In 1736 Parsi carpenters were brought in from Surat to work there and, when their European supervisor died, one of the carpenters, Lowji Nuserwanji Wadia, was appointed Master Builder in his place. Wadia oversaw the construction of thirty-five ships, twenty-one of them for the Company. Following his death in 1774, his sons took charge of the shipyard and between them built a further thirty ships over the next sixteen years. The Britannia, a ship of 749 tons launched in 1778, so impressed the Court of Directors when it reached Britain that several new ships were commissioned from Bombay, some of which later passed into the hands of the Royal Navy. In all, between 1736 and 1821, 159 ships of over 100 tons were built at Bombay, including 15 of over 1,000 tons. Ships constructed at Bombay in its heyday were said to be 'vastly superior to anything built anywhere else in the world

In 1830 ships of the British East India Company were designated as the Indian navy. However, in 1863, it was disbanded when Britain's Royal Navy took control of the Indian Ocean. About thirty years later, the few small Indian naval units were called the Royal Indian Marine (RIM). Britain, exhausted in manpower and resources, opted for expansion of the Royal Indian Marine in the wake of World War I. Consequently, on 2 October 1934, the RIM was reincarnated as the Royal Indian Navy. The Indian rulers weakened with the advent of the European powers. Shipbuilders, however, continued to build ships capable of carrying 800 to 1,000 tons. The shipbuilders at the Bombay Dockyard built ships like HMS *Hindustan* and HMS *Ceylon*, inducted into the Royal Navy. The historical ships made by Indian shipbuilders included HMS *Asia* (commanded by Edward Cardington during the Battle of Navarino in 1827), the frigate HMS *Cornwallis* (onboard which the Treaty of Nanking was signed in 1842), and HMS *Minden* (on which *The Star Spangled Banner* was composed by Francis Scott Key).

12.4.6 The Tea and Coffee Plantations in India

India is the world's largest consumer of tea in the world and the second largest producer of tea, including the world's most popular tea varieties like Assam and Darjeeling tea. However, the growth of tea as an industry in India has been relatively recent. Historical records indicate the prevalence of tea drinking in India since **750 BC**. In the 16th century, a vegetable dish was also being prepared using tea leaves with garlic and oil. However, the credit for rediscovering tea and cultivating it at a commercial level goes to the British.

Commercialisation of Tea cultivation in India:- In early 1774, Warren Hastings, then Governor-General of Bengal, sent a few select samples of tea seeds from China to his British emissary in Bhutan, George Bogle for planting. Noted English botanist Sir John Banks, who was asked to make notes on tea in 1776, concluded that the British must undertake tea cultivation in India. Colonel Robert Kyd from the army regiment of the British East India Company also tried to cultivate Chinese seeds at the botanical garden that he founded (now named Indian Botanical Garden at Howrah in present day Kolkata) in 1780. In 1823, Scottish explorer Robert Bruce discovered a native tea plant that was growing in the Upper Brahmaputra Valley and being brewed by the local Singhpho tribe. Assamese nobleman Maniram Dutta Barbhandari Baruah (also known as Maniram Dewan) gave this vital information to Robert and his brother. Maniram went on to become the first Indian to undertake private tea cultivation in Assam. Although Robert Bruce died before he could get the plant officially classified, his brother Charles Alexander Bruce dispatched the tea samples to the Botanical Garden at Calcutta on Christmas

eve of 1834. On closer analysis, these were officially classified as a variation of the Chinese tea plant (*Camellia sinensis* var *sinensis*). This plant was named *Camellia sinensis* var *Assamica* (Masters) Kitamura.

Origin of Assam Tea:- By 1838, the first consignment of 12 chests of Assam tea had reached London. Subsequently in February 1839 the Assam Company, the first joint stock tea company, was formed in London. This was followed by the setting up of other companies like George Williamson and **Jorehaut** Tea Company. Initially the British felt that the Assam tea plant was inferior. But later they realised that the Chinese variety was unable to survive the hot weather conditions in Assam. Eventually, they decided to go ahead with the Assamese plant.

Origin of Darjeeling Tea:- Darjeeling was transferred to the **East India Company** in 1835, and the Chinese tea variant was deemed suitable for the region in 1841. Commercial tea plantations in Darjeeling started in the 1850s – and 113 plantations were set up by 1874, covering 18,888 acres and accounting for a production of 3.9 million pounds. Dr. A Campbell was the first person to plant Chinese seeds in Darjeeling that he had brought from Kumaon.

Tea Cultivation to Other Parts of India:- The Tea cultivation in Assam and Darjeeling inspired many similar endeavours towards tea cultivations across the entire foothills of the Himalayas and other parts of India. By 1863, 78 plantations had been set up Kumaon, Dehra Dun, Garhwal, Kangra Valley and Kulu in the North India and Dr. Christie was the first to explore the potential of tea plantations in the Nilgiri in 1832 in the South India. By 1853, India's tea exports had reached 183.4 tons – and soared to 6700 tons by 1870 and 35,274 tons by 1885.



12.4.7 The Indigo Plantations

Tropical region of earth was the ultimate king of Indigo cultivation in earlier centuries and India was at the top of it. By the 13th century Indian Indigo was being used by the cloth manufacturers of Italy, France and Britain but due to the huge distance only small amount of indigo reached European countries which also increased its transportation cost resulting into high cost of Indian Indigo. Earlier in the 19th century it was being used in MORRIS prints in Britain. Industrialization in Britain resulted into the creation of huge demand for cloth dyes. Indigo planting in Bengal dated back to 1777. With expansion of British power in the Nawabate of Bengal, indigo planting became more and more commercially profitable because of the demand for blue dye in Europe. It was introduced in large parts of Burdwan, Bankura, Birbhum, North 24 Parganas, and Jessore (present Bangladesh). The indigo planters persuaded the peasants to plant indigo instead of food crops. They provided loans, called ***dadon***, at a very high interest. Once a farmer took such loans he remained in debt for his whole life before passing it to his successors. The price paid by the planters was meagre, only 2.5% of the market price. The farmers could make no profit growing indigo. The farmers were totally unprotected from the indigo planters, who resorted to mortgages or destruction of their property if they were unwilling to obey them. Government rules favoured the planters. British started the cultivation from Bengal and Bengal gave a boost in indigo production around the whole world. From 1788 to 1810 the percentage of indigo imports from India boosted from 30 to 95 %. High profits of indigo cultivation appealed to numerous Scotsmen and Englishmen to become planters. By an act in 1833, the planters were granted a free hand in oppression

Check your progress -2

1. Examine the major British Capital investment sector in India
2. Write a note on The Jute Trade during British period
3. Discuss the investment of Railways in British India
4. Give an account of Banking & Insurance System in India
5. Explain the Maritime & Shipping activities under the British
6. Discuss the Tea and Coffee Plantations in India
7. Trace The Indigo Plantations industry in India

12.5 Let us sum up

No direct British investment was made for the development of heavy and basic industries rather all investments were made in plantation and consumer goods industries. The British

developed Managing Agency System for promoting consumer goods industries which had its exploitative nature in appropriating 50 per cent of the gross profits as managerial remuneration. The colonial exploitation through the entry of British capital and finance capital and through the payment for the costs of administration persisted till the end. Thus the British rule in India was a long history of systematic exploitation of Indian people by the imperialistic Government which led to stagnation and poverty of Indian economy.

12.6 Answers to check your progress

Check your progress -1

1. See the sub-section 12.3, 12.3.1 & 2.
2. See the sub-section 12.3.2

Check your progress -2

1. See the sub-section 12.4 to 12.4.7
2. See the sub-section 12.4.1
3. See the sub-section 12.4.2
4. See the sub-section 12.4.3 & 4.
5. See the sub-section 12.4.5
6. See the sub-section 12.4.6
7. See the sub-section 12.4.7

12.7 References

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LESSON - 13

INTERNAL AND EXTERNAL TRADE UNDER THE BRITISH RULE

The period between the British subjugation of India in 1857 and the transfer of power in 1947 saw a dramatic transformation of the Indian economy. From being at the center of the Indian Ocean trading system as the principal provider of textiles, finished goods and a variety of spices, India slipped to the rank of one of the poorest country in the world. This transformation was accompanied by the extension of market economy and the rise of a modern economy based on machinery and wage labour.

Plan of Study

13.1 Learning Objectives

13.2 Introduction

13.3 Nature of Indian Trade under British

13.3.1 Handicraft Industries

13.3.2 Trade in agricultural products of India

13.3.3 Features of Indian trade

13.3.4 Subordination of Native Capital

13.4 Nature of the British Trade

13.4.1 British domination over the Indian Market

13.5 External trade

13.6 The Commercial Crops

13.6.1 The effects of the commercialisation

13.6.2 Merchants' Organisations

13.7 Let us sum up

13.8 Answers to check your progress

13.9 References

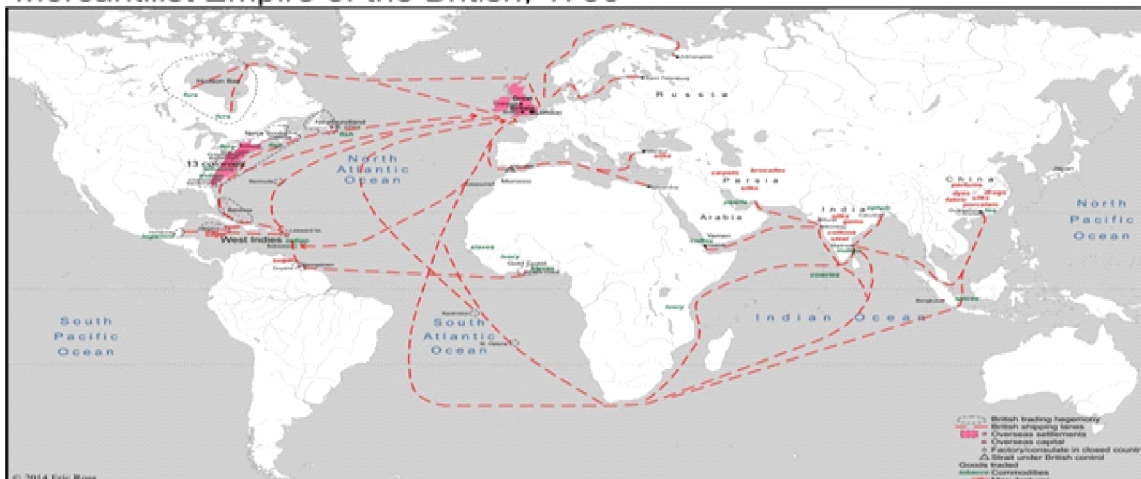
13.1 Learning Objectives

- You will familiarize with the rise of industrial capitalism changed the nature of economy
- You will be able to discuss the Impact of the merchant capitalist enterprises.
- We can understand the struggle between Indian Trade monopoly trade of the English.

13.2 Introduction

The complexity of India's economic experience in the two centuries under review is generally and legitimately understood to have been embedded in the colonial structure of trade. It saw the greater integration of India into the world system of trade and exchange and the beginning of modern industrialization in the subcontinent.

Mercantilist Empire of the British, 1750



13.3 Nature of Indian Trade under British

British exploitation of India can be termed as exploitation by merchant capital in a context of mercantalism. The East India Company's objective was to buy the maximum quantity of Indian manufactured goods at the cheapest possible price so that substantial profits can be made by selling these goods in Britain and other foreign countries. The reckless and anarchic attempts to increase their purchases while forcing down the price adversely affected the traditional Indian export industry, especially the cotton textile manufacture. In the absence of reliable quantitative data on the various indices of indigenous industrial production for this period, historians and economists have been forced to rely largely on qualitative evidence on British exploitation of the Indian economy and the disastrous impact that it had on the artisans and the agricultural population.

The Company's own shortsighted exploitation and the free trader inspired sanctions against Indian manufactured imports into Britain resulted in a progressive decline in the share of Indian cotton piece goods in the Company's investments from Rs.92,68,770 in 1705 to Rs.90.51.324 in 1799 and to R\$.25,50,00 in 1810. The value of cotton piece goods exported on Company account from Bengal declined from Rs.61.67.85 1 in 1792 to Rs.3.42.843 in 1823. The shift in the commodity composition of Indian exports from manufactured goods to primary products since the early nineteenth century is accompanied by a complimentary increase in the share of manufactured goods in Indian imports

13.3.1 Handicraft Industries

As discussed above India was a land of extensive manufactures. Indian artisans were famous for their skills the world over. In fact the reason for India's favourable foreign trade was its excellence in indigenous production. India indulged in a large scale manufacture of cotton and silk fabrics, sugar, jute, dyestuffs, mineral and metallic products like arms, metalwares and oil. Towns like Dacca and Murshidabad in Bengal; Patna in Bihar; Surat and Ahmadabad in Gujarat; Chanderi in Madhya Pradesh; Burhanpur in Maharashtra; Jaunpur, Varanasi, Lucknow and Agra in U.P.; Multan and Lahore in the Punjab; Masulipatnam, Aurangabad and Visakhapatnam in Andhra; Bangalore in Mysore and Coimbatore and Madurai in Madras were flourishing centres of textile industry. Kashmir specialised in woollen manufactures. Maharashtra, Andhra and Bengal were prominent centres of ship building industry. India's ships were bought by many European companies for their use.

While machine-made cotton goods from England ruined the weavers, machine-made twist ruined the spinners. Between 1818 and 1836, the export of cotton twist from England to India rose 5,200 times. The same process could be traced in respect of silk goods, woollen goods, iron, pottery, glass and paper. The effects of this whole some destruction of the Indian manufacturing industries on the economy of the country can be imagined. In England the ruin of the old handloom weavers was accompanied by the growth of the new machine industry. But in India, the ruin of the millions of artisans and craftsmen was not accompanied by any alternative growth of new forms of industry. The old populous manufacturing towns, Dacca, Murshidabad, Surat and like, were in a few years rendered desolate under the 'Pan-Britannica' with a completeness which no ravages of the most destructive war or foreign conquest could have accomplished.

The merchant capital of the British, found new opportunities in India, when, Company started its conquests, in which monopolistic buying of Indian material was undertaken by the revenue earned from India, and they were exported to foreign markets with maximum profits. The pre-industrial British capital, instead of making so-called “investments”, were buying Indian commodities for profitable exports on the basis of money earned from revenue in India. Thus, the conquest of India by the British East India Company gave it the ‘power to levy and collect land revenue and other taxes’, and, on the basis of the gross profits the Company exploited Indian commodities. This ‘semi-bondage’ situation of India made the British mercantile capitalism earn “tribute from conquest”. According to Professor Habib, during the later half of eighteenth century the total British imports from India increased from 12% to 24%, and the British exports to India increased from 6.4 per cent to only 9 per cent of the total British exports

13.3.2 Trade in agricultural products of India

In spite of the fact that the Indian villages were largely self-sufficient units and the means of communication were primitive, India enjoyed extensive trade both within the country and with other countries of Asia and Europe. A balance of the imports and exports was maintained. The items imported into India were pearls, wool, dates, dried fruits and rosewater from the Persian gulf; coffee, gold, drugs and honey from Arabia; tea, sugar and silk from China; gold, musk and woollen cloth; metals like copper, iron and lead, and paper from Europe. The main items exported from India were cotton textiles. Besides cotton textiles which were famous. The world over, India also exported raw silk, indigo, opium, rice, wheat, sugar, pepper and other spices, precious stones and drugs.

13.3.3 Features of Indian trade

The major features of Indian trade were (i) a favourable balance of trade and (ii) a foreign trade most suitable to the level of manufacturing in India. A favourable balance of trade meant an excess of exports over imports, i.e., India exported more than it needed to import. Since the economy was on the whole self-sufficient in handicrafts and agricultural products, India did not need foreign imports on a large scale and continued to enjoy a healthy trade. Secondly, India’s foreign trade suited its requirements very well. In other words, the commodity pattern, so important to any country’s foreign trade, was in India’s favour. India exported the items it specialised in; and imported the ones it needed.

One major change that occurred in India's foreign trade from pre-colonial to colonial times was in its commodity pattern. Although India continued to have an export surplus, the pattern of foreign trade turned upside down. For instance, from an exporter of cotton textiles, India was converted into an importer of cotton textiles, thereby ruining India's rich traditional handicrafts.



13.3.4 Subordination of Native Capital

The European system of merchant capitalist trade provided initially for an important role for the Indian 'native' traders: they were needed for the procurement of goods for export. But, as the English East India Company began to acquire political hegemony and a dominant position as the chief buyer of export goods, the local traders' position was reduced to that of dependent agents and, in some branches of trade, to the status of servants of the English. In the 19th century there were flourishing native business communities in many parts of India. These included the Hindu, Jain and Bohra merchants of the Gujarat coast, the Khattris and Lohnas of Punjab and Sind, the Marwari Banias of Rajasthan, the Mappilas and Syrian Christians and Cochin Jews of present day Kerala. the Chettis and Komtis of Tamil and Andhra region, the Vaniks of Bengal, etc. Some of them, e.g. those in Gujarat or Kerala region, were prominent in overseas trade, and in various degrees all of them played in the internal economy some important roles (addition to their usual trade functions), in the pre- colonial period were:

- a) They facilitated tax collection in cash by converting crops into money and sometimes also by paying, on behalf of the landlords or tax farmers, cash to the state in advance: often they were also guarantors of the tax collectors.

- (b) The traders and bankers also facilitated remittance of revenue. For example by means of a bill of exchange or **hundi** the banking house of Jagat Seth paid the annual revenue payable by the Bengal Nawab to the Mughal emperor.
- (c) Money-changing was an important function performed by bankers, particularly the **Sarrafs**. This was an important service not only to trade but also the state at a time when numerous regional states each minted currency of its own and coins also came in from foreign countries through trade channels.
- (d) The State depended heavily on the traditional trading communities for provisioning the army during the wars. From late 17th century, as you know, warfare became quite frequent. For supply of food to the army on the march, for loan of money to pay the soldiers' wages, for sale of plundered goods, etc. the state depended on traders and **banjaras** (migrating dealers in food grains, livestock etc.).
- (e) Finally the traders and bankers were vitally important to the State and the nobility as lenders of loans during crises like warfare or the failure of crops.

During this period there was close interdependence between the State and the traders and bankers. As the regional States began to withdraw before the onslaught of the British and the East India Company's tentacles began to spread in India, some of these lines of business began to close for Indian business communities. For example, the banking house of Jagat Seth ceased to be the state banker and repository of revenue in 1765 when the Company became Dewan of Bengal: the minting rights of Jagat Seth were gradually taken away by the English: that banking house and other native ones also lost their European clients to English banks and agency houses of Calcutta.

The decline of export industries in early half of the 19th century restricted the opportunities for Indian businessmen further. In the new lines opening up (e.g. jute and opium), a role subordinate to the English business houses was assigned to Indian businessmen. Petty money lending, internal trade in agricultural and artisanal products, the sale of imported manufactures- these were the areas of activity of Indian businessmen in Bengal in the first half of the 19th century. It is true, however, that within the overall pattern of foreign capital's domination over Indian businessman, there remained spaces for the latter to do well in business and to accumulate capital. For example, the business in raw cotton and opium in western India

(commodities produced in large quantities in the princely states outside of Bombay Presidency), allowed considerable accumulation of capital in the hands of Indian businessmen; some of the Parsi businessmen in the first half of the 19th century became major exporters of these commodities. It is the capital accumulation which led to industrial investments in Bombay and the growth of a textile industry which challenged Manchester's hold over the Indian market in the early 20th century

Check your progress -1

1. Explain the nature of Indian trade under British
2. Give an account on Indian Handicraft Industries in 19th century
3. Discuss the trade in agricultural products of India
4. Write a note on the features of Indian trade
5. Examine the subordination of Native Capital in 19th century

13.4 Nature of the British Trade

The European East India Company's main business was to procure certain commodities like spices, indigo, cotton cloth etc. and export them to Europe. Procurement of these goods in India initially took place under fairly competitive conditions. A 17th century English Factory had generally to compete with local or 'country merchants' and foreign traders, including other European East India Companies. In course of the 18th century the Englishmen increasingly acquired a position of advantage: (i) Other European East India Companies were marginalised; the military and political victories of the English Company over the other ones (ii) The weakness of the successor states and principalities since the decline of the Mughal Empire allowed the East India Companies to bully and bribe the local powers to grant Europeans special trade privileges; (iii) Artisans as well as peasants, e.g., weavers and indigo growers, were sometimes subjected to coercive practice from the last decades of the 18th century in order to procure goods at a cheap price or to persuade them to produce the goods for the Company. By the end of the 18th century the position acquired by the English East India Company and the servants of the Company in private trade may be described as a collective monopoly in respect of the chief commodities of export to Europe.

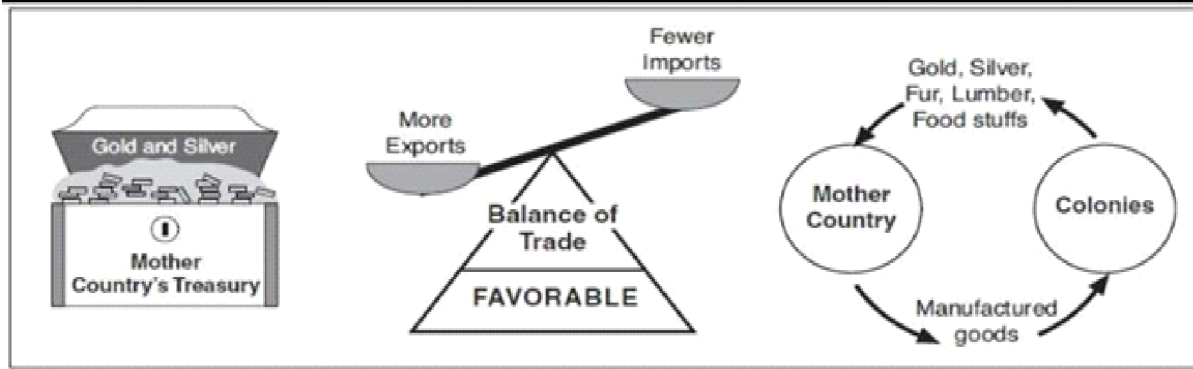
13.4.1 British domination over the Indian Market

The essence of merchant capitalist operation is to 'buy cheap and sell dear'. It is good to have a monopoly to enable one to do that. It is even better to be able to use coercion and state power to do that really well. 'Up to the middle of the 18th century, the weavers appear to have enjoyed -Independence and freedom to sell their products to the English, the French or the Dutch or to Indian merchants. From the 1750's, the **gomastas** began to compel 'weavers to sell their products to the English. The elimination of the French and the Dutch from competition by military means helped the process. Extortion by fraudulent under valuation of cloth and machinery in the English Factories became common. The weavers were bullied and harassed by the Factors, through the agency of **Gomastas**, to accept advance and to produce cloth. In the 1780's this practice became systematised as the **Khatbandi system**: the artisans were indentured to sell exclusively to the Company under Regulations passed by the Bengal government.

Thus the artisans were reduced step by step to the position of bonded laborers' by the denial of free access to the market, by the use of coercion, and by laws and regulations made by the Company's government. Another instance that you already know of is the production of indigo in the ryoti system. The peasant was forced to cultivate and to supply indigo at a low price by the English indigo planters. To a lesser degree, opium was also produced under the threat of coercion. It creates a buyers' market, i.e. a situation where the buyer can dictate the price, the buyer being the English Company, its servants, and later English traders, planters and agency houses. It was, of course, to be expected that an English Factor in the later 18th century would pay the weaver as little as possible, or the English Indigo planter in early 19th century would pay the indigo-grower ryot as little as possible, if the Englishman had the advantage of a monopoly position or coercive power. Lower prices paid to the weaver or the indigo farmer would inflate the profit margin of the English trader. Thus, sections of the artisans and peasants were producing under coercion goods which did not fetch a price that would allow more than subsistence to the producer.

In short, capital remained outside of production process, leaving technology and organization of production by and large where it had been in the 18th century. There are variations from region to region, from industry to industry. In some cases the involvement of the capitalist was greater; e.g. in the raw silk industry in Bengal where wage employment was not uncommon, or where indigo planters employed people in farms owned by the planters. These are exceptional cases and affected only a small section of producers.

HOW MERCANTILISM WORKS??



Check your progress -2

1. Examine the nature of the British Trade commodities in India
2. How far the British dominated over the Indian Market?

13.5 External trade

The phase of Merchant Capitalism, gave way to the phase of industrial Capitalism towards the beginning of the 19th century. Now the emphasis shifted from revenue collection and trade to new forms of surplus appropriation. Indian economy was now geared to serve the interests of industrial England. India was now used to provide raw material to the industries of England and a market for the readymade British manufactured industrial goods. Indian resources continued to be drained out to England, although in different forms. Similarly, the process of de-industrialization also got accelerated.

After 1857, when the British Government took on direct control of India, some British capital also started pouring into the Indian market, along with the manufactured goods. This was the result of the accumulation of capital at an unprecedented level in the leading industrial countries. Now England needed India, not only as a market for their goods, but also as a favourable ground for the investment of their capital. As a result India started getting industrialized, but only on foreign capital. All the major industries like Railways, Jute, Iron and Steel (with the exception of cotton textiles) were being run by British capital. Its result was a

further drain of wealth, as all the profits made on British capital were going back to England. Thus up to the end of nineteenth century India was sucked by the British during both phases of colonialism, i.e., during mercantile capitalism and industrial revolution in England. The role of colonial state in the economic development of India as a colony cannot be understood by emphasizing the establishment of railways by the British or other modernizing activities like the spread of English language and education. These are peripheral facts in evaluating the role of colonial state in India. The basic goal of colonial state was to promote British capital and its investment in India for profit and to achieve this goal; India under the colonial state was made a market for raw material for the British industry and investment of British capital in sectors of Indian economy which brought profits to the British investors.

In 1850-1851 the major export items were opium, raw cotton, indigo and sugar (accounting for about 30, 19, 11 and 10 % respectively of total exports in value). Thus India now reduced to almost totally an exporter of raw or processed agricultural goods. Of exports only 3.7% was cotton piece goods. As regards imports into India in 1850-51 large quantities of English factory manufactures were the major items; 31.5% of total value of imports was mill cotton cloth and 9% was cotton yarn, 5% woollen cloth, 16% metals etc. Particularly important to note is cotton cloth and yarn. In 1850-51 India imported Rs. 1.13 crores worth cotton yarn and twist, and Rs. 3.37 crores of cotton cloth, called piece goods. Now look at the picture only two decades earlier: cotton yarn import was only Rs. 42 lakhs, and cotton piece goods only Rs. 1.18 crores. in the year 1828-29. Thus in about twenty years these Imports from Manchester mills had one up about three times. In the same period, the export of Indian cloth dropped to an insignificant quantity. There was a reversal of roles: India ceased to be an exporter of cotton cloth and became an importer of cloth and yarn, while England stopped importing cloth from India and became exporter of that commodity in India. Thus reversal of the 18th century pattern and the establishment of the new pattern of commodity in Indian external trade began in the second and third decades of the 19th century.

Check your progress -3

1. Discuss the External trade commodities in British India

13.6 The Commercial Crops

Raw Silk:- The Company was interested in this product almost from the beginning of its rule. The Directors wrote from London that Bengal silk, if properly made, could replace the

Italian and Spanish silk that the British weavers were then using. So experts were brought in to improve the methods of silk making in India, and to set up workshops (called 'filatures') where the cocoons were spun into silk thread for export. The company through its agents and officials also coerced the growers of the mulberry trees (on whose leaves the silk-worms feed) and the workers in the filatures, so as to keep the price of silk low, so as to allow the contractors to make large profits. Silk remained an important export until the last decades of the 19th century.

Opium:- We have already seen that the British found it difficult to pay for the tea that they imported from China. However, they soon hit upon the device of selling the Chinese opium. Opium is an addictive drug, like nicotine and alcohol, and once a person has started taking it, he finds it difficult to give up, and will pay high prices in order to get it. The British found it highly profitable to smuggle opium into China. Opium had long been produced in India in small quantities. It was used both as medicine as and narcotic. In 1773 Warren Hastings, searching for fresh sources of revenue placed its production and trade under Government control, and appointed contractors to handle the crop. Later on officials put opium agents in charge of it. The opium poppy could only be grown under a contract to sell to the Government at a price fixed by it. Any attempt to evade this control was severely punished. The price fixed was as low as possible, so as to yield a large profit to the State. The supply was also sought to be controlled so as to maintain a high price on the Chinese market. Great efforts were made to put down the independent producers of opium in the Malwa region of Central India. When they failed the company contented itself by imposing a heavy export duty on the Malwa opium. Thus we see that the development of opium as a commercial crop fulfilled both the objectives of the Company - it gave large revenue in India, and also created a channel (via China) for the remittance of that income to London.

Indigo:- This is a blue dye extracted from a tropical plant. It was used to colour textiles. Up to the 1790s much of the Western supply had come from the Caribbean colonies. But then, production there declined, and Indian indigo found a growing market. The company had been encouraging Europeans to settle in its territory to produce indigo, and purchasing it from them for export. Production increased rapidly. It was less than 5,000 factory mounds in 1788-9 and reached 133,000 mounds by 1829-30. Indigo was grown under two systems of production *dj* and *ryoti*. Under the first, the planter undertook the cultivation with their own ploughs and cattle, employing hired labour for the purpose. The plant was cut and taken to the planters' factory for the dye to be extracted. Under the *ryoti* system peasants cultivated the plant on their own land and had to deliver it to the factory at a fixed price. Almost all the indigo was produced under this system, as it had advantages for the planter.

Cotton:- If indigo was the important commercial crop in Eastern India, raw cotton was that of Western India. A significant export to China had developed by the 1780s, and the East India Company and Bombay merchants, who enjoyed its favour, sought to control the sources of supply. By 1806 substantial territory had been acquired in Gujarat, and the Company began forcing the cultivators to sell to them at a price lower than Prevailing elsewhere. Now however, the Company came into conflict with private European merchants and was compelled to give up the system and retire from this trade in 1833.

Pepper:- Here again the political power of the Company was used to force down the price and to prevent merchants from selling to the French or other competitors. Here again, the company was forced to hand over to private British merchants in the 1830s.

Sugar:- The sugarcane is indigenous to India, and have been produced here for many centuries. It was extensively consumed within India. In the 1830s the indigo planters were faced with a fall in prices and sales, and so capital began to be invested in producing sugar for the London market, where import duties had been reduced and demand was rising. Large areas of land were given to European speculators who began setting up sugar plantations in Eastern Uttar Pradesh. The local peasants had long produced local consumption and sale to other parts of India, but they were now made to produce a thickened sugarcane juice for delivery to the planters who processed it into sugar. As with indigo, the peasants received advances, and were then bound to deliver to the factory at a low fixed price. Large profits were made by the planters, and exports grew; in 1833-34 Calcutta had sent less than 1,600 tons of sugar to England, This prosperity was short lived, and when prices fell after 1848 most of the factories shut down, and exports almost ceased.

Tea:- In the 1830s the Company faced mounting hostility in China because of its insistence on smuggling opium. It feared that its lucrative trade in tea might be interrupted, and began to promote the cultivation of tea within its own territories in Assam. When the experiment proved successful, the gardens were handed over to a private company, the Assam Company. Other tea companies also set up in 1850s. Since there were no local labourers to be had the tea gardens brought in indentured or bonded labourers from Chota Nagpur and elsewhere in large numbers. This is the only instance in which commercial crops were produced in large capitalist enterprises. However, the expansion of tea, coffee and other plantations really occurred after 1860.

EXAMPLES OF MERCANTILISM

- England Navigation Act of 1651 prohibited foreign vessels engaging in coastal trade.
- All colonial exports to Europe had to pass through English first and be re-exported to Europe.
- Under British Empire, India restricted in buying from domestic industries and were forced to import salt from the UK. Protests against this salt tax, led to 'Salt tax' revolt led by Gandhi.
- In seventeenth Century France, the state promoted a controlled economy, with strict regulations about the economy and labour markets

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13.6.1 The effects of the commercialisation

That the object of the British was to produce goods for export to Europe, so that funds could be accumulated in the Company's treasury in London. Private English businessmen also wanted to send money back so that they could ultimately retire to a life of comfort in Britain. It was the method by which the Indian 'tribute' was transferred to Britain. India received no imports in return for these exports. The growth and export of commercial crops thus served to impoverish rather than to enrich India. There is the credit market, the market for loans. Here also the effect of the system was to check its expansion. The indigo cultivators were given loans by the planters as a way of tying them down. An English official observed: 'If a ryot once received an advance he could very seldom or never clear himself and thus becomes little better than a tuned-slave to the factory'.

13.6.2 Merchants' Organisations

That the success of merchant communities like the **Chetties**, the **Gujaratis** and the **Sindhis** were largely to do with the community structure, their accounting system, partnership arrangement, agencies and communal mechanisms of bazaar rate determination. Their community structure provided a firm foundation to the commercial organization of the **Nagarathars**. The **Nattukottai Chetties** called themselves Nagarathars because the community was divided into nine nagarms (townships) with a temple at the head of every such unit. Each temple levied a tax on every married couple assigned to it. Among the member thus apportioned, the nagaram settled disputes out of court by arbitration.

A characteristic feature of **Chetty** enterprise was the system of agencies and interbank system of accounting. An agent entered into the banker's service on a three year contract and before setting out for his overseas destination received an advance in salary that amounted to Rs.300 for Burma in contrast to Rs.100 for Madras. Chattiars were found to act in multiple capacities, either as partners banking on their account or agents of their caste men. The Chetty banks adopted among themselves the inter-bank system of accounting. This involved crediting and debiting interest with each other at the end of the year after exchanging a memorandum of interest calculations accepted by both parties before adjustment was made in the books.

Among **Gujarati** businessmen as well as the **Sind** merchant networks, the business organization remained strongly centered round community ties. Markowitz mentions the workings of the **shah-gumastha system** in connection with the **Shikarpuri** merchants. Trade and Market agents were not partners in the same sense as the Shikarpuri gomasthas (agents). The system originated before the eighteenth century but by the 1840s it was firmly in place in Shikarpur. It allowed a small groups of bankers located in Shikarpur to control financial and commercial transactions over an extensive area. The **sarraf** or the banker was the merchant capitalist or shah who advanced the funds to his agents or gumasthas, who were remunerated in the form of a share in the profits of the financial and commercial operations they undertook for him. The **hundi** was the cementing mechanism in the network – within the Shikarpur circuit hundis were honoured on sight.

In Hyderabad on the other hand, among the **Sind workies**, there developed a kind of dual system that combined features of the shah-gumastha system with that of European commercial partnerships. These were associations of several shahs or capitalist partners with several gumasthas. The firms had head offices and branches and demonstrated exceptional longevity

Banjaras: Transporters of grain and other bulky goods. During the medieval period they were the important link between the rural-urban trade. **Bottomry**: A speculative investment; money was lent out for a particular voyage. The lenders were to bear all the risks of voyage. The rate of interest depended upon the risk involved in a particular voyage. **Castle Revolution of 1759** : In 1759, the English East India Company, backed by a section of the merchants in Surat city, occupied the Surat castle and assumed joint control of the city. **Commenda**: A practice in which merchants combine their resources for mutual benefit. **Respondentia** : A form of marine insurance and speculation. **Tanda** : A banjara camp.

Check your progress -4

1. Explain the major commercial Crops under British
2. Give an account of Merchants' Organisations

13.7 Let us sum up

You have studied some important trends in the late 18th and early 19th century Indian economy, the sphere of internal trade, the market for the artisans' and peasants' produce, flow of funds from India to England, the pattern of external trade, and the 'opening up' of India. When you look at those developments in the perspective of the transition from mercantile to industrial capitalism, the commercialisation of agriculture, and de- industrialization you can form an idea of the shape of the colonial economy.

13.8 Answers to check your progress

Check your progress -1

1. See the sub-section 13.3
2. See the sub-section 13.3.1
3. See the sub-section 13.3.2
4. See the sub-section 13.3.3
5. See the sub-section 13.3.4

Check your progress -2

1. See the sub-section 13.4
2. See the sub-section 13.4.1

Check your progress -3

1. See the sub-section 13.5

Check your progress -4

1. See the sub-section 13.6
2. See the sub-section 13.6.2

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LESSON - 14

INDUSTRIAL LABOUR, LABOUR LAWS AND TRADE UNION MOVEMENTS DURING THE BRITISH PERIOD

We have discussed Labour unrest and Labour legislations and the Impact of the Working Class Movement in colonial period in previous chapters. Here we are going to discuss the industrial labour, labour law and trade union movements.

Plan of Study

14.1 Learning Objectives

14.2 Introduction

14.3 Industrial Labour

14.3.1 Standard of Living of Industrial Labourers

14.3.2 Industrial Disputes in India during British rule

14.3.3 Legislation of Labour Laws

14.4.1 Legislations for the settlement of Industrial disputes

14.4.2 Legislations for the settlement of Plantation disputes

14.4.3 Legislations for the settlement of Mining disputes

14.4.4 Legislations for the settlement of Transport disputes

14.4.5 Legislations for the settlement of Dock Workers disputes

14.4.6 Legislations for Social Welfare and Security

14.5 Growth of Trade Union Movements

14.5.1 Trade Union Act of 1926

14.6 Let us sum up

14.7 Answers to check your progress

14.8 References

14.1 Learning Objectives

- You will familiarize with the Industrial labour in India
- You will be able to discuss the Impact of the labour & labour laws.
- We can understand the development of Trade Unions in India

14.2 Introduction

Industrial labour refers to all those workers, who are employed in manufacturing units, i.e., the workers employed in large scale, village & small scale industries are considered industrial labour in general sense. A striking feature of the labour scene was the total absence of effective public opinion against the exploitation of factory workers. Working class developed only after a long time and hence the slow progress made by the movement. Workers themselves did make some isolated attempts to voice their demand for lessening the hardships of industrial life and the protest began to take shape and out of that protest was born the trade union movement in India.

14.3 Industrial Labour

The development of modern factories, mines, transport and plantations resulted in the emergence of Industrial labour, of an entirely new class of Indian society, namely, the industrial working class during the second half of the 19th century. This class, comprising the Indian men, women and children working in modern industries, was subjected to as ruthless and revolting exploitation as is known to modern man. Working class developed only after a long time and hence was built the structure of India's industrial development on its sweat and toil, suffering and privations.

14.3.1 Standard of Living of Industrial Labourers

The study of the working class levels of living in India is not easy, especially in regard to the 19th century. Yet the workers' standard of living in India can be conveniently divided into certain defined periods.

1861-1905:- This period was marked by two main features: extremely low wages and a rising price level. In Bombay, the daily wages paid by the P.W.D. were 37 paise in 1861. In 1867- 68 but that came down as 25 paise to a male and 18 paise, to a female, in 1871 — 72 to 30 paise, 18 paise 13 paise to a male, female and child labourer respectively. In Punjab, the

highest rate in 1867 — 68 was 30 paisa per day chiefly in parts where public works were going on and the lowest rate was 12 paisa only. In Bengal, the average daily rate paid by P.W.D. ranged from 7 paisa to 13 paisa. In Central Province it was only 18 paisa in 1870. These price levels kept the workers close to starvation. The wages began to rise both in the town and countryside during the period 1873-1903. The wages rates of increase for agricultural labourers being 39% in Bengal and 49% in the Punjab and for artisans, 48% in Bengal and 50% in Punjab. However, when we compare the money wages with the cost of living between 1880—1905, money wages rewarded a rise of only 30%. on the other hand, the index of the cost of living an increase of 18%. Real wages, therefore, recorded only a nominal rise of 12% from 106 in 1880 to 118 in 1905.

1905-1919:- This period saw the prices of such items as skins, food grains, building-materials and oilseeds rising more than 40% above those of 1890; cotton and jute rose about 33% and 31% respectively. Consequently, the general weighted prices index rose from 135 in 1905 to 187 in 1914. The worker's money wages rose by 19% between 1905-14, but cost of living by 43% consequently, real wages declined by 17%. The First World War saw a further steep rise in the price- level. Consequently, cost of living in January, 1919 was higher by 83% when compared with the average of July, 1914. Between 1914-19, increase in wages was 54% in spinning and weaving industry, 19% in Kanpur Woollen Industry, 16% in coal mining, 19% in tea, 28% in the engineering workshops. The overall average increase in money wages being only 21½%.



The first period 1875-1918

- The first period of trade unions in India started from 1875 and lasted up to first world war. During the period the trade union movement was essentially humanitarian. Some friendly societies were formed to look in to the welfare of workers. These unions were sporadic in nature. The first Indian trade union, Bombay Mill Hands Association was formed in 1890, with an immediate aim of agitation for a revision of first Indian Factories Act 1881.

Inter-war period:- It is only in the inter-war period that there was some improvement in the real earnings of workers, recording a 45% rise in the real wages of the workers. This increase in real wages, welcome though, does not reflect the reality because it excludes the losses through unemployment and under-employment during the depression. Furthermore, it also overlooks the fact that the employers often raised the prices of food articles sold at the factory shop with a view to depress the wages of workers.

The Second World War:- According to a U.N. Survey, average annual money earnings in rupees in British India rose from Rs. 287.5 in 1939 to Rs. 595.5 in 1945-an increase of 107%. But even this spectacular increase in money wages did not compensate the workers for the steady rise in the cost of living, the index having risen to 277 in 1945. Prices continued to rise even after the war was over. The cost of living index rose from 100 in 1945 to 138 in 1949; money earnings from 100.3 in 1945 to 168.5 in 1949 but the index of real earnings rose from 100.3 in 1945 to 122.1 in 1949. Although the real earnings of factory employees, thus, increased by 22% between 1944-49. By 1945, they picked up a little but steady recovery took place after Independence only on account of the upward revision of wages granted by Industrial Tribunals.

Movement of Money and Real Wages

(1939=100)

S. No.	Year	Money Earnings	All India Consumer Price-Index	Index of Real Earnings
1	1939	100	100	100
2	1940	105.3	97	108.6
3	1945	200.5	269	74.9
4	1947	253.2	323	78.4
5	1951	356.8	387	92.2

Average percentage Expenditure per family of Textile Workers

S. No.	Item	Bombay		Ahmedabad		Sholapur	
		1944	1959	1944	1959	1944	1959
1.	Food	51.96	54.84	52.74	57.74	48.75	60.00
2.	Fuel & Light	10.16	4.82	8.99	4.57	12.20	6.57
3.	Household Requisites	0.50	1.14	2.11	1.10	0.96	0.62
4.	House-rent	7.20	4.22	5.40	4.59	3.64	4.61
5.	Education & Reading	0.26	0.89	0.23	0.55	0.35	1.11
6.	Recreation & amusement	1.13	1.20	0.96	0.68	1.05	0.70
7.	Pan, Supari & Tobacco	5.21	4.70	4.93	4.57	4.46	3.28
8.	Clothing & Foot-wear	11.72	12.66	12.51	12.11	14.57	11.06
9.	Miscellaneous	11.66	10.58	11.24	10.79	12.48	8.93

14.3.2 Industrial Disputes in India during British rule

Before the First World War, industrial disputes were not very common in India although strikes, rather loosely organised, did occur during the early phase of industrialisation. As early as 1859-60, a notable scuffle took place between the European railway contractors and their Indian workers. There is record of a strike over wages at Empress Mills, Nagpur in 1877, between 1882-90; as many as 25 strikes took place in the Bombay and Madras mills. The frequency of strikes, however, increased after 1905. The highest point was reached with the six-day political mass strike in Bombay against the sentence of 6 years' imprisonment on Tilak in 1908. One of the most serious was in the cotton mill industry in Bombay city in 1924 on the annual bonus; it involved over 1,60,000 workers and caused a loss of 7.75 million working days. A further strike against the reduction of dearness allowance broke out in September, 1925. The mill owners restored the cut but not before the strike had caused a loss of about 12 million working days.

A strike broke out in Bombay in 1928 initially against measures of rationalisation and a 7 ½ % wage cut but later extended to a wide series of demands. This strike, involving 1,50,000 workers, lasted for six months. In 1929, another general strike of Bombay textile workers broke out under the leadership of the Girni Kamgar Union. This strike paved the way to the enactment of the Trade Disputes Act, 1929. The strike lasted for 6-7 months and workers in all the cotton mills of the city participated. A similar general strike, which occurred in 1929 in the Bengal jute mills, was directed against the employer's decision to increase the working hours from 55 to 60

per week. The strike lasted for 11 weeks, involved 2,72,000 workers and was withdrawn only after most of the demands were accepted by the employers.

The intensity of the Strike from 1921to 1928

Year	Number of stoppages	Man-Days Lost
1921	396	69,84,426
1922	278	39,72,727
1923	213	50,51,794
1924	133	87,30,918
1925	134	1,25,78,129
1926	128	10,97,478
1927	129	20,19,970
1928	203	3,16,47,404

The period 1929-36 was one of, comparatively speaking, industrial peace. The number of disputes came down from 203 in 1928 to 118 in 1932 and 161 in 1936. The number of disputes suddenly rose to 379 in 1937 and these involved a loss of 9 million man-days. This sudden spurt in work stoppages may be explained genuine economic difficulties of the workers and the intransigence of the employers were the other two contributory factors.

The intensity of the Strike from 1929to 1939

Year	Number of Disputes	Man-Days Lost
1929	141	1,21,65,691
1930	148	22,61,731
1931	166	24,08,123
1932	118	19,22,437
1933	146	21,60,961
1934	159	47,75,559
1935	145	09,73,457
1936	157	53,58,062
1937	379	89,82,257
1938	399	91,98,708
1939	406	49,92,795

The immediate reaction of the working class towards the Second World War was in the form of an anti-war strike in October, 1939 in which 90,000 workers struck work. In March 1940, with the sharp increase in the cost of living, 1,75,000 textile workers in Bombay resorted to a strike in support of their demand for dearness allowance. In the trail of the Bombay strike came a wave of strikes of textile workers of Kanpur, municipal workers in Calcutta, jute workers of Bengal and Bihar, oil workers of Digboi, coal miners of Dhanbad and Jharia, Iron and steel workers of Jamshedpur. The government met the situation by promulgating the Defence of India Rules which made strikes illegal in many essential industries while, in others fourteen days' notice was required before a strike or lock-out could be declared. There was, therefore, a decline in the number of disputes from 406 in 1939 to 322 in 1940. The workers of public utility services like Railways and Posts and Telegraph strikes were totally prohibited.

The intensity of the Strike from 1940 to 1945

Year	Number of Disputes	Man-Days Lost
1940	322	75,77,281
1941	359	33,30,503
1942	694	57,79,965
1943	716	23,42,287
1944	658	34,47,306
1945	820	40,54,499

The trial of the I.N.A. soldiers and the Mutiny of the Indian sailors gave moral support to the aspirations of the workers. The result was an epidemic of strikes all over the country. This may be seen from the fact that in 1946 and 1947, there were 1629 and 1811 industrial disputes involving a loss of 12.7 million and 16.8 million man-days in 1945. The Government intervened to secure an Industrial Truce Agreement in December, 1947, an upward revision of wages including dearness allowance and a share in profits

Check your progress -1

1. Critically analyse the condition of Industrial Labourers in British India
2. **Examine the Industrial Disputes in India during the British rule**

14.4 Legislation of Labour Laws

There was much legislation regarding the labour disputes in the field of Industry, Plantation, Mining, Transport, Dock workers and Social Welfare of the Labours were discussing here

14.4.1 Legislations for the settlement of Industrial disputes

There was much legislation regarding the Industrial disputes. The earliest legislation relating to the settlement of trade disputes was:

The Employers and workmen (Disputes) Act of 1860:- which was applicable to the construction of railways, canals and other public works and provided for summary disposal of disputes by Magistrates. Besides being limited in its application, the Act contained the undesirable feature of regarding any breach of contract on the part of the workers as criminal offence.

The Trade Disputes Act, 1929:- was the result of the realisation of the increase in the number of industrial disputes. The Act provided for the setting up of courts of Enquiry or Boards of conciliation. The Court of Enquiry was to enquire into the specific matters referred to and submit a report while the Board of conciliation was to endeavour to bring about a settlement within a reasonable period of time. In case of failure, the board was to send a full report along with findings and recommendations to the appointing authority. Sympathetic strikes were declared illegal and provision was made for at least fourteen days notice for strike or lockout in public utility services.

The Trade Disputes (Amendment) Acts, 1932, 1934 and 1938. The amendment provided for the appointment of conciliation officers who were charged with the duty of mediating in or promoting the settlement of disputes.

The Bombay Industrial Disputes Act of 1938:- was a pioneer legislation radically different from the previous legislation on the subject. It marked the beginning of a labour judiciary with its provisions for the creation of permanent machinery in the shape of an industrial court. It was also passed which, apart from classifying the union into registered, qualified, and representative, also provided for three distinct steps before a strike or lock-out could be declared. First was the serving of a notice followed by negotiations. The agreement reached, the contending party had to submit a full statement of its case. The dispute was recorded and the chief conciliator submitted a report to the government. Finally, in case of failure, the government could refer the dispute to a board of conciliation. During the period of conciliation, strikes and

lock-outs were declared illegal. So far, conciliation was not obligatory but now it was made compulsory.

14.4.2 Legislations for the settlement of Plantation disputes

The Transport of Native Labourers Act of 1863 & the Transport of Native Labourers (Amendment) Act of 1865, 1870 and 1873:- The recruitment of labourers for tea gardens in Assam was carried on for years mostly by contractors under the provisions of this act. Although supposedly enacted for the protection of labourers under contract, the Act, in reality, benefitted the planters. It made not only desertion but also indolence on the workers' part a punishable offence. Further, it empowered the planters to 'arrest' absconders within the limits of the district in which they were employed.

The Emigration Act of 1882:- The existing laws having proved inadequate in meeting the hunger of tea gardens for more and more men, the Government of India appointed a commission of Enquiry in 1881 to deal with the problem on all India basis. The recommendations of this commission led to the passing of the Act of 1882 which gave legal recognition to recruiting agents and made the signing of a contract much easier. The Act is condemned as the 'Slave Law', and was constantly assailed by the national press and the pitiful condition of garden-labourers was lamented all over the country.

Labour and Emigration Act in 1901 & Labour and Emigration (Amendments) Act in 1908, and 1915:- As a result of persistent agitation and constant efforts of Henry Cotton, the liberal and courageous Chief Commissioner of Assam, the Government passed the Assam Labour and Emigration Act in 1901 with the object of controlling and regulating the recruitment of indentured labour for Assam plantations. Further amendments, passed in 1908, and 1915 abolished the system of indentured labour and withdrew the right of private arrest by employers

The Tea Districts Emigrant Labour Act of 1932:- It was the Royal Commission on Labour which examined the question in considerable detail and its recommendations on the subject formed the basis of the Act of 1932. The Act authorised the state government to declare any area within a state to be a controlled emigration area and to grant license to any person to act as a local forwarding agent on behalf of an employer/employers. The Act prohibited the rendering of any assistance to children below 16 years to proceed to Assam unless they were accompanied by their parents or other adult relatives. Likewise, no married woman could be assisted to proceed to Assam without the consent of her husband. The Act further gave every

emigrant labourer and his family the right of repatriation at the cost of the employer after the expiry of 3 years from the date of their entry into Assam.

14.4.3 Legislations for the settlement of Mining disputes

The mining industry employed a large number of workers many of whom were women and children. Apart from the appalling living and working conditions, the industry was especially prone to accidents in the absence of proper precautions. Till the beginning of the 20th Century, there was no legislation to regulate the conditions of work in mines. The reason probably was that the mining industry was largely foreign-owned and, unlike the cotton-textile industry, did not compete with the British industry.

The Indian Mines Act of 1901:- was the first legislative attempt to regulate, though in a half-hearted fashion, the inspection of mines and the employment of women and children. The Act provided for the appointment of a Chief Inspector of Mines by the Government of India and other inspectors by local governments.

The Indian Mines Act, 1923:- After a series of amendments, the Act was overhauled and superseded by a more comprehensive Act in 1923. It fixed the daily hours of work of persons, employed above ground, at 10 with a maximum spread over of 12 hours including a rest interval of one hour after six hours work. The Act prohibited the employment of children below 15 years while those below 17 were not permitted to work underground unless certified medically fit.

The Indian Mines (Amendment) Act, in 1937 & 1946:- gave powers to Inspectors to issue orders to individual mines where danger was apprehended and to levy a duty on coal and coke to defray the cost of rescue stations & provided for the maintenance of closed shower baths, separately for men and women, at or near the pit-head.

14.4.4 Legislations for the settlement of Transport disputes

Indian Railways Act of 1890 & Indian Railways (Amendment) Act of 1930:- The working conditions of railway workers were mainly regulated by this Act. Under the Act, the hours of work of essentially intermittent workers were fixed at 84 per week and those of continuous workers at 60 per week. Provision was made for weekly holiday for all workers. Overtime was to be paid at the rate of 1¼ times the ordinary rate of pay.

The Motor Vehicles Act, 1939:- As regards road transport workers, The Act, 1939, regulated the minimum age of employment, hours of work and rest periods. The Act prohibited the employment of any under 18 years as a driver of a motor vehicle and any under 20 years as a driver in a transport vehicle and also limited the hours of work in the case of transport workers to 9 per day and 54 per week and provided for a rest period of at-least half an hour for every five hours continuous work. The Act did not cover such workers as attendants, conductors and cleaners etc.

14.4.5 Legislations for the settlement of Dock Workers disputes

The Indian Ports Act, 1908 & The Indian Ports (Amendment) Act, in 1922 and 1931:- prohibited the employment of children under 12 in handling goods in ports. Since 1937, the minimum age for employment of children in docks was raised from 12 to 15 years.

14.4.6 Legislations for Social Welfare and Security

Workmen's Compensation Act of 1923:- The question of workmen's compensation was raised as early as 1884 but it was in 1923 that the first Workmen's Compensation Act was passed. The Act, amended several times, applied to certain categories of railway servants, workers earning Rs. 300/- (later raised to Rs. 500/-) per month and who were employed in any capacity in factories, mines, plantations, construction activities, docks and certain other hazardous occupations. The amount of compensation depended upon the nature of the injury and the average monthly wages of the injured worker and ranged from Rs. 10-30 per month in the case of temporary disablement, Rs. 500-4000 (now 4500) in case of death and from Rs. 700-5600 (now Rs. 6300/-) in case of permanent disability. The main drawback of the Act was that it covered only permanent workers employed in specified occupations leaving out a large number of workers exposed to risks. Besides, the compensation paid was too small.

The Payment of Wages Act in 1936:- As a result of the recommendations of the Royal Commission on Labour, the Payment of Wages Act was passed in 1936 and it came into force in 1937. The purpose of the Act was to ensure that wages were paid regularly and promptly and that there were no arbitrary fines and deductions from wages. Under the Act, wages must be paid on monthly basis. Establishments employing less than 1000 persons must pay wages by 7th day of the month and, in other cases, by 10th of every month.

Provident Fund:- Schemes for old age pension or Provident Fund for workers in government factories and railways were in force even before Independence. Many employers

like The Empress Mills, Nagpur. The D.C.M. Delhi and the Buckingham and Carnatic Mills, Madras, Voluntarily provided this facility.

Maternity Benefits: The importance of granting rest and maternity benefits to expectant mothers was brought home to the Indian public by the International Labour Conference which adopted a child-birth convention in 1919. Efforts of N.M. Joshi to get a bill passed in 1924 proved a failure. However, on the recommendation of the Royal Commission on Labour, Maternity Benefit Acts were later passed in almost all states. These Acts applied mostly to women employed in regulated factories, mostly non-seasonal in nature, except in Bombay where it applied to certain notified districts and towns. The qualifying period also differed from 150 days service in Assam to 9 months in most other states. As regards the period of benefit, it varied from 7 weeks in Andhra, Madras and Orissa to 12 weeks in Assam Plantations, West Bengal and Punjab.

Gratuity:- In the early decades of industrial development, many established industrial enterprises followed the practice of paying cash gratuities to employees who retired after long and meritorious service. However, it was voluntary in character and was treated as a payment made by the employer at his pleasure. The position subsequently changed. Although no law was passed but as result of a series of decisions of industrial tribunals, gratuity came to be regarded as a legitimate claim which workmen could make and which could give rise to an industrial dispute. In many cases, gratuity schemes formed part of contracts between employers and labour unions or were prescribed in the standing orders and thus constituted a condition of service. The practice of paying gratuity was widely prevalent in the railways, ports, docks, post, telephones and telegraph departments, a few local bodies, insurance, banking, cement, sugar, cotton and jute textile industries.

Check your progress -2

1. Examine the Legislation of Labour Laws passed British Government.
2. What are the Legislations were made for the settlement of Industrial disputes?
3. What were the laws passed under the British for the settlement of Plantation disputes?
4. Give an account of the Mining Acts passed under British
5. State the important Transport Laws by British Government.
6. Write a short note on the Indian Port Act of 1908
7. Discuss the Social Welfare measures taken by the British Government for the Labourers

HISTORY OF TRADE UNION MOVEMENT

- ✓ Predominance of employer-employee relationship.
- The great transformation which ushered in the industrial began in Great Britain in the later half of the 18th century.
- During the 19th century, the movement spread to a dozen of the others country.
- The capitalist mode of industrialization involved a separation between the ownership of capital and labour.
- The development of industries led to exploitation of women and child labour and the deplorable working condition.
- The industrialization develop a new class of people i.e. wage earners which are fully depend their livelihood upon wages.

14.5 Growth of Trade Union Movements

A trade union is a voluntary organization of workers formed for the purpose of promoting and protecting the interest of workers through collective action. Modern industrial sector in India has a history of just 150 years. The foundations of modern industry in India were laid in the middle of the 19th century. Plantation of tea, cotton and jute manufacturing, coal mining, all started between 1850 and 1860. These newly-started mills enjoyed unrestricted freedom in regard to the employment of labour and this understandably resulted in deplorable working conditions as well as the association of women and children with factory work.

There were 25 important strikes recorded between 1882-90 in different factories of Bombay and Madras. These strikes, which were more in the nature of protests generally ended in defeat for the workers because employers were very powerful and workers were not yet united and organized. For example, there was a ten days' sweepers' strike in Bombay in 1866; in 1867, the butchers of Bombay struck work. The plantation industry was the first to witness "assaults and riots." In the cotton textile industry, there was a 'Protest' strike in 1877 over wages in the Empress Mills, Nagpur.

In September, 1884, two public meetings of textile workers were organised in Bombay to protest against the wretched conditions of work in factories. A petition was adopted at the meeting demanding a weekly holiday, half an hour's mid-day rest, regular payment of monthly wages and compensation in case of accidents. The petition signed by 5,500 workers was presented to the president of the commission which was appointed to make recommendations regarding the improvement of the Factories Act. This can legitimately be regarded as the beginning of the labour movement in India.

The ***First Trade Union of Textile Works of Bombay*** came into existence in 1890. Since then, several trade unions were formed. The ***Mohammedan Association*** set up in 1895. The amalgamated ***Society of Railway Servants of India and Burma*** was formed in 1897. Soon ***The Printers' Union, Calcutta*** and ***the Bombay Postal Union*** were setup. The ***Kamgar Hitvardhak Sabha***, started in 1909. These early unions were of a sporadic or ad hoc nature. Most of them had no regular constitution, no funds, no regular membership and no programme of action.

The real beginning of the trade union movement in India was made towards the end of First World War. The Russian revolution which took place in 1917 had its impact in India, there were some other factors which especially favoured the growth of the movement. In the first place, Mahatma Gandhi had come on the political horizon with his programme of achieving independence for the country. The political movement, launched by him, not only brought political awakening to the working class but also provided the services of educated intelligential to lead it. Furthermore, the treatment meted out to Indian labour in South Africa created a stir in the country and led to greater solidarity with the working class and the establishment of the International Labour Office which lent a new dignity to the working class. It gave fillip to the movement with the formation of ***Madras Trade Union*** set up by B.P. Wadia in 1918. The trade union movement saw its real beginning by the country. ***All India Trade Union Congress*** (AITUC) was formed in 1920. Again in 1922, ***All India Railway Men Federation & All India Post & Telegraph Unions*** were formed.

The first trade union formed on modern lines was the Madras Labour Union in 1918. By 1920, there were 125 unions with a membership of 2.5 lakhs. The movement, however received an unexpected blow when the Madras High Court, giving judgement in a suit filed by Binny and Company against the office-bearers of the Madras Labour Union, declared trade union activity as an illegal conspiracy and restrained B.P. Wadia and his followers from further interference in the working of the mill. The judgement came as a rude shock to the workers who realised for the first time that they could be prosecuted also for genuine trade union activity. Thereafter, the workers' whole effort was directed towards securing legal recognition for the movement. N.M. Joshi, the veteran trade union leader and a nominated M.L.A, brought the question before the Assembly in March 1921. His persistent efforts in this connection finally bore fruit when the Trade Union Act was passed in March 1926. Meanwhile, the year 1928 was one of great industrial unrest and trouble. The government felt alarmed and took a series of measures such as the appointment of the Royal Commission on Labour, The Trade Disputes Act of 1929, and the appointment of the Bombay Riot Enquiry Committee. To cap it all, the government launched

the famous Meerut Conspiracy case in March in 1929 in which 31 trade Union leaders were arrested in half a dozen cities on charges of conspiracy against the government.

The history of the movement from 1929-38 is the story of splits and unity. The All India Trade Union Congress, witnessing dissension over basic policy matters, was split in 1929 when communists gained control of the organisation and the moderates left to form the Indian Trade Union Federation. The movement was further split in 1931 when the extremists led by Ranade and Despande left to form the All India Red Trade Union Congress. This was most unfortunate and costly just at the time when the lengthening shadows of the Depression had prompted wage-cuts and rationalisation. In 1933, more than 50,000 workers in Bombay city were thrown out of employment and by 1934, almost every mill in Bombay had brought the wages down. The workers' strike in Calcutta, The Tata colliery worker's strike and the Textile workers' strike in Bombay all ended in failure.

The communists launched the general strike in 1934 against rationalisation in Bombay, Nagpur and Sholapur. The government came down with the Emergency powers Ordinance under which the communist party was banned and more than a dozen registered trade unions declared illegal. Some strike leaders were detained and others prosecuted under the Trade Disputes Act. Thus, the labour movement was shattered in sprits, its leaders removed and its ranks divided. This made the climate favourable for complete unity in its ranks. In 1935, the Red Trade Union Congress merged with the All India Trade Union Congress; later Congress Socialist Party merged and the National Trade Union Federation merged with the All India Trade Union Congress in 1938.



Two splits

- In 1929 in the Nagpur session a split took place in the AITUC. The moderate section under the leadership of N.M.JOSHI, V.V.GIRI, B. SHIVARAO setup a separate organization named national trade union federation.
- In the 1930 session of the congress the extreme left-wing headed by S.K. DESHPANDE, and B.T. RANADIVE formed all India red trade union congress

The Government of India Act, 1935, allotted 10 seats in the Federal and 38 in the Provincial Assemblies to labour representatives to be elected by registered unions. This encouraged the unions to register themselves. The installation of popular Congress ministries in 1937 gave a further boost to the move-ment. The greater freedom enjoyed by the workers and the sympathies

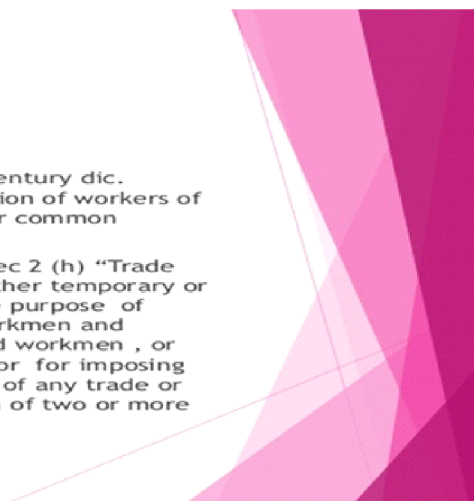
obtained by them from the Congress ministries in the assertion of their right to organise led to a remarkable growth of the movement. By 1938-1939, the number of registered unions rose to 562 and their membership to 3,99,159. The number of registered unions which grew from 562 in 1939 to 865 in 1945 while the membership of unions submitting returns increased during the period from 3,99,159 to 8,89,388. A notable development in the immediate post-war period was the formation of **Indian National Trade Union Congress** on 4 May 1947. Soon afterwards, in 1948, the Congress socialists also left the A.I.I.U.C. to merge with the National Federation of Labour and formed the **Hind Mazdoor Sabha**. The establishment of these Unions led to the final parting of ways between diverse political groups which had so far worked together.

14.5.1 Trade Union Act of 1926

Under the Act, any seven persons could form a union and have it registered with the government. Registration, however, was not compulsory although certain privileges were conferred on registered unions. The Act required a registered union to define its name and the objects for which it was established. It was further required to keep a list of members and provide for regular audit of its funds. The Act provided that not less than half the office bearers must be employed in the factory/industry covered by the Union. Against these restrictions, the Act granted protection to trade union workers against civil and criminal action for genuine trade union activity. A registered trade union was permitted to create a fund, purely on voluntary basis, for the promotion of civil and political interests of its members. The passing of the Act was great landmark in the history of the trade union movement. The fear of prosecution being over, unions began to be formed in large numbers.

What is trade union?

1. According to Chambers's twentieth century dic. "Trade union is an organized association of workers of an industry for the protection of their common interests"
2. According to Trade Unions Act 1926 sec 2 (h) "Trade union means any combination , whether temporary or permanent , formed primarily for the purpose of regulating the relations between workmen and employers , or between workmen and workmen , or between employers and employers , or for imposing restrictive conditions on the conduct of any trade or business, and includes any federation of two or more trade unions.



Check your progress -3

1. Explain the growth of Trade Union Movements in India
2. Discuss the features of Trade Union Act of 1926

14.5 Let us sum up

A striking feature of the labour scene was the total absence of effective public opinion against the exploitation of factory workers. The great religious, or social revival in 1870's failed to awaken the social conscience in favour of the working class. The Government was dominated by the Laissez-Faire principle. Workers themselves did make some isolated attempts to voice their demand for lessening the hardships of industrial life.

14.6 Answers to check your progress

Check your progress -1

1. See the sub-section 14.3 & 1.3.1
2. See the sub-section 14.3.2

Check your progress -2

1. See the sub-section 14.4 to 14.4.6
2. See the sub-section 14.4.1
3. See the sub-section 14.4.2
4. See the sub-section 14.4.3
5. See the sub-section 14.4.4
6. See the sub-section 14.4.5
7. See the sub-section 14.4.6

Check your progress -3

1. See the sub-section 14.5
2. See the sub-section 14.5.1

14.7 References

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MODEL QUESTION PAPER
MA HISTORICAL STUDIES
FIRST YEAR - FIRST SEMESTER
PAPER - IV
ECONOMIC HISTORY OF INDIA (A.D 1858 – 1947)

Time : 3 Hours

Maximum : 80 marks

SECTION A (10x2=20 Marks)

Answer any **TEN** Questions in not more than 30 words each

1. Define the theory of Drain of Wealth.
2. Explain Mahalwari System.
3. Give a brief note on the Cash Crops.
4. Write a short note on the Champaran peasant movement.
5. List out the objectives of Famine Code of 1883.
6. Classify the Indian Cottage Industries.
7. Contrast the Capitalist class and Working class.
8. Bring forth the importance of Labour Legislation.
9. Write a note on Buckingham Canal.
10. Explain Indian Broadcasting Company.
11. What is Managing Agency System of the British?
12. Why the Emigration Act of 1882 is condemned as the 'Slave Law'?

SECTION B (5x6=30 marks)

Answer any **FIVE** Questions in not more than 200 words

13. Describe the Pre- British economic structure of India.
14. Examine the development of Irrigation under the British
15. Explain the nature of Peasant movements in India during colonial period.
16. Write a note on the Buckingham and Carnatic Mills strike of 1921.
17. Give an account of the All India Trade Union Congress.
18. Describe the development of Postal System under the British Rule.
19. Explain the nature of Indian trade under British.

SECTION C (3x10=30 marks)

Answer any **THREE** Questions in not more than 500 words each

20. Write an essay on various Land Revenue Systems under British.
 21. Critically examine the Famine Policy of the British in India.
 22. Discuss the causes for the decline of Cottage Industries in India.
 23. Trace out the development of the Railways in British India.
 24. Examine the Legislation of Labour Laws under the British.
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